Bharat Forge Ltd. (BHARATFORG)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

B H A R A T F O R G E

BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com CIN L25209PN1961PLC012046

May 08, 2023

To,

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, ‘Exchange Plaza’,
Rotunda Building, P.J. Towers, Bandra-Kurla Complex, Bandra (East)
Dalal Street, Fort, Mumbai- 400 051
Mumbai - 400 001 Symbol: BHARATFORG
BSE SCRIP CODE – 500493 Series: EQ

Sub: Transcript of the Analyst / Investor Conference Call on financial results
for the quarter and year ended March 31, 2023

Ref: Regulations 30 and 46(2) of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Dear Sir/Madam,

We are enclosing herewith transcript of the conference call with analysts, which took place on May 05, 2023, after the announcement of the Audited Standalone and Consolidated Financial Results for the quarter and year ended on March 31, 2023.

The transcript as well as the audio recording of the conference call is also hosted on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst-conference-calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Bharat Forge Limited

Tejaswini Chaudhari
Company Secretary and Compliance Officer

Encl.: As above

“Bharat Forge Limited Q4 FY23 Result Analyst
Conference Call ”

May 05 , 2023

MANAGEMENT : MR. AMIT KALYANI – DEPUTY MANAGING DIRECTOR ,
BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR ,
BHARAT FORGE LIMITED

Moderator : Ladies and gentle men, good day and welcome to Bharat Forge Limited Q4 and FY23 Results Analyst Conference Call. As a reminder , all participant lines will be in the listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressin g '*' then '0' on your touch tone phone. Plea se note that this conference is being recorded. I now hand the conference over to Mr. Amit Kalyani – Deputy Managing Director, Bharat Forg e Limited. Thank you and over to you, Mr. Kalyani.

Amit Kalyani : Good afternoon ladies and gentlemen. Miche lle thank you very much for the introduction. Good afternoon ladies and gentlemen and thank you very much for attending our Q4 and FY23 Analyst and Investor Call. T his is Amit Kalyani and I have with me members of our finance and strateg y business and operations teams.

So, I will quickly take you through highlights across the board and then open up for Q&A.

So, if you look at our standalone business we ha ve had record sales of almost 1997 crores in Q 4 23 and 7 ,573 crores for FY23. This has been a growth of roughly about 21% on sales a nd this includes the pass through of raw material and other price increases that we have received.

In terms of tonnage :

It was about 11% increase. Our exports were at $550 plus million for the year while EBITDA margin was 26.2% , which is 100 basis points sequent ial improvement due to product mix, PBT is of course impacted by the finance cost and exchange loss. We see a normalized interest outg o of about 60 crores to 65 crores per quarter based on the current interest rates. Passenger vehicle revenues have grown about 53% to 1 ,307 crores for FY23 on the back of a 71% growth in exports . Aerospace has now accounted for 11% of industrial exports and mo re than doubled from las t year a nd we expect that this will again grow at a healthy double digit 30 %, 40% plus number this year as well possibly even more.

In terms of new order wins in the standalone business :

We have new order wins of about 1 ,500 crores across the component bu sines s and industrial verticals and w e have successfully seen certain businesses now transition from incubation to harvest space such as defense which I will talk about much more and a erospace also is now on a significant g rowth path. W e are confident that the goal we had set of getting to 5 00, 600 crores on an annualized basis for aerospace is now within reach in a few year s with very profitab le business.

In terms of E SG:

We have made pr ogress across the board on ESG, ESG metrics have substantially improved or ratings have improved. We are now a part of the first movers coalition, the SDG global compact and we h ave also been recognized by European customers for ESG leadership.

In terms of our ov erseas subsidiaries :

We had an EBITDA loss of 49 crores in the Q 4 versus 63 crores of last quarter, utilization levels are beginning to incr ease as production stabilizes. Our aluminum forging facilities in fact are booked and overbooked and we can move towards pro fitability with price increase and with ramp -up of our business. B ased on the performance in the last four or five weeks we expect Q1 to be significantly better than Q 4. In fact, I would say that the European busin ess should be in the black in Q1 and the US business proba bly from Q3, b ut we will see sequential improvement in all the businesses including the aluminum business every quarter.

Coming to JSA :

We achie ved a revenue of 438 crores in t he first year. We have won orders in excess of 400 crores and we expect this business to ramp up very substantially over the next two years. W e have got across the board interest from and o

rders from our existing customers of Bharat Forge and some new customers also because of our r elationship and our backing of this business and our acquisition of the new unit in Coimbatore called ISML will close in the next two weeks. With this plus the C APEX that we are doing in Coimbatore in JSA and in ISML , we will more than double our capacity from about 40 .000 odd tons to more than 120,000 tons in the next tw o years a nd our revenues will also more than double from wh at it was in the first year in the next two years also. This will be a very profitable business for us and a very good acquisition and pave the way for us to create a new solid vertical which will allow us to grow and service our customers both existing and get into new products and segments as well. Also, in this business we are focus ing on the green business model. So, we are going to create a green foundry by which we have the least carbon footprint, the least emissions, most recycling and be a supplier of choice to all our customers.

Coming to the Defense Business:

I think this is the biggest i nflection point for our company, a business that has been nurtured by our management and developed over the last 12 years. All the IP for this is home grown and developed in -house and has now converted itself from a n incubation to a delivery business. We have an order book of export orders of over 2000 crores and we have already received the AoN for 300 guns of the ATAGS so that means that this year the order for the ATAGS will also be placed. Besides this, we have significant orders on protective vehicles, deterrence systems and components and consumables a cross the board both in India and outside and this business will also now hopefully cross $100 million in this year and move to significantly higher annual numbers going forward with the very solid profitability and return rat ios. So, a business that w e all were looking forward to I think we have reached the end of the tunnel and there seems to be a lot of light and of opportunity.

In E-mobility h ighlights are that on the Tork side we ha ve sold over 1000 bikes more than 2 and a half milli on kilometers and we have zero recall, zero safety inciden ces and no issues with any of the regulat ory side or the incentive side w e are receiving incentives because every part of ou r vehicle is made in India except for the batteries which are imported and m eets al l the local sourcing norms and r equirements as per the Government of India. We continue to look at expanding our business ramp of a new plant was just announced start of production 6 weeks ago and we will steadily ramp our production and get to the capacity utilization of about 1 ,500 to 1,800 bikes soon and then ge t to 2000 and then beyond that.

Our focus continues to be to build competency, deploy product in the market, learn from it and build a scalable supply model for components, systems, and agg regates in areas where we are not even present today. So, this is a completely new area the two-wheeler and three w heeler area where you want to supply components, subsystems and power trains and be a solution provider.

In terms of o utlook, I think FY24 is going to be a seminal year for the company as we pivot from just components to products or from tonnage to technology. As this transformation an d momentum gains over the next two years, three years the positive impact on providing both growth and stabili ty to the top line will be evident. There will be many more legs for our business to stand on and more growth drivers f or its overall opportunity and growth. A s we look ahead to FY24 we expect strong growth across revenues, profitability and return rat ios driven by our forging business both in India and abroad and amply supported by other platform businesses such as defense, industrial and E -mobility. W

e believe t hat many of the troubles ailing the overseas aluminum businesses is behind us and we expect them to contr ibute to improvement in ratios for the consolidated entity.

For the standalone business, FY24 looks to be another good year driven by growth i n the end markets globally ramp up of new orders won over the last two years, three years an d increas e in market share across the board. Thank you very much. I think we can take your Q&A now.

Moderator : Thank you very much Sir. We will now begin the question -and-answer session. We have the first question f rom the line of Amyn Pirani from JP Morgan. P lease go ahead.

Amyn Pirani : I just had a question on the legacy business especially on the standalone, the domestic truck business quarter -on-quarte r growth seems to be a bit behind what we saw in terms of the sale s and it looks like t here has been a lot of pr e buy, s o what is the outlook for that in the next few quarters, a re we at the end of the cycle or do you think there is more l eft in this up cycle?

Subodh Tandale : So, you a re right we saw some pre buy in the last quarter and we were a ble to cross the 400 ,000 as well as the GIV is concerned, b ut at this point in at least as we see n Q1 and the projections for the next one or two quarters w e see a reasonably s trong demand continuing and based on what we see and what we hear and what we experience there could be a couple of factors. One is there ar e no inventories in the system . I think the retail sales have also been strong because of the pre-buy. So, there is an expectation that there will be some rebuild of inventories in the system. The demand seems to be reasonable as well given in all the infra push and all of that for

the next three, four months t here is a strong projection from everybody. In fact, we are seeing demand higher than Q4 as well at this point o f course we are monitoring this carefully, but f or now this is what we see. So, w e are not seeing any let down from a demand point of view as we speak right now.

Amyn Pirani : And similarly if you can give comment on the trends in the global truck business, so you ha ve hit a 500 crore plus revenue in thi s quarter, how are the producti on trends going forward and your business in the next few quarters?

Subodh Tandale : As far as global business is concerned if I look at the US in particular then the demand is still holding on the production levels ha ve not c hanged. They ha ve been pretty constant over the last 18 to 20 months and that continues right now. I think in previous c alls we have also explained that the backlog s are still reasonably healthy and a s a result truck build s continue. There are some challen ges that the market is facing relative to supply chain. It is not just semiconductors; it is couple of other things as well. So, there is a certain up and down from that point of view, but somehow we are seeing production steady and as a result we are also seeing our demand steady. W e are also seeing some growth in fact like in India as well because we are seeing improvement in market share across the board and that is also a factor as far as Bharat Forge is concern ed. We see a similar condition in Europe w here the demand is holding reasonably strong . Of course, in Europe also there are some supply chain factors that are affecting build , but by and large the OEMs are still managing to build one way or the other. The expect ation is the rest of this year a lso will be reasonably strong like in the US and there is a strong optimism for next year as well to remain at similar level although now we have to monito r this literally month b y month. As far as we also play in South America. W e are seeing some small declin es in So uth America, but then in our case we are going from a relatively small base to a higher base. So, for us we see this as

an incre ment in our business really. So. overa ll this is the view that we see of the world. This is as far as the c ommercial veh icle is concerned.

Amyn Pirani : So, it seems that we are still in a supply tight situation and demand really is not so much of a concern at this moment?

Subodh Tandale : Yes, I would say demand is stable. So, w e are catering to a stable demand, but we are a lso seeing growth because of market share.

Moderator : Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani : My first question i s on this overseas sub s losses. Now if I recall last quarter you had laid out that the uti lization in the new plants in USA is about 20 %, 25%, c an you give us a little bit more colour on where we are in terms of utilization rates and what i s really ailing the business , is it the operating leverage being low or is i t just the cost have elevated so much that it needs renegotiations with the customer base a little bit of color as to how we should see that?

Amit Kalyani : It is very simple. There are two issues. One is we have to ramp up production a nd we have to increas e prices. T he prices have on average gone up by anywhere between 25 % to 30% in some cases even 40%. So, we need to get that price pass through and the second is we need to grow our top line those are the two issues.

Gunjan Prithyani : And where are we on th e utilization versus where we can get?

Amit Kalyani : We a re at close to 50% now.

Gunjan Prithyani : So, that is not really a bad level?

Amit Kalyani : No, the issue is the price please understand w hen your production increases and your cost is not recovered you have a bigger problem, b ut we are now got cost recovery from several customers, few are pending an d that will all get closed out b y about another month and a half or so.

Gunjan Prithyani : So, by the second half of this fiscal we should see this busine ss?

Amit Kalyani : Europe, w e should see black numbers in this next qua rter, US, I am very hopeful the quarter after that.

Gunjan Prithyani : And ho w about the medium -term target t hat is the low teen EBIT DA margin I mean is there a road map?

Amit Kalyani : That still remains mid teen EBITDA margin still remains.

Gunjan Prithyani : That i s something that we should be looking at for nex t year once we fully ramp up ?

Amit Kalyani : Next year yes maybe towards the second half of next year.
Gunjan Prithyani : My second question is on defense clearly this is one business which is surprising positively in terms of the way the order book is building out, now can you just share as to how we think abou t the revenue scale up where we are right now in F 23 and do you s ee this g oing to 1 ,000 crores, 2000 crores some guidance around the revenue?
Amit Kalyani : I think w e should be above $100 million this year that is our goal and obviously next year w e want to grow that quite substantially because this year till December we will have production happening in our existing facilities and our new mega plant will be ready by January, February of next year, I mean in January, February of 24. So, by March, April '24 that facility will be ready for production and tha t will be a quantum jump in our capacity. We will have almost three times as much capacity as we have to day.
Gunjan Trithyani : And in terms of profitability, it is fair to assume that it would no t be dilutive at the console level when the revenue starts sc aling up?

Amit Kalyani : I think it will be positively surprising for everyone. See the difference is these are our products. These are not something that we are contract manufacturing or someone else IP that we are doing. So, we control the IP, we control the entire value chain. So, I think we will have a g

ood
control over the numbers as well.
Gunjan Prithyani : Just last one from me t his whole inorganic and acquisition is something which is totally we ha ve made small acquisitions, but it seems like there i s also a talk of making lar ge acquisitions on the defense side, so a ny thought process around how will we approach in organic opportunities which streams it would be it will help us th ink through because I mean that i s something that clearly cam e as a surprise to us?
Amit Kalyani : So, I do not know what you a re talking about, but we are not looking at any l arge opportunities. We will only look at opportunities which are platform opportunit ies like JSA which provided us complementary business area where we could A) enter some new segments and B) also provid e products and services to our existing customers. So , one of the things that we will do is look at bolt-ons to JSA like we have with ISML and many o thers so that we a re able to grow our capacities ther e, leverage the strong management and technology that we have in increasing our revenue and profitability fast. There is no plan at all of buying anythin g else complicated or anything else for sure. I a m definitely not go ing to buy anything outside of Indi a. I think India is the best place for manufacturing and the who le world is coming to India. So, this is where we will look at acquisitions and growth going forward.
Moderator : Thank you. The next question is from the line of Kapil Singh from Nomura Group. Please go ahead.
Kapil Singh : Just a follow up on defense this $100 million that we are talking about this include artillery guns as well, right?
Amit Kalyani : So, this is o ur total revenue will be over $100 million . This will include everything t hat we do in defense including a rtillery guns yes for this year.
Kapil Singh : And can you also let us know how the defense orders, the guns orders will roll in going ahead? Is there every year there is AoN issued?
Amit Kalyani : Right now, Kapil there is a AoN for 307 ATAGS guns that is out, the RFQ will come out very soon and then the whole order process will go thro ugh, but the guns are approved. They finished all their trials a nd they are ready for induction based on the process being completed.
Kapil Singh : And sir this 307 guns will be over what period?
Amit Kalyani : That is over a four-year period fro m the first year of supply.
Kapil Singh : And then rolling basis then every three - or four -years updates would come on this, right?

Amit Kalyani : See the t otal requirement is huge. This is only a n initial order .
Kapil Singh : Second can you share update on the industrial business both in India and overseas also the oil and gas business, what is the outlook there?
Amit Kalyani : Oil and gas business outlook is stea dy. It is better than last year. Industrial business is growing. Thanks to a lot of boost from the renewable energy sector and the Make in India a nd China plus one a lot of those companies are moving into India plus the fact that India is the only country where infrastructure development is taking place at such a pace . I think India is the place to be for industrial sector and this is where a lot of growth is going to happen. We expect to continu e a double -digit growth in th e industrial sector overall i ncluding both forging and casting.
Moderator : Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.

Mumuksh Mandle : Sir, can you just share some outlook for the construction equipment for the overseas market sir?
Amit Kalyani : I do not have the construction equipment outlook. I know that we are a supplier to their sector across various different components and fields and our business is gr owing quite dramatically.
I do no t have details of which company is growing in which geography maybe Su

bodh has that
maybe he can add something to that.
Subodh Tandale : You know Amit, you are right. There is no such specific benchmark, b ut we deal with pretty much everybody in that segment in the construction and mining g lobally and currently we are seeing very strong demand which again is a factor of the strength of the market to a certain exten t and also for us growth in let u s say either our market share or acq uisition of new business. So, it is a combination factor, but that segment for us is growing quite well.
Amit Kalyani : One more thing that will start happening in the near future is you will start seeing capacities being created in India to service India and to export from India.
Mumuksh Mandle : And sir this quarter PV revenue was lower sequentially in b oth domestic and exports market, any reason for that sir?
Subodh Tandale : There is no structural issue here. It is as I mentioned earlier that there are some challenges that the OEMs are facing in supply and ag ain it i s not just semiconductors, it is a combination of various different things . It is a combination of tyres; it is combination of other parts and so on.
So, there are some demand adjustments going on, but there is nothing which is a structural problem right now. They are still expecting, for example, the US to go up a significant level from this year, Europe is going to be steady and we see the growth in India as well, so w e should be able to make it up t hat is not an issue.
Moderator : Thank you. The next question is from the line of Pramod Amthe from InCred Capital. Please g o ahead.

Pramod Amthe : Amit, t his is w ith regard to the EV component any update on two of the plant s you are supposed to start and also incremental customer orders i n the similar space?
Amit Kalyani : So, one plant has started which is the two-wheeler contract manufacturing plant. The first month was the month of April. The other plant will start in the middle of June and in terms of our power and control electronics w e have s upplied samples for testing to four OEMs in the country and we should see feedback probably by June o nce the testing is complete. So, we have del ivered.
These are not prototypes, these are beta samples. So, they are 20 to 50 number t hese are signif icant volume for fleet testing.
Pramod Amthe : Is it relatively behind schedule and any reason for the same from customers or from your side?
Amit Kalyani : You know customer s are also developing products. So, it i s going through its own product development and debugging cycle. When you a re developing EV s as related to IC components the challenges are very different and all OEMs w hen they ha ve gotten into this sector have faced these challenges.
Pramod Amthe : And the second one is with related to some of the tie ups or the investme nts which you have made in the EV space, do you see a risk of mark -to-market downwards in case the funding scenario tightens for your international entities and h ow do you see through in the last three, fou r years of your investme nt experience in this business, i s it more like a one off which comes back or how do you looking to or the technology absorption from the same is much bigger than the investment s made ?
Amit Kalyani : That i s exactly the point we are not investing a s a financia l investor. In every case we have got let us say the rights to access the technology and manu facture component subsystem, system subject to obviously paying them some royalty where needed, but we ar e using this whole process to assimilat e the technology and knowledge a nd develop a larger product profile or product network for our sales for this sector becaus e I believe that the EV sector is not a sprint neither is it a marathon. I think it i s a series of sprints b ecause there is a reset taking place every 12 to 18 months in t

erms of technology, in terms of new technology regulations, new developments in battery technology, in sensor technology, in motor technology. So, one has to remain agile, invest in some base foundation technology and then adapt to wha t is happening.
Pramod Amthe : And the last one is as you talked about these new business initiatives?
Amit Kalyani : Even if you read what the CEO of the largest Japanese company said after he took over . I think it was very profound to learn the admission m ade by s omeone that strong and that powerful that making electric vehicles is not like making cars. In fact, it is anything unlike making cars that is like making a computer or making a cell phone or something like that because it i s more about the electro nics, the control systems, the software, the embedded systems. The vehicle is the bo x which all that goes in. So, it is that which is the unlearning that needs to be done in order to go forward a nd the challenges in this sector and the op portunities in thi s sector are two sides of the

same coin. So, we are going to have to be agile, be nimble, b ut at the end of the day EVs are

going to be the future. I do no t think 25 years from no w there is going to be more than 20 -25% of combustion engines.

Pramod Amthe : One more question is consideri ng that some of the verticals t ook some time to fructify like aerospace o r even defense if you have to look at 3 years or 5 years down the line as we continu e to get fearsome from your exposure to C V, where do you see CV as a propo rtion will be for you might be three or five years down the line?

Amit Kalyani : See Pramod that i s a very difficult question to answer because in CV if electrification of CV takes place and we get the kind of market share that we want and we believe t hat we have the potential to get we may have a very strong g rowth in that. So, if you remove EV then it may be different although if you include EV I think that we have a s ignificant growth opportunity.

Moderator : Thank you. The next question is from the l ine of Mahesh from LIC Mutual Fund. Please go ahead.

Mahesh : My most of questions have been answered j ust one query sir wh at kind of growth you expect in Indian truck market for this financial year?

Subodh Tandale : I will just give you a longer answer for this. Till Q 3 last year the ma rket was supposed to operate somewhere in the region of about 375,000 TIV and suddenly Q 4 was pretty good over the last 4 months were pretty good a nd then we ended up with 405 which was originally the projec tion supposed to be for this year. So, our expectation right now is it will b e within single digit growth is what we expect from this level, b ut this is also considerin g the significant growth chain i n the last I would say three, four months, but overall, the demand for the next two years or three years generally we expect it on a positive side t his is our view for now.

Moderator : Thank you. The next question is from the line of Aman Agrawal from Carnelian Capital . Please go ahead.

Aman Agrawal : Just one qu estion from my side s o like if we see a slowdown in CV segment in the US in 2024 calendar year, how do you see your aluminum forging operations getting affected due to this?

Amit Kalyani : Is that a US PV?

Aman Agrawal : US CV commercial vehicles?

Amit Kalya ni: We do no t have any aluminum e xposure to commercial vehicles it is only to passenger cars.

Aman Agrawal : And they are like to our U S CV export like if you see a slowdown in 2 024 calendar year l ike any indication we are having with th e OEMs about order for 2024 sir?

Subodh Tandale : See 2024 at th is point it is not sup posed to decline. We are actually seeing projections of a small growth if not it will re main st eady s o that is the forecast, but again nowadays with the volatility

you have to monitor this e very month or every quarter. So, we wi ll see how it goes , but at this point the y are not predicting any significant decline at all.

Moderator : Thank you. The next question is on the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy : My question is can you highligh t the domestic business for FY 23 especially domestic industrial busin ess like how is your mining d oing for FY23 like a tractor or aerospace?

Amit Kalyani : See tractor industry was at all-time high in 23. 24 I think the projections are yet to be out, b u t obviously it was the highest ever production of tractors in India so e verything is relative, even if the production is down 5 % to 10% or 15% it is still a very high number. I am not saying that is what they a re projecting, but on the other side o n the construction and mining sector those sectors are booming in India, everybody is increasing capacity plus a lot of companies are moving production to India. So, I think India will become a major export hub for that equipment at least for countries like Africa and for Australia and Southeast Asia etc.

Rakesh Roy : Sir just one last question is a d omestic mining revenue contri bution for in total industries is h ow much, Sir?

Amit Kalyani : I do no t have tha t number, but probably about 10%.

Rakesh Roy : If I a m right sir for FY 22 is near 400 crore for domestic business for construction or mining?

Amit Kalyani : I do not have the numbers with me I a m sorry.

Rakesh Roy : Sir in export side same in industrial side s ir you said oil and gas business is stable, s o this year number is on a yearly basis is a flat?

Subodh Tandale : It is the same as last year.

Amit Kalyani : It is going to be steady.

Rakesh Roy : And can you highlight also especially for export market ind ustrial side for aerospace business how is doing and what is your for FY23?

Amit Kalyani : Aerospace has done very well, aerospace has grown more than 100% and we expect that aerospace will continue to grow and it will grow at more t han maybe 30%, 40%, 50% t his year also.

Moderator : Thank you. Ladies and gentlemen, this would be the last question for today which is from the line of Godwin S Fernandez an individual investor. Please go ahead.

Godwin S Fernandez : So, there was a joint venture that w e announced w ith Talgo for manufact uring of speed trains in India, c an you kindly put some colour on that and the future prospect to the same?

Amit Kalyani : So, w e did not announce joint venture Mr. Fernandez . We have signed a MOU with them to explore the opportunit y of setting up a joint venture, to supply to the high-speed rail system in India. So, we are working through the necessary technicalities to understand the competitiveness, the production capability, transfer of technology etcetera a nd we should shortly have a conclusion on this.

Moderator : Thank you. As that was the last question for today. I would now like to hand the conference over to Mr. Kalyani for closing comments. Over to you, Sir.

Amit Kalyani : Thank you ladies and gentlemen, for your interest and yo ur questions in our company. I look forward to your continued support and engagement with us a nd if anybody has to ask some other questions, please get in touch with our Investor Relations team and they will direct you r questions to the right people and ge t you the required answers. Thank you very muc h and have a nice weekend. Bye -bye.

Moderator : Thank you s ir. On behalf of Bharat Forge Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Sep 2023

B H A R A T F O R G E

BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com CIN L25209PN1961PLC012046

August 10, 2023

To,

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, ‘Exchange Plaza’,
Rotunda Building, P.J. Towers, Bandra-Kurla Complex, Bandra (East)
Dalal Street, Fort, Mumbai- 400 051
Mumbai - 400 001 Symbol: BHARATFORG
BSE SCRIP CODE – 500493 Series: EQ

Sub: Transcript of the Analyst / Investor Conference Call on financial results for the quarter ended June 30, 2023

Ref: Regulations 30 and 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

We are enclosing herewith transcript of the conference call with analysts, which took place on August 09, 2023, after announcement of the Unaudited Standalone and Consolidated Financial Results for the quarter ended June 30, 2023.

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst-conference-calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Bharat Forge Limited,

Tejaswini Chaudhari
Company Secretary and Compliance Officer

Encl.: As above

“Bharat Forge Limited Q1 FY24 Earnings Conference Call”

August 09 , 2023

MANAGEMENT : MR. AMIT KALYANI – JOINT MANAGING DIRECTOR ,
BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR ,
BHARAT FORGE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Bharat Forge Limited Q1 FY24 Earnings Conference Call.

As a reminder, all particip ant lines will be in the listen -only mode and there wi ll be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Kalyani – Joint M anaging Director, Bharat Forge. Thank you and over to you, s ir.

Amit Kalyani: Good afternoon, ladies and gentlemen, and thank you for first of all, adjusting to our change in time at the last minute. Unfortunately, we had a lot of discussion in our board meeting, which went a little longer than expected . It was a very good discussion and therefore we had to push out the call.

As is normal, I am Am it Kalyani. I have with me our Finance and Inves tor Relations team and we have our Head of our Components B usiness also on the line. I'll take you through quickly a few highlights and then I'll be happy to answer your questions, which I and our team , the whole team will respond to .

So, in terms of our s tandalone business, w e had a top line of about Rs. 2,127 crores. This w as almost 21% Y -o-Y growth. Our EBITDA was up by about , again almost 20.3% to Rs. 553 crores . Margins have been maintained at 26% . PBT before exchange gain or loss was Rs. 421 crores, 26% odd growth over Q1 of 23 . We have won over 200 crores of incremental new business for the components and automotive business. In this quarter, our balance sheet continues to remain strong and net of long-term loans we have close to Rs. 700 crores of cash . Passenger vehicles story continues to grow for us. We have developed new customers, new products and we continue to see large opportunities for growth both in engine , powertrain and also EV related components. We saw a passenger vehicle growth of about 4 3% Y -o-Y. Despite a one -time destocking impact of about Rs. 80 crores in Q1 for the oil and gas business due to some product changes , the hit on the industrial export business was limited due to continuing strong traction in aerospace , which is now contributing about 16% of our industrial export business. This has grown at more than 50% over last year and we expect to see a strong double -digit growth this year and next year as well.

Let's com e to the part that we're most proud of and let' s say it's something that we've all as shareholders , as management , as investors been waiting for a long time has been the c onversion of the defenc e business into a revenue generating , profit generating business which has started from this quarter where we have started exports of both systems as well as components in a big way and this will continue to grow. In fact, we are seeing tremendous traction from global markets and just in quarter one, we won an additional almost Rs. 280 crores of new orders in defence and we have many more orders in the pipeline. So, our combined order pipeline now is in excess of Rs. 2,200 crores to Rs. 2,300 crores, which is largely exports. This will be executed

over the next 18 months and this encompasses orders across vehicles , artillery systems, components, naval solutions enabled and unmanned systems. This basically marks the entry of Bharat Forge into the system space in a very, let's say, technologically advanced and geographically opportune and diverse and globally in dema nd kind of sector and this business will also very soon contribute to , in fact, this year also should be close to 10% of our overall revenue and inc reasing as we keep going ahead.

Coming to our overseas business, we had a turnaround in our European business where our EBITD

A went to Rs. 51 crores as again st a loss of Rs. 14 crores , so swing of Rs. 65 crores . US operations were similar to previous year, but you have to remember the US operations were set up 2 years after our last European expansion, so the European expansion is now h eading to 50% plus capacity utilization, whereas the US is still ramping up and is going through its product development and establishment cycle, which by Q4 should be done and we should have turnaround in Q4.

Our subsidiary , JS Auto has now completed its acquisition of Indo Shell Mo uld SEZ unit for a cash consideration of Rs. 55 crores with the asset as is including the current environmental clearances we h ave. This can do a turnover of about Rs. 200 crore s and capacity wise it can almost double that with increase in our environmen tal clearance. So, now between ISML and JS Auto, we have a capacity more than double of what we had when we bought JS Auto. In fa ct, very close to 2.5 times and we expect to see our growth in the casting space also be very high in the strong double -digit range because there is a lot of demand. There's a lot of demand coming from Europe and a lot of shift of manufacturing from Europe to India . In fact , the big strateg y that we are now going to push and put a lot of emphasis on is to increase our manufacturing in India and use India as a large export base for the world, both at a component level, system level and at subsystem level as well.

Our India manufacturing platform, which is basically the components plus products which encompasses today are Bharat Forge standalone business plus the defenc e manufacturing in KSSL, is already at a run rate of Rs. 10,000 crore s and Rs. 2,500 odd crores of revenue for the quarter and we expect to see this grow very smartly and very sharply over the next 2 to 3 years. In fact, we will undertake a large expansion now in various areas. I've talked about casting. This is all in India and this i s all in spaces that we are comfortable with. This is in forging , in machining , in EV related forgi ng and components and our defenc e plants are also coming online. So, we'll probably do somewhere in the region of Rs. 1000 odd crores in the next 2 .5 years . At the same time, we w ould also repay over Rs. 1000 crores of debt in the next 2 years and we will do all this through internal approvals. We will maintain a healthy debt equity profile, will maintain a healthy cash balance and have the ability to respond to any growth opportunities in India manufacturing or India related manufacturing growth fo r global opportunities as well.

As we go forward, we expect to see our consolidated EBITDA margin to increase from 16% towards the high teens that we have always aim ed at and increase our return ratios also quite substantially. In terms of this I SML acquisition, this plant is within 2 kilometers of our existing JS Auto plant, so we don't need to hire a large management overhead. We only need operating

people and we wi ll get a lot of synergies and let's say operating leverage coming in quite soon . We also are getting a lot of interest from our global customers for export demand for casting and we see that as another big road driver to improve our India manufacturing footprint and sales outside of India and to further serve our customers more completely.

Talking about customers , our last man standing strategies bearing results. We have increased our market share in the automotive space both in India and outside. We exp ect to see the Class 8 markets in Europe and US to remain strong, one driven by demand and little bit of emission norms , the second driven by emission norms upcoming. Plus, an old fleet and drivers being more accustomed to vehicles with more assistance and things like that to make driving easier. And this is what we hear from our customers and we expect this to rem

ain stable , to positive and we have also tied up long -term business with all our customers and we continue to grow our engagement and footprint w ith our customers. We expect the next few years to remain strong and this growth momentum that you're seeing this quarter to continue gaining strength over the next 3 quarters for this year and also in to next year as we expand our footprint of products, geographies, sector , segments and new fields as well . So, that's really all I had to say and I'm happy to now take questions.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Binay Sing h from Morgan Stanley. Please go ahead.

Binay Singh: The strategy that the company embarked on of diversifying revenues is beautifully at play in this quarter. My first question is on the defenc e side only . In the opening remarks , you said that it would almost be 10% of consol idated revenue for year, roughly implying that K SSL will have very sharp ramp up in revenues in the coming 2 -3 quarters only. So, how do you see that impacting margins and also link ed to that, any update on de fence order wins from India sid e given that it's an election year, will that have an impact on wins from India side? So, any comments on that , so that will be my first question.

Amit Kalyani: So, Binay, yes, you are absolutely right. It will imply strong growth, but we a re already ramping up our defenc e business and we continue to see tremendous demand coming from markets across the world. So, not just we are not , as you know, we're not just dependent on India, but we're already exporting and we see tremen dous growth opportunities. And the capacities we're building will start getting ramped up . We are today producing in our existing facilities. We don't have dedicated facility yet, but the point is yes, maybe I don't want to comment on election year and the impact of election year, but all I will say is that there's enough demand for us globally to produce and sell whatever that we need to in terms of creating growth.
Binay Singh: And at what scale do you see the profitability of this business being like mid-teens margin or so?
Amit Kalyani: Profitability, s o it is accretive to our overall business. There is no dilutive impact of this. Also you have to remember that while we are only looking at EBITDA , you also need to look at it on

a return on asset basis. It will be substantially higher. Please also remember for the India order , the RFQ is already out, so at least some part of the India order should happen before other things.
Binay Singh: Right. And also part of the profitability fits in stand alone. So, we're just looking at K SSL may not even give the full picture for the company.
Amit Kalyani: Yes, so you have to look at consolidated because KS SL is 100% sub and as you know the components are made in Bharat Forge . So, if you combine the two , you will get a good picture.
Binay Singh: And the second point that you made, which is very interesting on the last man strategy getting orders till 2035, could you comment a little bit about which components and geographies you are getting?
Amit Kalyani: So, I'm not go ing to talk any more detail than this, you know it's a competitive market and we don't want to share such sensitive information. All we are saying is that the customers are banking on , talking or partnering with suppliers who can supply not just components but also be a technology partner and a strong player for the long term.
Binay Singh: Right. Then just any comment on the India PV business where we've seen sort of this, you said it's a one -time impact from some customer because of which we've seen the re venue dip.
Amit Kalyani: So, one of the customers that we used to supply to has stopped making the products that we used

to supply into. So, we are now supplying to other people. Actually , we don't supply into the passenger car sector anymore. We supply in to the industrial and SUV sector using the same assets.
Binay Singh: And just the US break even , are we on track for third quarter what we were guiding earlier ?
Amit Kalyani: Third , fourth quarter.
Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Just continuing on the question of K SSL, could you tell us what is the fixed asset base at K SSL and how much CAPEX will be required?
Amit Kalyani: See the fixed asset base in K SSL is not large right now because p lease remember it is an integration business. Right now , we're spending about Rs. 120 crores in building a large facility of about 4 odd lakh square feet which will abe to do vehicles, armo red vehicles , rollaway chassis and guns and mounted gu n systems and that will have a very large capacity. It will be one of the largest such capacities in the world.
Kapil Singh: So, for this revenue ramp up, no significant CAPEX is required. That's how I should understand.
Amit Kalyani: Yes, correct.

Kapil S ingh: And second, there was also a mention of investment of Rs. 150 crores , I think in Kalyani Powertrain. Could you just talk us through that as well like what is that?
Amit Kalyani: So, we have a long-term strategy, which we created three years ago and we are implementing that strategy. We have a plan for large supplies into the electric vehicle business and we have to place orders for certain equipment to set up a new plant to manufacture these components and systems and this is over a 2-year period.
Kapil Singh: So, this is setting up capacity in that entity ?
Amit Kalyani: Yes.
Kapil Singh : And s ir, at what level of revenues does this business become EBITDA positive?
Amit Kalyani: Which one?
Kapil Singh: Kalyani Powertrain .
Amit Kalyani: See, you have to look at it separately. You have to look at that investment in Tork separately and the rest of it separately . Tork, we did to learn about this sector to understand the technolog y and to learn manufacturing of these things which we have done. The rest of it is all product specific

as we ramp up to let's say some amount of steady production . Today , what we're doing is we're making a lot of prototypes for a lot of different people and getting them tested, getti ng them approved, going through a learning curve. So, just like in defenc e, we took a long time because we were developing the technology on our own , but then in the longer term, it gives you a lot of benefit. Same thing is what we're doing here. Obviously , we're not expecting it to take so long , but I would say at least 2 to 3 years for it to be meaningfully profitable.

Kapil Singh: And lastly, can I check on the overseas operations as well, we have seen an improvement in EBITDA margins over there. By when do you see the company touching double digit margins over there?

Amit Kalyani: Look for the full year, we will be profitable at a PBT level globally. Europe will be PBT positive and US will be definitely EBITDA positive for the quarter four, but Europe wi ll be PBT positive for the full year in a healthy manner.

Kapil Singh: Would that mean margin close to double digits by the exit quarter?

Amit Kalyani: I would say high single digit.

Moderator: Thank you. The next question is from the line of Amyn Pirani from JP Morgan. Please go ahead .

Amyn Pirani: Just going back to that last man standing comment that you made, I know you didn't want to share too many details. I just want to clarify one thing. Since you have now assurances from your customers till 2035 and given that at least the global customers are planning to move to a

k

ind of a net zero kind of a number by 2035, would it be fair to assume that you are going to be a partner for a lot of these new age and EV vehicles also and you will be coming up with a lot of products there?

Amit Kalyani: Yes, that would be fair.

Amyn Pirani: And secondly, on the defenc e business, the order for ATAGS that you had won for the export market that was supp osed to start ramping up from 2 Q or some of the ramp up in this quar ter also includes that ?

Amit Kalyani: Just very small initial, probably the first half supply.

Amyn Pirani: So, obviously this number should sequentially improve quite substantially over the next few quarters on the K SSL si de as well as on your own defenc e?

Amit Kalyani: Please u nderstand the order value , you guys know. It is s pread out over 18 months. From the time it ramps up, it is spread out over 18 months. One year from the order it starts and it becomes the 18-month order , 18 to 20 . There are two diff erent orders. One is one product, second is second product. The two orders we re received at a different time frame and please understand I'm not going to a supermarket and selling my product. The customer also has some schedule by which it wants the product to be inducted.

Amyn Pirani: And the Rs. 280 crores of new orders, can you help us understand what components or produ cts is that for?

Amit Kalyani: So, that's also both capital items and revenue items.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: I just had a gain a follow up on the defenc e business . The 2,200-crore order book that you talk about includes only the export order that you have and the other component order. It does not include ATAGS at all, right?

Amit Kalyani: No, it does not include any India orders.

Gunjan Prithyani: It does not include any India order, okay and would it be possible for you to share what was the overall defenc e revenue in this quarter? I can see KS SL, but there is also some revenue that gets captured in industrial part of the stand alone, right?

Amit Kalyani: It's about Rs. 250 crores for the quarter.

Gunjan Prithyani: And this KSSL, sorry, just trying to understand how the accounting is getting done. The standalone sells components to KSSL and then KSSL books out to the customer. So, it's sort of

Amit Kalyani: No, Gunjan, we only make components in Bharat Forge. The entire system and assembly is made in KSSL and then sold.

Gunjan Prithyani: So, part of the revenue…

Amit Kalyani: At least that is the way it's going to work. Okay? Because KSSL is our company for doing defense systems. Now some of the early orders have come before KSSL was fully set up. So, some of the early orders were in BFL, but all of the execution is going to happen through KSSL going forward.

Gunjan Prithyani: And the second one I had was on the aerospace because you did talk about destocking which

impacted the revenue stream on exports, but again, aerospace you quantified. So, how defense
is very clear now, but aerospace in terms of revenue ramp up, how should we think about that?
And anythi ng you can share from the margin also for that?
Amit Kalyani: The margins are also very good. Please remember that we are using our existing forging
capacities to make parts for aerospace. We have dedicated machining capacities, which we have
set up for th is, and we are making extremely high -end, high -tech products. I would encourage
you to come and take a look. We make parts like landing gears for commercial aircraft. We make
fan blades in titanium and entire balanced rotating assembly for jet engines. The se are all jet
engines in the 15 to 1,000 pound thrust and above category.
Gunjan Prithyani: Revenue ramp up, any guidance around it or?
Amit Kalyani: This year we will see a reve

nue growth of over 30% over last.
Gunjan Prithyani: Just lastly, if you can talk about the outlook both on CVs in India as well as U.S. Class 8? You
briefly touched about it, but if you can just give us some color as to this given the cyclicality in
these both categories ?
Amit Kalyani: Gunjan, I have my colleague Subodh who is the head of our component business . He is better
positioned ; he is the right guy to answer this . Subodh, can you please ?
Subodh Tandale: So, Gunjan, to your question, a t this point , we see a strong commercial vehicle segment both in
U.S. and Europe , and th is is driven by the order books and the backlogs . The expectation is this
should continue into next year as well . That is what North American companies are even publicly
stating.
As far as India goes, India is already seeing a strong correction including Q1 as you have seen .
And again , if you look at everything that's happening in the country infrastructure wise and
others , the expectation is it will continue to be stable . It may not grow significantly in India , but
it would definitely continue to be stab le is the expectation .

Gunjan Prithyani: And what is this emission related that you mentioned in Class 8 ? Is there some big bunching up
of advancement of demand that you all are expecting .
Subodh Tandale: No, I think the emission was mentioned in light of the advancement of the product sales
Amit Kalyani: One of the newer car standards coming up in the U.S. and the Euro 7 coming up in Europe.
Subodh Tandale: Yes. That is in 2026 -27. It will be complicated.
Amit Kalyani: Yes, there will be pre -buys, we call it.
Moderator: Thank you . Next question is from Pramod Kumar from UBS . Please go ahead .
Pramod Kumar: Amit , my first question is on the railway side . We had this collaboration with Talgo . So, if you
can just help us understand how are we doing the re? How is that business looking ? Because that
can again be a pretty significant part of your domestic industrial rollout , right?
Amit Kalyani: See, r ight now we are looking at components on the railway side . We are not looki ng at entire
systems . It's again a very complicated business . So, I think we need to get our arms around it
before we bid for something that is a 30 -year project , and I think that there are going to be a lot
of opportunities in the future as well . So, I will wait and watch .
I don't know whether that is going to let's see where it goes . We are in it , but it's all getting
postponed and things like that from the user end . So, it takes a lot of time and effort to be in
these businesses . We want to be in businesses where the time and effort delivers the kind of
value returns , profitability that is let's say , pays off for the kind of effort that you put in . Plus, I
don't want to be limited to geography . I would prefer to be in a business w hich is more globally
accessible to us .
Pramod Kumar: And Amit , the second part is on the KPTL business , because looking at the various components
what you do , there is quite a lot , right ? You are doing your advanced lead acid battery , then
power electron ics includes MCU everything , but which part of this , which part of the component
chain where you strongly feel that you are going to be building a sustainable edge , which will
attract a lot of the OEMs towards you ? Because what we are seeing is a lot of th e OEMs that
want to do are already doing a lot of these components in -house . So, in that context …
Amit Kalyani: No, no, no. See, actually a lot of what you are asking me is our strategy . If you look at us globally ,
we are a niche global player . We don't play in commodity spaces . We play in high technolog y
niches , and we will adapt the same to the EV sector . At a component level , we will supply to all
the OEMs and the tier ones and the new e

merging customers , but we will select a few niches in
that where w e will go deeper and wider .
Pramod Kumar: And so , is the understanding right that you will be focused more on the international side rather
than looking at the Indian value chain ? Or am I…

Amit Kalyani: Yes, we look at both . But please remember , a large pa rt of this manufacturing is going to happen in India .
Pramod Kumar: And Amit , generally , any color on the industrial side non -defense vertical for the growth outlook ? Because given how the CAPEX story is evolving in India , anything that you can share on how is that progressing , sir?
Amit Kalyani: On the industrial front also , we see a lot of opportunity . In fact , we have targeted t wo, three new sectors . Again , I don't want to go into those very quickly because we are still playing those ou t . But Subodh, maybe you can generically touch upon this .
Subodh Tandale: I was saying we are addressing a very wide range of industrial segments which is right from heavy engines and products for construction and mining industry and so on . There are a lot of different things happening where we are adding new products , where we are adding new customers . We are adding new services . And at this point , the outlook is positive for India , of course , with everything that's going on , but is also positive for the world . And any industrial business has its ups and downs , but overall , we see the outlook as reasonably positive .
Moderator: Thank you . The next question is from the line of Pramod Amthe from InCred Capital . Please g o ahead .
Pramod Amthe: So, wanted to , with regard to t his KSSL again , so if you have to look at the related party transaction , what proportion might be coming from Bharat For ge standalone as a part of sales?
Amit Kalyani: KSSL is part of Bharat Forge, man. It's a 100% subsidiary.
Pramod Amthe: No, I am sayin g sourcing of components , if you have to look at , is it 70% ?
Amit Kalyani: All the critical components which is ordnance and other things which are critical which nobod y else can make are obviously go ing to come from Bharat Forge. So, I would say in terms of valu e terms, maybe 30 %-40% will come from Bharat Forge. Maybe 30 %.
Pramod Amthe: So, the remaining 70 will be others and then the value add for KSSL.
Amit Kalyani: Yes, absolutely .
Pramod Amthe: And if I had to look at the Kalyan i Power train, the ramp up is slower than expected or what is the status of your new plants ? And what is holding you back ?
Amit Kalyani: Well, one thing is FAME . You know, this whole FAME getting diluted has had an impact on everyone , but please remember that even during those time s we have not mis-claimed or wrong ly claimed any FAME benefits . We are one of the few companies which has not done this . So there are a lot of people who are going to have to pay back the money that they have taken from the government .

Pramod Amthe: And the last one is with regard to the JS Auto. Post this acquisition , any internal targets in terms because you are openly talking about growth outlook of upwards of 25% -30% ? Has it changed now for a much aggress ive because capacity is doubling up and you are getting more client confirmation ?
Amit Kalyani: Yes, like I said, this ISML acquisition has just been complete. Maybe in Q3 when we do our Analyst Meet, we will give you a much better picture on JS Auto and overall picture .
Moderator: Thank you . The next question is from the line of Raghunandhan from Nuvama Institutional Equities . Please go ahead .
Raghunandhan: Firstly , on standalone , raw material cost to revenue , despite higher industrial revenues , there is increase in this RM to revenue Q -o-Q and Y-o-Y. Any reason for the increase ? And how do you see this in comin

g quarters ?
Amit Kalyani: Now basically it's a product mix. It will normalize over the next two quarters .
Raghunandhan: On oil and gas segment , there was a one -off impact as you indicated . What would be the revenu e for the quarter ? Or what is your expectation on the full -year growth ?
Subodh Tandale: So, the overall growth for the oil and gas sector will be , I would say , flat as compared to last year because the oil and gas sector is strong , but there is a lot of discipline in terms of investments that is happening . The one good thing that is expected by the end of this year maybe of November , December time frame is the demand of oil is expected to ou tstrip production , and at that point , we may see some amount of positive change . But otherwise , we are assuming that it is going to be flat as compared to last year.
Raghunandhan: And Subodh sir, on the North America Class 8, over the past six months , Class 8 order backlog has reduced as new orders are lower than the production numbers , and some of the industry experts like America Commercial Transportation are talking about 15 % to 20 % decline in CY '24. Do you expect any weakness next year ?
Subodh Tandale: As I mentioned earlier , at this point , a lot of the order intake is lower because OEMs are not opening their order books . I mean, you have seen public statements from Daimler Truck I think about a month ago to that effect. I think Volvo has made similar s tatements as well. So, there is

an expectation that these order books will be opened in the near future , and I think all the OEMs are talking o f a similar year as compared to '23 in '24 as well . So, we have to wait and watch , but that's all I can tell you now.

Raghunandhan: And just my last question . In terms of investments , they are likely to increase . So, what would be the CAPEX expectation in standalone , consol for '24-'25?

Amit Kalyani: So, right now as I mentioned for '23-'24, '24-'25, and probably ano ther six months , our CAPEX will be in the region of about 1 ,000 crores plus minus 10 % combined , and this is the overall CAPEX .

Raghunandhan: And standalone would be, sir?

Amit Kalyani: Bulk of that will be standalone. Standalone meaning India , which includes defence , which includes everything we do in India.

Moderator: Thank you . The next question is from the line of Arjun Khanna from Ko tak Mahindra Asset Management . Please go ahead .

Arjun Khanna: The first question , sir, is on the ATAGS piece. So, earlier we had the DAC approval and then last quarter you talked of the AON , Acceptance o n Necessity coming through . So, the next stag e would be RFQ . Is that the right understanding ?

Amit Kalyani: Yes.

Arjun Khanna: And has the RFQ come till now ?

Amit Kalyani: RFQ is already out .

Arjun Khanna: So, if one looks at timelines before an order comes through , how would we understand that ?

Amit Kalyani: In a realistic world, now it should be less than six months.

Arjun Khanna: And depending on timelin e, the delivery of the same .

Amit Kalyani: We can deliver . We have the ability to deliver quite fast.

Arjun Khanna: Very helpful , sir. The second query was regarding the PV side of it in India . You did indicate that there was a phase out of a model . So, the current quarter revenues of around 62 .5 crores , is that the run rate we should look forward going for in terms of the trough or potentially , there was some ?

Amit Kalyani: Subodh, what he is asking , Mr. Khanna , is that our passenger vehicle India busine ss was at roughly about 6 2-63 crores , and what do we expect for the quarter and going forward ? I think we have lost Subodh. Maybe I can have him circle back to you or somebody can get back to you . I think we should get back because I do know that we have w on quite a lot of new business . So, we should get back to the p

revious numbers of closer to 80 crores . But please remember one thing, Mr. Khanna, that we will use the same fungible capacities to make parts for India or exports . If the India business is red ucing , we will go harder on exports . Our exports of Passcar are almost 5x the size of our domestic market.

Arjun Khanna: Right . We did almost 280 crores this quarter . Well noted , sir.

Subodh Tandale: I will just add one comment to what you said . We have also, Mr. Khanna, got ourselves on a couple of new programs within India as well , and we are also making very different choice in terms of which segments to play in India as well . So, there are a lot of those factors coming in as well because we w ant to protect our value accretion , but overall, we see a reasonable growth pattern for us in the PV segment both in India and globally as well.

Moderator: Thank you . The next question is from Lakshminarayanan from Tunga Investments . Please g o ahead .

Lakshminarayanan: Sir, couple of questions . First , in terms of the India CV business , right , what has been , have we maintained or increased our market share ?

Amit Kalyani: We have grown our market share .

Lakshminarayanan: And what is the approximate tonna ge? Do you give the data in terms of Automotive , CVs or ?

Amit Kalyani: No, we only talk about overall tonnage, which was 67.5 , 67,000 odd t ons.

Lakshminarayanan: And couple of quarters back you mentioned that you like to get into things like transmission driveline components in addition to front axle beam and crankshaft .

Amit Kalyani: We already make those. And we are , in fact , expanding our capacity in those areas . We make over a million components that go into those products already per year.

Lakshminarayanan: And in terms of the outlook for both Europe and U.S . in terms of the Class 8 trucks , right , you say that you have capacity visibility , sorry , the demand visibility for the next till FY '24 or FY '25?

Subodh Tandale: At this point we have visibility till end of this year and probably two quarters or one -and-a-half to two quarters of next year based on the order books of OEMs and then as I mentioned …

Amit Kalyani: So, basically, 12 months from now, Subodh.
Subodh Tandale: Yes. Roughly, yes, that would be the…
Moderator: Thank you . The next question is from Rakesh Roy from Omkara Capital . Please go ahead .
Rakesh Roy: Sir, can you light on the business r ecently we g ot the license from Home Minist ry for small arms business ? Where we stand and scope of business , sir?
Amit Kalyani: Yes, with the license and we will bid for business based on this license .
Rakesh Roy: We have currently facility for this one ?
Amit Kalyani: We ha d facility for making prototypes . If we get the order s, we will set up the facilit y.

Rakesh Roy: And s ir, we are looking only for domestic market or export also for this one , small arm ?
Amit Kalyani: First , domestic .
Moderator: Thank you very much . We will have to take that as the last question . I would now like to hand the conference back to Mr . Amit Kalyani for closing comments .
Amit Kalyani: Ladies and gentlemen , thank you , as always , for your participation , encouragement , support and deep insight, a lot of insight and planning with which you ask us questions . It keeps us on our toes and I hope that we are able to answer your questions adequately . We always appreciate you r support , and we look forward to continuing our engagement with you , and we will meet soon in the next quarter , if not befo re that . In the meanwhile , if you all have any specific questions or would like to visit any of our facilities , you are most welcome to reach out to our teams .
One point that I forgot to mention was that we won a ESG award from The Financ

ial Times and Statista of being one of the Earth's Champions , and this goes a long way in our customers recognizing the pioneering work that we are doing on the environment front , and I think that is another factor which will help us in being able to move a lot of busines s to places like India .
Thank you very much . Have a nice day .
Moderator: Thank you very much . On behalf of Bharat Forge Limited , that concludes this conference . Thank you for joining us , ladies and gentlemen . You may now disconnect your lines.

Call: Nov 2023

B H A R A T F O R G E

BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com CIN L25209PN1961PLC012046

November 09, 2023

To,

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, 'Exchange Plaza',
Rotunda Building, P.J. Towers, Bandra -Kurla Complex, Bandra (East)
Dalal Street, Fort, Mumbai - 400 051
Mumbai - 400 001 Symbol: BHARATFORG
BSE SCRIP CODE – 500493 Series: EQ

Sub: Transcript of the Analyst / Investor Conference Call on financial results
for the quarter and half year ended Septemb er 30, 2023

Ref: Regulation s 30 and 46(2) of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Dear Sir/Madam,

We are enclosing herewith transcript of the conference call with analysts, which took place on November 06, 2023 , after announcement of the Unaudited Standalone and Consolidated Financial Results for the quarter and half year ended September 30, 2023 .

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference -calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Bharat Forge Limited,

Tejaswini Chaudhari
Company Secretary and Compliance Officer

Encl.: As above

"Bharat Forge Limited
Q2 FY '2 4 Earnings Conference Call "

November 06, 202 3

MANAGEMENT : MR. AMIT KALYANI – JOINT MANAGING DIRECTOR –
BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CHIEF FINANCIAL OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to Bharat Forge Limited Q2 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani, Joint Managing Director, Bharat Forg e Limited. Thank you, and over to you, sir.
Amit Kalyani: Good afternoon, ladies and gentlemen, and thank you for joining our investor call. Today, we're going to have a little change of format, and I'm going to request our CFO, Kedar Dixit, to take you through the call. I will be here in case any Q&A is need ed. Thank you.
Kedar Dixit : Good afternoon, everyone, and welcome to the Bharat Forge conference call. I'll take you through the highlights of this quarter. So talking about the stand -alone business, Q2 was a strong quarter with robust performance across secto rs and geographies. The company has registered record volumes, top line as well as profitability in this quarter. Sales grew by almost 21% on a Y-o-Y basis, which is primarily driven by 2 key sectors, passenger vehicle exports, which has shown a substantia l growth of almost 39% and domestic industrial business, which grew by 50%. This is primarily by execution of defense orders, which have started since last 2 quarters.
As far as PV exports are concerned, it's now account s for almost 1/4 of the total expor t business. It has been a phenomenal success story of market share gains, increasing value add and addition of new geographies. EBITDA has also grew by almost 36% to INR 616 crores. There has been a margin expansion of almost 300 basis points, now stands a t 27.4% on a Y -o-Y basis, driven majorly by better product mix and cost reduction initiatives by the company, which are continuing.
PBT before exchange gain loss was at INR 473 crores, which is the highest so far in this quarter as against INR 358 crores for the same quarter last year and PAT for the quarter stands at INR 346 crores. During the quarte r, the company has also won INR 500 crores worth of new business spread between the industrial as well as the CV market. T his figure stands at around INR 740 crores for H1 of this year, and this includes bu siness wins of almost INR 300 crores for e - mobility platforms.
Our balance sheet continues to remain strong with cash in excess of INR 2,200 crores. We have reduced our leverage by the long -term debt reducing by INR300 crores in the last 6 months and ROCE net of cash has reached up to 20% mark. Our capex during the first 6 months was about INR 170 crores for th e stand -alone business. It is also worth highlighting that in first half of '24, we have surp assed what we have posted in -- as a full year of FY '20 in terms of top line EBITDA as well as PBT on almost 40% lower volumes.

This is basically because of the better product mix, cost reduction initiatives and move towards from component s to product s. Coming to overseas subsidiaries as compared to last year same quart er, we had a loss of almost INR 34 crores at EBITDA level, which is now a profit of INR 9 crores between U.S. and Europe. As far as European operations are concerned, we have posted EBITDA of INR 35 crores, which is slightly lower than last quarter, but this is mainly on accou nt of the holiday season in Europe.
U.S. operations ha ve posted an EBITDA loss of INR 26 crores in this quarter. But as we go in the subsequent quarters, the losses wil l come down, and the first target is to have a breakeven at EBITDA followed by breakeven at

PBT. We continue to narrow the losses as the utilization
level keeps increasing gradually. The capex for Phase 2 is on track in the U.S. And the current capacity ut ilization as far as aluminum business is concerned is about 50% for U.S. and 70% for Europe.
We are seeing month -on-month improvement in operating performance and the numbers in the September quarter are not the true reflection of the improvement, what we have able to achieve. This will obviously will improve over the next quarters. Talking about the India manufacturing for our subsidiaries, which is our industrial business, was the first quarter of consolidation of

ISML acquisition, which has a positive E PS starting from first quarter itself. JS Auto, our casting ventu re, has won new business of INR 55 crores during the quarter.
And in this quarter, we have seen about 28% growth in sales for casting business and 38% increase in EBITDA. Thi s is this include s about INR 4 cores of acquisition expenses towards ISML which has been charged off to P&L, and their ability to accelerate is being impended by structural challenges in the wind industry and softness in construction mining, which ar e the 2 bigger sectors for JSA.
I'll hand over to Mr. Amit Kalyani for the comments on the business.
Amit Kalyani: So our CV exports were at an all -time high of about INR 550 crores, despite key markets still down 10% to 15% from their highs . Industrial exports were also at a high, despite the oil and gas business being down, almost 60% from their peaks that we witnessed in Q2 FY '19. This has been possible because of our focus on continuing to address new segments such as construction and mining, aerospace and others. Not only does this further reduce cyclicality, but also improve s profitability of the industrial pie. On e -mobility, we will continue to make progress. The 2 -wheeler side of the business has been affected by the reduction in same subsidy. But we have taken that i n our stride, and we are rejigging our platform there to take advantage of what challenges come in place. On the repowering side, we get good traction. Our test trucks have now covered 200,000 kilometers in test runs and 20,000 kilometers in actual loaded customer use case. So we see this also being a very positive development with a good future coming in the next few quarters.
On the defense holdco, we have won orders worth over INR 1,100 crores for multiple customers and product segments, which will be ex ecuted over the next 24 months. We continue to see a strong order pipeline across both capital and revenue products. Our defense order book is

steadily increasing and becoming broad based, encompassing utility systems, unmanned vehicles, components and sol utions for naval forces and unmanned systems.
I'm going to talk liitle bit about M&A. In the past 3 years, we have done three strategic deals with a cumulative outlay of about INR 500 crores focused on industrial and new technologies. We continue to focus on M&A transactions, largely domestic with strong manufacturing and management capabilities, addressing the India industrial opportunity, but also with the potential to export globally.
As a near -term outlook gets clouded by geopolitical crisis, we continu e to focus on increasing our market share in the traditional business sectors, execute orders on our defense business, continue with growing our e -mobility part of the business across components, power electronics and repowering.
We will leverage our stron g balance sheet to do opportunistic M&A in India. And last but not least, we will work to fix the overseas business profitability with a clear and concrete steps across both steel and aluminium. Thank you very much. I think our team will now be happy to ta ke your questions.
Moderator: Thank you very much. We will now begin the question -an

d-answer session. The first question
is from the line of Kapil Singh from Nomura.
Kapil Singh: Congratulations on a strong performance for the quarter. My first question is on EV orders. This INR 300 crores orders, which you could talk about what is the profile of customers here? Are these leading 2 -wheeler or 3 -wheeler companies? And what is also the type of products mainly where these orders have come from?
Amit Kalyani: I will only say this, these are global companies, manufacturing, electric vehicles and electric vehicle products. And our orders are to supply them components and subsystems.
Kapil Singh: Sir, is it possible to share some details like which segments they ar e in this? Which...
Amit Kalyani: I can't share any more than that right now. It's not 2 and 3 -wheele r, okay, It's definitely not 2 and 3-wheeler. That's all I'd say.
Kapil Singh: Understood, sir. And sir, you also talked about repowering business for CVs. We also hear that the government is very keen to electrify buses. So in case of buses also, is there a opportunity for repowering the buses?
Amit Kalyani: Yes, we are already running POCs -- I mean we are already doing repowering for certain customers wit h whom we will run the POC. And this is a completely made in India solution, designed in India, engineered in India. So I think it is a good solution for a country like ours. And that is something that we are focusing on.
Kapil Singh: Sure sir. And on the revenue mix, if I look at it, the domestic CV revenue has been a little bit of a dip, whereas the export CV revenues have seen Q -o-Q increase. If you could just talk us through what's happening there, that would be helpful?

Amit Kalyani: No. But if you loo k at some of the manufacturers of CVs, there has been a destocking that they are doing because of inventory levels. So I think we're in line with that in India. And globally, we have lots of new programs that are coming on board, new market share that we h ave won and new products that we have developed. So that's allowing us to grow our overseas business.
Kapil Singh: Sure, sir. And lastly, if you could talk about the PV exports, we've seen a very good ramp up this quarter. So which geography are you mainly seeing this ramp -up? And through the year, should we expect further ramp -up in revenues from this level?
Amit Kalyani: So on the PV side, we will expect to see growth continuing because we have a lot of business that we have won, where some of it is alrea dy ramped up, some of it is yet to ramp up. Some of it got affected because of the current problems that are being faced in the US, in the vehicle market. But we expect to see the PV sector grow for us globally with a large part of the growth coming from e xports and from pure Indian OEMs.
Moderator: Thank you. Next question is from Amyn Pirani from JPMorgan.
Amyn Pirani: Yes. My question was on the US aluminum business. Losses have been coming down quite sharply. But you also mentioned that you are already hitting 50% utilized levels. So what is the kind of utilization level, which we should consider for a breakeven for this kind of business?
Amit Kalyani: No. See, the breakeven year is a combination of not just utilization -- I mean not just capacity utiliz ation. It also needs the pricing to come into effect, the repricing. So it's a combination of the two. But at 70% to 75%, we should be able to break even with our pricing having been adjusted.
Amyn Pirani: Okay. And over a period of time, is there an oppor tunity to bring down this breakeven level like over the next 2 to 3 years or...
Amit Kalyani: Once the second phase comes into place, yes, because your fixed costs will get amortized across a larger amount of product s.
Amyn Pirani: Okay. That's helpful. A nd on the defense side, we had seen a very strong uptick in KSSL revenues last qu

arter. This quarter also, there has been an improvement. Given the order book, can we expect a very sharp quarter -on-quarter ramp -up going forward? Or is it like a step chang e and then it will stabilize and then grow from there?
Amit Kalyani: Going from INR 300 crores, INR400 crores of revenue to over INR1,000 crores is quite a large jump. And I would say that whatever we are doing now is quite a large jump. Please remember that these are sectors that are very -- let's say, they're not easy sectors to export into. And they have their own procedures in which they work -- processes and procedures in which they work. So I think we are set for a good medium to long -term growth strat egy here. And you will see that as we develop new markets and new products, this will only continue growing.
Amyn Pirani: Okay. And lastly, any update from the government on the ATAGs ordering time line?

Amit Kalyani: As I said earlier, it's going to happen sooner than later, the process is -- I mean it's WIP rig ht now, the whole process so it's -- I can't say anything more than that.
Moderator: Next question is from the line of Jinesh Gandhi from Motilal Oswal. Please go ahead.
Jinesh Gandhi: My first question pertains to clarification on the EV orders which you have referred to. Given it's stand -alone, would it be largely for the forging components or there are any electrical components also there?
Amit Kalyani: I have already shared information than I had to .
Jinesh Gandhi: Okay. Secondly, when I look at the capex at consol level, it's almost INR 300 crores -plus higher than the stand -alone so can you give some flavor on where are we doing this capex at subsidiary level?
Amit Kalyani: So we have capex going on in multiple places. We have capex going on in our defense business. We have capex going on in our aluminum casting business, aluminum forging business and our EV business.
Jinesh Gandhi: Okay. And the US Phase 2 expansion is effectively -- are we doubling our capacity there? Or is it lower than that?
Amit Kalyani: Yes, we are.
Jinesh Gandhi: Okay. And by then, it will start operation?
Amit Kalyani: As I said, operation in '25.
Jinesh Gandhi: '25, okay. Got it. And lastly, if you can share where we are in today in terms of revenues from oil and gas, defense and aerospace. I believe all of these particularly defensive...
Amit Kalyani: I would like to share that information only on an annual basis. But if you look at our overall

industrial revenue, it' s growing and it's growing. Thanks to our de -risking strategy and our new product development strategy.
Jinesh Gandhi: Right. Surely, I mean, clearly, the defense and aerospace are now delivering quite rapidly. So no worries, will take data at the end of t he year. Thanks and all the best.
Moderator: Thank you. Next question is from the line of Arjun Khanna from Kotak Mutual Fund. Please go ahead.
Arjun Khanna: Congratulations on a great set of numbers. Sir, my first question is on the European operations. We've stated in the opening commentary, we are at 70% utilization, and you look at EBITDA margins at 3.5%. So as we scale up, what is the peak utilization we could reach? And how do you envisage the EBITDA margins play out over a period of time?
Amit Kalyan i: Look, as I said earlier, our goal for our aluminum business is to take our EBITDA margin to the mid-teens, okay? The steel business is a 10%, 11% EBITDA business. But we are going to do

some restructuring there in terms of new products and more value ad dition, which will allow us to increase our EBITDA margins there as well. I don't think you have to look at capacity utilization only as the driver. It's going to be a combination of cost value addition and capacity utilization.
Arjun Khanna: So essentiall y, this is so

mething that's probably two years out or probably something longer as we prototype only two products?
Amit Kalyani: No, no. This is something we have to achieve by '25.
Arjun Khanna: FY '25?
Amit Kalyani: Yes.
Arjun Khanna: Sure. Sir, the seco nd question is on our PV export business. We have obviously scaled this up really well. And historically, at least the understanding on the Street was that this is a lower margin segment, but with higher growth here, we have seen margins also improve. So w ould it be a fair thing to say that this is not more than our overall margins on the PV business at this case?
Amit Kalyani: I think we have managed to balance our margins with productivity and with product mix and valuation. So we will always focus on doi ng things that are value accretive to us. Obviously, we don't look at, let's say, return only as EBITDA. You have to look at returns as return on capital employed and not purely EBITDA, but I think even the EBITDA side has been performing quite well right now.
Arjun Khanna: Sure. Just a final question. In terms of defense on the stand -alone side, would we be breaking out because in KSSL we've done roughly INR 300 crores, how much would have been the revenues from the stand -alone business in defense?
Amit Kalyani: I think about INR 200 crores.
Moderator: Thank you. Next question is from the line of Pramod from InCred Capital. Please go ahead.
Pramod: So the first question is with regard to the Asia exports. They seem to have spiked. Is it more a short -term phenomenon? We have won some new business
Amit Kalyani: Pramod, we don't understand you. Is that Asia exports?
Pramod: Sorry. I was saying that these are Asia exports we seems to have picked -up this quarter, so is it anything one -off which has happened or is it any new orders you have won and it's a more specifically…
Amit Kalyani: We have won some new orders.
Pramod: Okay. Or is it more to do with the China recovery and you have been able to participate?
Amit Kalyani: No. We have won some new orders.

Pram od: So it's more of a sustainable trend to go for?
Amit Kalyani: Yes.
Jinesh Gandhi : Sure. And the second one is with regard to Israel. If I am right, you have some joint venture, tw o entities in that area. So what is the short -term challenge or opportunit y and also medium -term challenge or opportunity, considering the current…
Amit Kalyani : Right now, they are at war. So people who are running businesses are also being recruited to fight. They are all reservists. So right now is not the time to talk to the m or bother them w ith this. But clearly, it's going to be more opportunity because they also see the risk of having all their production only in their country. So it's not a very large country.
It can be easily targeted. So, when the dust settles from all this, then we will have a chance to

talk to them and figure out, what to do. But it's terrible what's happening for both sides. And I
just hope that this gets over soon.
Jinesh Gandhi : Understood. Thanks and all the best.
Moderator: Thank you. Next quest ion is from the line of Arvind Sharma from Citi. Please go ahead.
Arvind Sharma: Hello, good afternoon, sir. And thank you for taking my question. Sir, if you could just shed
some light on what your target or aspiration levels are for the broader subsidiar ies, both Indian
subsidiaries and the overseas subsidiaries?
Amit Kalyani : So we already covered the overseas subsidiaries. On the Indian subsidiaries, if you look at the
defence and the industrial verticals, they will be close to 25% EBITDA margin. That's our goal.
Arvind Sharma: Okay. So from this current, obviously current quarter is not a representative. From this, you need
to go to like almost 25%. That's the goal?
Amit Kalyani : That's our goal, yes.
Arvind Sharma: And by FY '25, is that?
A

mit Kalyan i: Yes, FY, yes, I would say close to FY '25. I think we should be close to that.
Arvind Sharma: Sure, sir. Thank you, sir. That's all from my side. Thank you so much.
Amit Kalyani : Thank you.
Moderator: Thank you. Next question is from the line of Ka pil Singh from Nomura. Please go ahead.
Kapil Singh: Yes. Sir, if you could just talk about the, there is an improvement in gross margins as well. If
you could just talk us through, is there any commodity benefit also visible there or is it just the
produc t mix, which is driving this?
Amit Kalyani : So this is more of a product mix and better cost controls. There is a very less play of commodity.

Kapil Singh: Okay. And if you could also talk about the outlook for both the domestic and the global
businesses across segments, that would be useful?
Amit Kalyani : It continues to remain strong. The only thing, the only back -up would be the geopolitical
situation. But we have new products, new programs which are ramping up. So on a overall basis,
we should be fairl y, good on a quarter -to-quarter basis.
Kapil Singh: I was talking more about the US truck industry and domestic truck industry and also industrial.
If you could just talk about the industry outlook for these two, the next one year?
Amit Kalyani : So look, t he industrial outlook for the US is flat. For CVs also it is flat. It's at about 3,00,000 to
3,10,000. In India, the CV outlook should become positive next year. And the industrial outlook
in India is positive. So one sector where we see a lot of concern i s the renewable energy sector,
especially wind energy. Because, it's a very capex heavy sector and it takes a lot of time to set
up anywhere in the world. And because of this, , it's not a very -- that sector is under a bit of a
cloud.
Kapil Singh: Sure, s ir. And lastly, in terms of cost, if you could talk to what could be the impact of, mu ch
higher interest rates that we are seeing globally for the businesses. And also recently there have
been some news reports that the labour unions, for example, in the U S, are requesting much
higher wage hikes. So just your views on these two topics?
Amit Kalyani : So, what you talked about the labour union, that's also what we read in the news. But this is
largely to do with the OEMs and certain tier ones. We haven't read the fine print to understand
this yet. Interest costs obviously are affecting everyone. In fact, the real GDP growth in large
parts of the world is now negative because of inflation running at anywhere from 5% to 7%, 8%.
So, we just have to wait and watch . But clearly interest rates being high are going to have a
damping effect on certain sectors. But the government in the US is hell -bent on, printing money
and funding a lot of these sectors. So it remains to be seen, what happens in a run -up to the
electi ons.
Kapil Singh: Thank you, sir. And wishing you all the best.
Amit Kalyani : Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I now hand the
conference over to Mr. Amit Kalyani for closing comments.
Amit Kal yani: Ladies and gentlemen, thank you very much for your interest in our company. If you have any
more questions, please contact our company directly. And I want to wish you and your family
members a very happy Diwali and look forward to a happier and safe r year going forward. Thank
you very much. Have a nice day.
Moderator: Thank you very much. On behalf of Bharat Forge Limited, that concludes this conference. Thank
you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

B H A R A T F O R G E

BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com CIN L25209PN1961PLC012046

February 14, 2024

To,

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, 'Exchange Plaza',
Rotunda Building, P.J. Towers, Bandra -Kurla Complex, Bandra (East)
Dalal Street, Fort, Mumbai - 400 051
Mumbai - 400 001 Symbol: BHARATFORG
BSE SCRIP CODE – 500493 Series: EQ

Sub: Transcript of the Analyst / Investor Conference Call on financial results
for the quarter ended December 31, 202 3

Ref: Regulation s 30 and 46(2) of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Dear Sir/Madam,

We are enclosing herewith transcript of the conference call with analysts, which took
place on February 12, 202 4, after announcement of the Unaudited Standalone and
Consolidated Financial Results for the quarter ended on Dec ember 31, 2023 .

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference -calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Bharat Forge Limited,

Tejaswini Chaudhari
Company Secretary & Compliance Officer

Encl.: As above

"Bharat Forge Limited Q3 FY-24 Earnings Conference
Call"

February 12, 2024

MANAGEMENT : MR. AMIT KALYANI – JOINT MANAGING DIRECTOR –
BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CHIEF FINANCIAL OFFICER –
BHARAT FORGE LIMITED .

Moderator: Ladies and gentlemen, good day and welcome to the Bharat Forge Limited Q3 FY24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" then "0" on your touch tone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani . Thank you and over to you sir.
Amit Kalyani: Good afternoon, l adies and gentlemen and thank you for attending our Q3 Analysts C all. I am going to hand over to our CFO – Kedar Dixit and I 'll be here to answer your questions.
Kedar Dixit: Good afternoon everyone. I 'll just take you through the "Highlights " for the Quarter on the standalone as well as on the consolidated performance.
So, we had another quarter of strong performance registered in Quarter 3:
Standalone revenues grew by 16% to Rs.2263 crores and EBITDA grew by almost 31% to 64 5 crores. EBITDA margin s are at 28.5% which is the expansion of almost 330 basis poi nts on a Y-o-Y basis driven primarily on account of favorable product mix, and cost optimization. PBT and PAT grew by 31% to Rs.504 crore and Rs.378 crore respectively.
The balance sheet continues to remain strong with surplus cash net of long-term loans now stands at almost Rs.1000 crores .
At a consolidated level also, the revenue grew by almost 15% to Rs.3867 crores and EBITDA grew by 66% to Rs.673 crores.
For the nine months ended on 31st December 2023. Sales have grown by 19% to Rs.6640 crores , EBITDA grew by 29% to 1.15 crores and PBT grew by 30% to Rs.1385 crores , which is more or less equal to what we have ach ieved in this entire year of FY 23.
During the quarter, the company has secured new business worth Rs.550 crore on an annualized basis across various segments including automotive , industry, defense, aerospace and casting . And out of which 90% are export driven.
In terms of the total exports out of India 's manufacturing operations now stands at $200 million for the quarter, which is 36% up from on a Y-o-Y basis.
In terms of overseas subsidiaries :

European operations have posted EBITDA of Rs.22 crore . While the US operations have achieved breakeven at EBITDA level in the last quarter . The Phase -2 CAPEX of about $100 million in the US is on track . Current capacity utilization on aluminum business is about 50% for US and about 70% in Europe.
As far as the aluminum operations are concerned in Europe, the operations have been stabilized and now we are working on getting price increases from the customers which is underway.
US operations are yet to be fully stabilized while there is a continuous im provement in operations quarter -over-quarter.
Now , I will hand over to Mr. Amit Kalyani for the comments on the outlook.
Amit Kalyani: So, I would say that the near-term outlook remains positive. It s mix bag we have a stronger outlook in the passenger car sector and in our industrial and defense sector. On the truck side in Europe, we expect to see small tapering and in the US it should be flat. Medi um term , we will continue to accelerate our growth going forward. We have many new growth drivers for our business especially our industrial business, our casting business , also moving from components into systems and subsystems and new export opportunitie s that we are getting across our verticals such as aerospace , etc., will provide adequate growth momentum for our company to

sustain a strong double -digit growth going forward.
There will be years when the growth is slightly less there are years when growth will be slightly more, but I expect that on an overall basis, profitable growth and profitabili

ty will be maintained.
And we should continue growing in a healthy manner going forward as well.
We also should see in the next 18 months also, e -mobility and aluminum casting business should start growing and generate solid contributions to our bottom line and our top line.
Additionally, one European and US operations, especially our European operations which is now on operational bases performing well, get their price increases under control, we will have a very good performance and a very good contribution to bottom line coming from there.
Similarly, as we get fully stabilize and ramp up our US operations that we should provide a favorable contrib ution to our top and bottom line.
So, that 's really all I have to say. I 'm happy to take your questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Kapil from Nomura. Pleas e go ahead.
Kapil: Sir there were a couple of segments during this quarter which had stopped performance numbers.
So, I was saying that, there are a couple of segments here which had a decline with one was the

non-auto exports and the second was domestic PV business. So , could you just share what was the reason for that and what is the outlook for the se segments and also domestic C V business?
Amit Kalyani: Okay . So, the non -automotive expor t which was down was oil and gas. On the PV side , we had a couple of programs that got over. And we will have strong growth on the PV side overall, because we have a lot of new programs that are starting and ramping up over the next two to three quarters. On the domestic CV, there has been a quarter -on-quarter slowdown o r flattish nature of business, it 's actually flat next quarter which is typically the strongest quarter of the year should see a better performance. And Indian CV on a secular basis should be positive because there is a good demand coming from the overall infrastructure build and the CAPEX build taking place in India.
Kapil: Okay . And sir what is the traction you are seeing on the defense business . We have , are there more programs, both in the domestic and export, where we can win orders ? How is the progress there , if you could just talk about that?
Amit Kalyani: We have a lot of new programs that we are working on , on defense as you know there are programs which are both on the artillery side , programs on the vehicle side and programs both in Naval Air Force, as well as the components and MRO, which we are working on . All of which are starting to yield results, we have good healthy export order books, and we will continue to build this and continue to execute against the orders that we already have. We are participating in new development programs which have very, very large business potential, both within India and globally . And as these reach some amount of finality. We will talk about them more publicly.
Kapil: Sir any update on the ATAGS guns order , are you expecting it?
Amit Kalyani: It's expected to be coming out anytime soon . So, let 's see.
Kapil: Okay . And just one question on the margin s. We had a very good improvement in gross margins.
So, if you could just talk about what exactly in the mix was there that drove it or were there any other factors?
Amit Kalyani: So, if you have seen our product mix, we now have a higher share of contribution coming from both subsystems and systems, both in industrial and in defense . And this is really what helps our margins. Additionally cost control and efficiency improvement is also working well.
Moderator: Thank y ou. Next question is from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: My first question is on the follow up on the defense business itself . Can you talk about the order book, because last quarter you all had m

entio ned somewhere around 3000 crores. And what I picked up in the media was 2000 crore . So, j ust trying to understand what is the difference between the two numbers and also broadly, if you can talk given the visibility that you are seeing

from the new programs you are engaging in, how should we think about this business scaling up in terms of revenues over the next two , three years ?
Amit Kalyani: So, we expect our defense business to grow to a very meaningful size of our overall business in the next two to three years. In fact, already we expect this business to be over Rs.1000 crores this year, when we had talked about this Rs.3000 crore order book, we are already executing a

Rs.1000 crores out of that. So, what is remaining will be about 2 000 crores. So, the number of Rs.3000 cores was correct. We are in the bid for some very large new business. And, as this comes through that will add significantly to our overall order book as well as our revenue per year annually. To look at us getting to a Rs.2000 crores , 2500 c rores annual business in defense as the first milestone and then grow from there is a realistic target in the next two , I would say two, two and half years.

Gunjan Prithyani: Okay, got it. And I 'm just trying to understand the margin that you typically say around +20% on the defense, how do I read it , because the subsidiar y business does have like a mid -high single digit margin. So, part of that margin of entire defense vertical is captured in sta ndalone is that the way to think about defense revenues?

Amit Kalyani: Yes, you have to think of defense revenue and margins on an aggregate basis.

Gunjan Prithyani: Okay, got it . Which I assume, even now would be close to , would be in the double digit ?

Amit Kalyani: Yes, strong double digit.

Gunjan Prithyani: Got it. My second question is on the classic truck outlook. Now, what you mentioned in the initial comments where you are looking at US class eight being still flat. And some of the third party industry estimates talk about a meaningful decline this year, given the order book is running down or general weakness in macro. Is that something, to really huge, is that something that you are picking up in your engagement with t he customers is it going to be a decline year at all the way you are engaging with the customers?

Amit Kalyani: So, the US order book will be strong , as in US will continue to remain strong. Europe is where there 's a bit of a question mark.

Gunjan Prithyan i: Okay, Europe . So, US, you are still looking at flattish for the year given that there is some backlog still to execute. And there was this mention of emission that you spoke about .

Amit Kalyani: Emission norm changes happen next year in 27. So, there will be a pre-buy in ‘25 and ‘26. I don’t think the next two years we will see a slowdown in the US .

Gunjan Prithyani: Okay, got it. And my last question is, anything to call out on the EU sub , European subsidiaries margin trajectory you mentioned 12 to 18 months, how should we see it progressing from current

low single digit like do we see them getting significantly better in F25 or it’s going to be a few more quarters ?

Kedar Dixit: It will get significantly better is ‘25. But the US will probably take a little more time. That is where I talked about the 12 to 18 months. But in 12 months there will be also a significant improvement there but will be a higher improvement in Europe .

Gunjan Prithyani: So, overseas subs would still be in the range of mid to high single digit in FY25 is that a fair way to look at it overall, not just Europe the entire overseas?

Kedar Dixit: I would take it may be higher inventory .

Moderator: Thank you. Next question is from the line Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh G

andhi: Can you talk about what was the defense revenue in this quarter and how much of that would be from the gun order on the exports side?

Kedar Dixit: We are not giving you any breakup but, overall, our defe nse business for the quarter was about 350 crores.

Jinesh Gandhi: Got it. And secondly, you talked about US classic to be strong for CY 24 as well , but if I look at the commentary of some of your customers which is indicating towards 10 % to 15% decline from high base of CY 23. So, is that an indication of what you are also getting or that 's something different ?

Amit Kalyani: What is happening is , that is because of the ‘27 emission norms. Earlier, as long as the engine were made before ‘27, you got the emission bypass . Now the vehicle has to be rolled out in ‘27. So, the pre-buy is going to be preponed so more like ‘24 and ‘25, rather than ‘25 and ‘26. So, that is why we expect a little bit of that volume to move back into ‘24 and moderate in ‘26. So, ‘24, ‘25 and ‘26, cumulatively should be somewhere in the region of , the three years put together should be about a million vehicles.

Jinesh Gandhi: Okay, that 's fairly a strong number in that case. And you talked about oil and gas revenues declining. So, what is the level now for oil and gas because it seems there is a reasonable decline given nine-month extra oil and gas growth was about 35%.

Amit Kalyani: I can say that it’s down 2/3rd over what it was at our peak.

Jinesh Gandhi: So, currently down 2/3rd.

Amit Kalyani: Down 2/3rd yes.

Jinesh Gandhi: Right. And lastly, so the JS Auto C ast revenue growth still seems to be impacted by the Russian

odd business going away . Is that still impacting our business?
Amit Kalyani: We don't have any Russian business. Okay , Vestas you mean. Vestas was a big customer. So, that has reduced, but we are getting a lot of new business, we 've already got more than 200 crores of new business, across sectors , across customers, and large ly exports from our global customers. And a fter having acquired Indo Shell, we will also have a lot of capacity addition for high volume business.
Jinesh Gandhi: Got it. And there 's a good temperament al margin s for JS Auto Cast . So, now we are back to what it was earlier. So , if you expect that to sustain at current 14 % level?
Amit Kalyani: No, we expect these margins to go up.
Moderator: Thank you. The next question is from the line of Amyn Pirani from JPMorgan. Please go ahead.
Amyn Pirani: I just wanted to st ay with the oil and gas segment , is the slowdown because of a general weakness in the category and can that change if oil prices go up or is there something else which is happening are you getting out of some product?
Amit Kalyani: No, it's a combination of destocking and inventory correction at the customer end basically . So, significant increase in interest cost.
Amyn Pirani: Okay , understood. So, would you be able to share if the destocking is largely done and we could see an improvement, or this is a new level where we could be stuck in the oil and gas specific ally for now?
Amit Kalyani: Right n ow the volumes we are projecting are at this level, but hopefully in the next two quarters it should start improving .
Amyn Pirani: Okay. And you ment ioned about that India CV 4Q should be a seasonally stronger quarter. But as we are looking into say the next financial year, do you think that India CV could show growth or do you think that the cycle is peaking out , there are some customers who are also talking about 1Q at least being weaker because of election. So , how are you thinking about that?
Amit Kalyani: 1Q being weaker is not a big thing , that is something that one has to get to , if you look at, if our industry , if the country is going to grow 7%, 8% the commercial vehicle market has to grow at one and a hal

f to two times that. So, overall, we are in a good position.
Amyn Pirani: Okay. And lastly, you also mentioned that the ATAGS order from the domestic side, you said that it should be comi ng anytime soon. Was that correct?

Amit Kalyani: Yes, the whole bidding process is at its final stages. So, we should see something sooner rather than later.
Moderator: Thank you. The next question is from the line of Pramod Amte from InCred Capital. Please go ahead.
Pramod Amte: Amit first question is with regard to the, s o basically one of your customers has launched the E V truck , wanted to know how is your content in the EV truck, SUV which is launched, and the same customer is also trying with the tractor trailer on the EV, what is the content there versus your?
Amit Kalyani: So, currently our content on the domestic EV trucks is largely power electronics control electronics. But going forward, we will ha ve the entire suite of products which we are already in, let's say not in development but in testing with a couple of customers, which includes the motor, the inverter , converter, and the castings, chassis components , etc. So, the content per vehicle is significantly higher than the content per vehicle that we have today.
Pramod Amte: And the current prototypes which are running by the clients, do they have these components, or it will take you one to two years to reach there ?
Amit Kalyani: No, some of them already have the mature components, some of them have sti ll components at a prototype level.
Pramod Amte: And also, the government seems to be pushing for revising the policy or even hydrogen policy. How does the content change versus your ICE vehicle in trucks ?
Amit Kalyani: See in hydrogen there are two possibilities one is the Cummins model where hydrogen is used as a fuel in the combustion engine by injecting hydrogen into the engine , there an engine is an engine, so you have a crankshaft , you have connecting rod, you have pistons, camshaft and so on and so forth. Camshaft may be something that goes away if you have electronic timing, or electronic valve lift. But the crankshaft, the pistons, lot of those components still remain. The other source of using hydrogen is through fuel cell. But today the fuel cell doesn 't have the power density that one needs. So , we are still a little far away from that. But immediately, hydrogen, commercial engines definitely something that will have adequate opportunity for us to supply components in to.
Pramod Amte: And any thoughts on LNG or it will remain the same ?
Amit Kalyani: LNG is same as CNG or any combustion engine. The only difference is the tank that is used for storage.
Pramod Amte: And any update on the retrofit kit which you have made for trucks any timeline for that to come

to commercial ?

Amit Kalyani: We have now completed testing of more than 250,000 kilometers . We have got a homologation certificate. And we are now starting to build vehicles for sale to customers and I expect that in the next quarter we should be selling vehicles to customers , starting with a small volume of beta testing, but then after that, we will be in serious production.
Moderator: Thank you. The next question is from the line of Rakesh Roy from Omkara C apital. Please go ahead.
Rakesh Roy: My first question regarding your defense business. Recently Indian Army have clear for Made in India 155 mm Towed Gun System. So, where does Bharat Forge stand apart from the ATAGS ?
Amit Kalyani: That is for ATAGS only, that program is for 30 7 ATAGS .
Rakesh Roy: This is only for 155 mm Towed Gun System apart from ATAGS ?
Amit Kalyani: Yes, so we have three other platforms besides the ATAGS , we have Bharat 52, then we have Ultra-Light Gun . Both in titanium and in steel and we have Bha

rat 45.
Rakesh Roy: Okay. Sir both the gun s have the weight below 55 tonnes .
Amit Kalyani: Yes.
Rakesh Roy: Sir, next question regarding your aerospace business side, here you are seeing the growth from the landing gear helicopter part or jet engine can you light on this for landing gear or helicopter part jet engine ?
Amit Kalyani: So, i n aerospace also, we are growing at a very high pace, we will continue to grow at very significant double -digit growth. We are almost every two years we will be doubling our business here. So, I expect that this business will be growing at a very high pace for at least the next three to four years.
Rakesh Roy: So, this business we are looking from the domestic market or export market ?
Amit Kalyani: This is a global but more than 80% of it is export.
Moderator: Thank you. The next question is from the line of Kapil from No mura . Please go ahead .
Kapil: Sir just one follow up , on these new products that you are building for electric vehicles, powe r electronics and also inverter, et cetera , what kind of margin profile will be there for these businesses ?

Amit Kalyani: So, initially the margin will not be as high as it potentially can but , overall, the margin and return on investment will be very good . And there is value for vehicles that will be significantly higher than what we have today. So, the profit for vehicle wi ll be very good .
Kapil: Sure, sir. And when we look at your current margins, how much is the investment going into some of these new areas of development, which potentially may not be generating revenue currently ?
Amit Kalyani: So, our US plant is not gene rating any adequate return right now, then our aerospace business also is not generating the kind of return , our acquisition in the casting space that is JSA is not generating as much as because it has much higher capacity than what we have acquired , than what we are generating today. It can easily double its revenue with the capacit ies that we have.
Kapil: Actually, sir my question was more on the standalone margins, because it could be having some investment related costs for these new power electronics and other EV parts. So, trying to get a sense, like how much investment is going into the standalone margins right now, which may be affecting your stand alone margins ?
Amit K alyani: To build any business you have an overhead. So, we have a n upfront cost, which is our revenue expenses to take care of the operations of this business, which is negative rather than it's not positive so as that switches it will go from negative to zero and then zero on the positive, but you are right, any business when you build in the beginning it has negative margin, because you are only investing . And we don 't capitalize any of the se, we charge it off P&L.
Moderator: Thank you. Next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.
Mahesh Bendre: Sir, last 12 quarters we have been growing in double digit, very strong growth for the last three, four years. Now, in the press release that we have released , mentioned that the Q4 and FY 25 growth is expected to be moderated. So , does it mean that instead of growing 20%, now growth could be moderate, maybe 1 0%, 12% kind of growth next year , is it mean?
Amit Kalyani: It's not that we are going to become negative growth , growth will probably reduce for a few quarter from 20%, but again after a few quarters we will again accelerate.
Mahesh Bendre: Okay . So, only growth number will moderate ?

Amit Kalyani: Yes, exactly it's not going to de-grow.
Mahesh Bendre : Okay. And sir any capital expenditure plan for next two years ?
Amit Kalyani: Next two years is cumulatively between India, Northern India, all put together 1000 crores.

Moderator: Thank you.
Amit Kalyani: There is no one else, s o maybe I will just give a closing .
Moderator: Sure sir, there are no further questions.
Amit Kalyani: Ladies and gentlemen, thank you for attending our call. I don 't want to alarm anyone, but I hope that we didn 't alarm you with our guidance which was softer than what you m ay have expected. But, as a company we will have robust performance, we will have strong double digit, or we will have strong growth stronger than the industry and stronger than the market . But there are changes taking place in the underlying market. So , I just want ed to highlight there, it's a great opportunity for us because a lot of weak suppliers will fall by the wayside and give us a lot of opportunity to move business to ourselves. So, we expect growth to continue. We have plans of how to accelerate our growth going forward as well. And , that the future looks very bright, driven by our existing businesses, some of our emerging businesses, and some of our new businesses. So , that's all I wanted to say. And I would like to invite you to come and visit us to get a sense of what we are doing. Thank you very much.
Moderator: Thank you very much. On behalf of Bharat Forge that concludes the conference. Thank you for joining us, ladies and gentlemen you may now disconnect your lines .

Call: May 2024

B H A R A T F O R G E

BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163 CIN L25209PN1961PLC012046
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com

May 10, 2024

To,

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, ‘Exchange Plaza’,
Rotunda Building, P.J. Towers, Bandra -Kurla Complex, Bandra (East)
Dalal Street, Fort, Mumbai - 400 051
Mumbai - 400 001 Symbol: BHARATFORG
BSE SCRIP CODE – 500493 Series: EQ

Sub: Transcript of the Analyst / Investor Conference Call on financial results
for the quarter and year ended March 31, 202 4

Ref: Regulation s 30 and 46(2) of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Dear Sir/Madam,

We are enclosing herewith transcript of the conference call with analysts, which took
place on May 08 , 202 4, after announcement of the Audited Standalone and
Consolidated Financial Results for the quarter and year ended on March 31, 2024 .

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference -calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Bharat Forge Limited,

Tejaswini Chaudhari
Company Secretary & Compliance Officer
Encl.: As above

“Bharat Forge Q4 & FY24 Earnings Conference Call ”

May 08 , 202 4

MANAGEMENT : MR. AMIT KALYANI – JOINT MANAGING DIRECTOR ,
BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CFO, BHARAT FORGE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Bharat Forge Q4 and FY24 E arning s Conference C all.
As a reminder, all participant line s will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone.
Please note that this c onference is being recorded.
I now hand the conference over to Mr. Amit Kalyani - Joint Managing Director, Bharat Forge Limited. Over to you sir.
Amit Kalyani : Good afternoon, ladies and gentlemen. This is Amit Kalyani. I have with us our teams from Finance, Investor Relations and Global B usiness. I will hand it over to our CFO – Kedar to give you an intr oduction and then I will start.
Kedar Dixit: Good afternoon, ladies and gentlemen, and welcome to Bharat Forge Confere nce C all.
We had a strong performance in the quarter with revenues of Rs. 2,329 crores depicting a growth of about 17% compared to last year same quarter . Standalone EBITDA for the quarter grew by 25% to Rs. 654 crores t ranslating into margin of 28.1% . PBT and PAT also grew by 48% and 59% respectively, to reach Rs. 526 crores at PBT level and Rs. 390 crores at PAT level .
Similarly , perfo rmance for the Financial Year '23 -24 also saw record revenue of Rs. 8,969 crores with EBITDA of Rs. 2,469 crore s, translating into EBITDA margin of 27.5%. This is a 200-basis point s expansion as compared to the last earlier year. The balance sheet continues to remain robust with surplus funds net of long-term loans is now about Rs. 800 crores and ROC net of cash was at 20%, which was also a significant improvement over earl ier year and a t consolidated level, Quarter 4 revenue grew by 15% to Rs. 4,164 crores and EBITDA grew by 36% to Rs. 653 crores .
For the full Year '24 , consolidated revenue grew to Rs. 15,682 crores , representing a 21.5% increase . EBITDA margins also improved by 260 basis points on a YoY basis to reach 16.4%.
During the year, the company secured new business worth almost Rs. 6,300 crores across all key businesses including defense, traditional busine ss as well as the casting business. From a CAPEX perspective, India operations incurred CAPEX of about Rs. 800 crores , overseas subsidiary incurred CAPEX of about $60 million in FY24. For the next year, the CAPEX for overseas entities would be about $65 million , which is mainly towards the US A luminum Phase 2 and some maintenance CAPEX in Europe.
Talking about the overseas subsidiaries :
We are seeing operations in European Aluminum business ha ve stabilized and now we are working on getting the price incr ease from our customers. US operations continue to show

incremental improvement. We had certain one -off cost in Q4 which ha d adversely affected the performance , but now again we should be back on track . In Quarter 4 , European operations posted EBITDA of Rs. 33 crores while the US operation had posted a EBITDA loss of about Rs. 34 crores. Phase -2 CAPEX in the US is on track. The current utilization for alumin um business in the US is about 50% of Phase -1 and for Europe it's about 75%.
Now I will hand over the mike to Mr. Amit Kalyani.
Amit Kalyani : Good afternoon, ladies and gentlemen. I would just like to take off from where Kedar stopped .
To sum it up :
FY24 has been a very strong year for BFL. Our defense business has taken off in a very meaningful way. Our industrial castings business is now starting to show the performance that we believed it had promised to do and this is in the second year after acqu isition. We acquired this business in July '22. The standalone business of Bhart Forge is doing well given the market

conditions and weakness is specific only to a certai

n segment of our industrial business which is largely Oil and Gas. We have made initial breakthroughs in two new sunrise sectors, and we expect that these will become large growth sectors for us going forward and this will ramp up from next year, but we will become meaningful by about FY27. I want to credit our overal l management team and especially the team in finance for managing our balance sheet extremely well in spite of all the CAPEX and investments that we have made in the last five years, our balance sheet is pristine, and it provides us with a lot of dry powde r to take benefit o f opportunities that may arise.

I would now like to talk about some of our me dium -to-long term priorities :

BFL has transitioned substantially over the last 5 to 6 years. We have been able to cushion the impact of potential cyclicality from any one business sector or more with new initiatives like defense , industrial casting having a large business accruing. In the future, EV business also will provide such a growth opportunity and further accelerate the growth of the business. The aerospa ce business is now on the cusp of a major take-off and on a solid growth trajectory, which will continue to see momentum in the next year as well.

JS Auto closed FY 24 with the revenue of Rs. 567 crores and EBITDA margin in Q4 crossing 16.5%. This business will double over the next four years, mo st probably double or more than double over the next 4 years. And we are working on a number of new initiatives around more value addition, operational efficiencies and capacity expansion including NPD, which will translate into stronger numbers for both the bottom and the top -line going forward. T his business , just to tell you has grown 30% YoY over the last 2 years continuously and will continue to grow in a strong manner .

On the overseas front as Kedar mentioned, a chieving profitability and stable operations of our aluminum business remains top -most priority of the leadership . Our European aluminum operations are already in the black, while the US business will progress towards operational stability in the next 2 quarters . We are very confident that for the full year of 25 in the fourth quarter, we will see extremely strong performance from our global subsidiar ies. The aluminum business continues to see robust demand with growth driven entirely by drivetrain agnostic components. So, we are not at any risk from any potential slowdown in passenger car EV which is something that is a cloud hanging over a lot of supply base globally. The defense business has also clocked strong revenue of Rs. 1,5 61 crores this fiscal with execution for all our export orders progressing on schedule. More than 80% of this revenue is export.

The defense business will move entirely into the 100% owned subsidiary K SSL in FY25 once the new facilities are fully commissioned and the licenses get transferred to those physical facilities . This will involve transfer of manpower and customer contracts from Bharat Forge to KSSL. While it will not affect the consolidated results, there will be s ome change in the standalone earnings as this transition plays out. Some of our investments such as JSA have borne fruits, while the progress on e -mobility is beginning to show a lot of promise and is moving in the right direction . FY25 will see a lot of p rogress in and growth in e-mobility vertical as well.

I am confident that given the multiple growth engines, we should see strong growth for 25 and our ROC to incrementally keep growing and cross the 20% mark in the next 2 years.

I am now happy to take you r questions and me and our team here will try to explain to the best of our abilities.

Moderator : Thank you very much . We will now begin the question -and-answer session. The first question is from the line of Pramod Kumar from UBS. Please go ahead.

Pra

mod Kumar: Amit, my questions are on the defense side. You kind of highlighted in the opening remarks that 80% of the order book is now on exports. Is that number right? And that's for the outstanding Rs. 5200 crore order backlog.

Amit Kalyani: Yes. And this does not include the ATAGS programs in India, which are yet to be concluded, which should happen shortly after the election process is over.

Pramod Kumar: Yes, exactly. So, you preempted that follow up basically that we started the entirely different story with ATAGS opportunity and the defense localization opportunity. But looking at the numbers, the way they're panning out looks like export is turning out to be a pretty big opportunity than what we thought initially. If you could just help us understand w hat is working in your favor on the export side and also probably some bit of a color of the breakdown of the product cate gories within the product defense pool and how should one look at the domestic export split once ATAGS comes in and as the business ma tures so because export is something which is really coming in as a surprise?

Amit Kalyani: So, look, let me answer it in a little different way. I think that globally people have realized that defense spending is going to increase. We have products that a re world class and that are extremely competitive and are able to supply a broad range of requirements of global customers . One thing we're consciously not doing is supplying into any conflict region , but we see tremendous opportunities for our products across the world and these are products in the artillery segment . In artillery segments, we have three kinds of guns , we have Towed guns , we have mounted guns, and we have ultra-light guns and we have altogether 9 platforms already ready. So, this is a huge range of guns which can be supplied to multiple different kinds of customers , then we have multiple vehicles, protected vehicles of different categories, different functions and utilities. So, that is another category. Then we have a lot of spares and co nsumables. That's a third category. And then there are lots of other products which are under development in the unmanned vehicle area which are both land, sea and air and that is another area of huge opportunity that we are pursuing. So, we see global opportunity and just to reinforce what I am saying, we are creating a capability to build initially over 100 guns per year and 550 vehicles a year. But we can scale this up at least on the gun side, to probably almost 5 guns a week kind of numbers or 200 to 2 50 guns per year kind of a number and close to 1000 vehicles per year. So, we see a very large opportunity and we are taking some steps to let's say capture this opportunity both strategically and tactically.
Pramod Kumar: And Amit, these are all largely government enabled export orders which we are getting here , is understanding, right sir?
Amit Kalyani: So, they are not. I would not say they are. What do you mean government enabled?
Pramod Kumar: The government -to-government relationship or like or you a re scouting for orders globally or independently?
Amit Kalyani: So, we are also scouting for orders on our own. And we will do a lot of business development and new customer acquisition on our own also. But it's clear that the government is supporting this sector and please remember that we have to get permission from the government before we export any weapon platform anywhere in the world.
Pramod Kumar: And on the defense profitability, Amit, given that export is shaping up much better than what we probably thought, what does it do to the longer -term profitability and return metrics on the defense business and what we have already shared as aspiration, is there upside to that number?
Amit Kalyani: The way I would answer this question is that I think the re

turns on this business will be
comparable to our manufacturing business at least what we see now and as it grows, you know, let's see what happens. But I think ROC E is going to be extremely good and it will also be a stabilizing factor because it will become a meaningful size of our business going forward and will provide a lot of shock absorption without any CAPEX that we need to do.

Moderator: Thank you. Next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna: Sir, I just wanted to understand a little bit on this executable order book. So, if I look at the number in the fourth quarter, the present ation you've talked of Rs. 5,192 crores. And if I look at the second quarter, we have talked of Rs. 3000 crores. So, addition of at least 100 0 crores and obviously we have executed all in the past second half, so which are these major orders that we have won? Is there a follow -on order to the European customer that we had or?
Amit Kalyani: Yes, I don't want to get into individual customers and product segments. All I will say is that we have got orders from existing and new customers for existing and new pr oducts.
Arjun Khanna: Just wanted to understand in terms of platforms, any newer platforms or its existing platforms which we have been selling?
Amit Kalyani: From all kinds of products , from both.
Arjun Khanna: Sure. Secondly, in terms of the US operatio ns, I did understand from you, s ir, that we are looking at further CAPEX in the US given that we have seen issues in this quarter and utilization levels are low. I just wanted to further understand that and what is the outlook in terms of FY25 profitability ?
Amit Kalyani: So, look, we have customer orders and commitments that we have to meet for a certain number of parts. That requires us to set up two phases, that is 2 lines in the US. Currently our US capacity utilization is not yet at 100%, but by next quarter or latest by the quarter after that we will be at 100% of Phase -1 and then in 26 -27, we will head to 100% of Phase -2 as well. In this quarter, we had certain one-off costs due to weather and other one -time issues which were out of our control and that is what has impacted the profitability and the numbers to a certain extent. But I think we have a handle on that, and we should see even the US operations with the positive

EBIT DA in Quarter 4 , healthy, profitable EBITDA in Quarter 4 .
Arjun Khanna: Quarter 4 of FY25 ?
Amit Kalyani: Yes.
Arjun Khanna: Just one quick one. You mentioned s ir in the comments that we would see the K SSL or the defense business move out. So, if you could just articulate that in terms of what does that mean in terms of profitability of the standalone?
Amit Kalyani: I think you have to stop looking at standalone and it's all owned by BFL. So, you have to look at it because for many strategic and other reasons, it 's very important for us to house our defense business in a separate vertical. That's what every global company , even Indian companies have done. Unfortunately, in our case, the licenses were originally received in Bharat Forge because

we didn't have a lar ge facility outside of here and we were incubating this business, but now that the business is ramping up and we're seeing significant growth, we need to create standalone facilities which can give us the necessary capability, capacity, safety, security that defense business requires.
Arjun Khanna : Sure. On an earlier occasion, you had mentioned the ATAGS order would come in standard Bharat Forge . So, that also would have shifted to K SSL?
Amit Kalyani: Yes, because that time there was only Bharat Forge . Now obviously everything is moving to KSSL, so the orders will also come into K SSL.
Moderator: The next

question is from the line of Binay Singh from Morgan Stanley. Please go ahead.
Binay Singh: Good to see the defense moving up . In the segmental data just o n the defense side, again we see that sequentially our defense revenues have g one up, P BIT has gone down a little bit about , what is driving that?
Kedar Dixit : This is all related to the product mix also, so you should look at more like the annual data rat her than looking at quarter -to-quarter number .
Amit Kalyani: We have also had significant product development cost that we have charged off.
Binay Singh: And secondly, like just I was comparing last call to this call , 2 points over there. One is that when we last spoke in mid-February , we were talking about moderation in growth in both domestic and export. The outlook today sounds a lot more positive. So, could you comment a little bit about outside of defense? Is there any other change that you see in other businesses also a pickup or so? And secondly on CAPEX , we talked about US CAPEX, if you could also share CAPEX for India for FY25 ?
Amit Kalyani: So, good question. First of all, there is a tremendous amount of order flow taking place from business moving to India from other geographies, including China and including Europe. Point number one.
Point number two, at that point in time, we had probably estimated that the impact of the Middle East crisis, with that whole Red Sea thing going on and other things , would be significantly more than what it is turned out to be.
And thirdly, we have seen, I would say, a stronger outlook from our customers than what we had anticipated.
Kedar Dixit: We are winning market share.

Amit Kalyani: One of the factor s that we see is we are also winning market share within the existing available market. So, this is both for existing products as well as new products in new areas. This is over competition in India . This is over competition globally. So, we are seeing thi s as a very marked phenomenon in the last one, one -and-a-half years.
Binay Singh: And team, when we talk about a better outlook from customers, are we also commenting on auto or is it largely non -auto?
Amit Kalyani: It's a mix. Auto is CV and industrial is a very wide mix of everything that we are doing.
Binay Singh: Thanks, very helpful. If you could just share the CAPEX number for India for FY '25.
Amit Kalyani: So, it would be about 500 crores.
Moderator: Thank you. Next question is from the line of Amyn Pirani from J P Morgan . Please go ahead.
Amyn Pirani: My first question was , Amit , you mentioned in opening remarks, two sunrise sectors. So, are you talking about defense here and some one other sector or?
Amit Kalyani: No, defense is now already becoming mainstream. These are two new sectors.
Amyn Pirani: And you are winning new order. Would you be able to clarify as to what exactly which segments are you talking about?
Amit Kalyani: No, no. I don't want to clarify yet.
Amyn Pirani: Secondly on the European aluminum business, now w e have been talking about the fact that the

pricing has been a problem . So, as we look into next year, you ha ve talked about the U .S. business as to how the profitability should look by fourth quarter of FY '25. How sh ould we think about the European business as a whole, including aluminum because that has been a bit of a laggard in terms of margin trajectory ?
Amit Kalyani: So, I would say that the European aluminum business will be profitable in 2025, both at EBITDA and at PBT level. So, that will be a big change from this year.
Amyn Pirani: I know you didn't talk about auto and non -auto separately in the last question, but any broad idea as to how the U .S. truck market is looking for us? Are customers talking about a decline this year or are they thinking of a flattish kind of

a year?
Subodh Tandale : You know, you may have seen some press releases from companies like PACCAR , companies like Daimler in the last maybe 3 -4 days, and everybody is talking about a reasonably optimistic scenario, which does not mean necessarily growth, but stability. And that is what we are following. That is also what we are seeing in our order bo ok.

Moderator: Thank you. Next question is from the line of Gunjan from Bank of Americ a. Please go ahead.
Gunjan: I just had the follow -ups on the overseas subs in defense again. On the overseas subs, on the U.S. operations, what is the one -off? Can you quantify that? And also, in terms of your guidance by the end of the fiscal we will turn profitable , could you also like little bit share what will be the key drivers because European operations we have been at 75% , right ? So, what is the visibility on this improvement that we ar e guiding for next 3 -4 quarters on the overseas subs?
Amit Kalyani: So, demand is there . We have put in place operational improvement measures in Europe which are already showing results. The U .S. plant was a green field plant . So, you know , there is a larger learning curve , but there also now we are clocking OE about 75 -80%. So, I think , the factors that are required for a business to run well , which is having cost under control, production running at certain cycle time and certain OEE and pricing being r easonable are all coming into place and then that is what is going to make this happen.
Gunjan: And do you think that the overall operations put together like we have been saying that over the midterm we expect these margins to get to , let's say , double d igit is something that you have spoken about in past. Now if I were to sort of think about that trajectory , where do you think the entire overseas piece will be by exit of Fiscal '25?
Amit Kalyani: Definitely in a double digit . I would say definitely doub le digit at the EBITDA level, yes .
Gunjan: The second question I had was on the defense . Now this clearly , you know , it's been surprising positively now with the order book we have in ATAGS yet to come. How do you think the scale up of revenues now ? Becau se I think we were looking at somewhere around 2 ,500 crores in 2 years now that we have 5 ,000 crore plus order book. One, what is the timeline for execution of this order book ? And secondly , any change to the revenue scale up guidance there?
Amit Kalyani: Look I think the revenue scale up going from 1 ,500 to 2 ,500-2,600 is a very strong growth , especially because you are building a new plant, new facilities and then after that obviously the growth can be even more steep.
Gunjan: And what is the timeline t ypically for execution once you have this 5 ,200 crores, what would be the typical timeline for execution?
Amit Kalyani: Some of it is 3 years . Some of it is 4 years.
Gunjan: And last one, you know, mainly on the oil and gas, can you quantify what is the contribution now or should we sort of think about any major drag still coming from oil and gas in the industrial segment?
Amit Kalyani: It's about 300 crores right now. I think we expect this to go up a little bit this year because we have new products th at we are developing which we haven't supplied before. But I think that is

the vicinity in which we are right now. Obviously , it will grow. It will grow quite substantially. But it's not, you know, our dependen ce on oil and gas in industrial is not as stro ng as much as it used to be in the past.
Gunjan: 300 crores for the fiscal '24, right?
Amit Kalyani: Sorry, yes, '24.
Moderator: Thank you. Next question is f rom the line of Jinesh Gandhi from Ambit Capital.
Jinesh Gandhi: Quickly on the order books that you have for guns and for o ve

rall order books for 6,000 crores ,
would this CAPEX of 500 crores per annum run rate will be sustainable or do you have to invest more in capacities given the opportunities which are coming up for you?

Amit Kalyani: No, our capacity right now is adequate for fabrication and assembly. If you want to do certain more value addition or new product development to go into that, we may have to do some more value addition. I mean, more investment, but currently I don't en visage that.
Jinesh Gandhi: So, this 500 0 odd crores defense order book can be m et through the current stock.
Amit Kalyani: Yes.
Jinesh Gandhi: And secondly, while the defense obviously is having overbearing influence on India, non-auto business , how has ex of defense done in terms of growth? Because I believe there also tailwinds have been fairly good . Ex of defense India, non -auto business , how it has grown in the fourth quarter and how do you see it growing going forward ?
Amit Kalyani: So, in non -auto in India, we have business that goes into railways, that goes into construction, mining, agricultural, shipbuilding, energy, space, plenty of sectors.
Jinesh Gandhi: Is that also s eeing very good growth?
Amit Kalyani: Yes, absolutely. Every sector is seeing growth.
Jinesh Gandhi: And lastly on aerospace, how it has s caled up now in FY '24 , I believe that it will also be started to reflect from 2024, and how do you expect that to grow in next two, three years?
Amit Kalyani: So, I expect in the next 3 -4 years or 3 years also to double this growth.
Jinesh Gandhi: Now it would be what about 300 odd crores revenue ?
Amit Kalyani: Yes, roughly.
Moderator: Thank you. Next question is from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: On the defense business, just wanted to check for the quarter, this KSSL revenue of 465 crores represents full defense revenue, or if you could give an indication, what is the overall defense revenue for the quarter?
Amit Kalyani: Yes, it's more or less t he same revenue, because the booking entity or the inv oicing entity is KSSL . That represents the overall defense business.
Kapil Singh: And sir, just one more question on consolidated CAPEX . I see that this year we have done about 1,500 crores of CAPEX . So, you know, should we expect a consolidated CAPEX in the similar range next year?
Kedar Dixit: No, no, it would be lower than that.
Kapil Singh: Ballpark, can you give an indicative range?
Kedar Dixit: About 1 ,000.
Kapil Singh: I said ballpark, can yo u give …
Kedar Dixit: Yes, about I would say 800 to 1 ,000 crores.
Kapil Singh: And could you give us an indication like, this 1 ,500 crores, what are the areas, broad areas like domestic, overseas , defense, how much of it has gone into which area?
Amit Kalyani: I think Kedar will take that offline and discuss it with you .
Moderator: Thank you . Next question is from the line of Raghunandhan NL from Nuvama Research. Please go ahead.
Raghunandhan NL: On the defense side, revenue to increase from 1 ,500 to 2 ,500 crore ex of ATAGS. So, this 2 ,500 crore would be for FY '2 5 or '26?
Amit Kalyani: I didn't say 2 ,500 crores . We said it is going to grow and that was our original what we had talked about. It is going to grow quite healthily. So, what is the question?
Raghunandhan NL: How do you see that 1,500-crore revenue growing over the next couple of years given the visibility of order book?
Amit Kalyani: See, based on the business that we have is what we have given the numbers. You know, 5 ,200 odd crore s in between 3 to 4 years or 4 years and the big Indian orders are not yet included in this.
Raghunandhan NL: Sir, on the ATAGS, you indicated that post-election hopefully , like, there should be further progress. How do you expect the implementation to ha

p pen for that sample order? Do you think

that by the second half of FY '2 5 you will commence and over the next 3 years it should be fulfilled?
Amit Kalyani: Well , simply because I think India realizes that their equipment is old and they don't have enough , and with the kind of neighbors we have , I think it is imperative that we have the beef up our borders.
Raghunandhan NL: And on the domestic CV space , how do you see the outlook for the current year?
Subodh Tandale : We are expecting it to be flat as comp ared to last year.
Moderator: Thank you . Next question is from the line of Pramod Amthe from InCred Capital. Please go ahead.

Pramod Amthe: Amit, to understand more about the speed at which defense is moving , can you give some color in terms of how much of these are repeat orders, who are the competitors here and are these more of negotiated orders ? How does this business really work?
Amit Kalyani: I can't do that in this forum at all. I mean , there is no chance I would discuss defense business so openly . First of all , it is defense. It is a business that is bound by certain laws and rules. So , I can't talk about it like I am talking about supplying crankshafts or transmission g ear products.
Pramod Amthe: But considering the order book which we disclose , which is very interesting, is there a way to disclose your bid pipeline , which typically the ordering businesses have , in case if you can give those disclosure features ? So, that will help us to...
Amit Kalyani: Bid pipeline is huge, significantly larger , much, much, much larger than the orders we have got.
Pramod Amthe: What is the usual hit rate you get there and how to understand this? Is it improving better versus what you used to have hit rates or the customers are more confident now to give repeat orders?
Amit Kalyani: No, I think customer confidence is there. We have a state -of-the-art plant . We have extremely good products and we have great people. So , people once they come and visit us , there is confidence. There are a lot of complications about supplying it to this business . Not a simple business. That is why we are very cautious about who we do business with, how we do business, etc.
Pramod Amthe: And once you move to the new facility for KSSL, how does it change the capability or the speed of execution of these orders?
Amit Kalyani: We will have single piece flow lines and we will have a whole complete line -based manufacturing setup. So , as I mentioned earlier, we can do significantly higher quantities with less cost, less variation, less set up changes than what we do today.

Pramod Amthe: But in spite of this, you are s aying in the initial phase, KSSL plant will have 100 guns per annum scale, the first phase.
Amit Kalyani: That is assembly capacity. Please remember that the ordinance we can make one a day.
Pramod Amthe: Sorry, I lost it. One a day?
Amit Kalyani: One per day is what we can make in terms of ba rrel, breach and other things.
Pramod Amthe: At the new facility as you move in?
Amit Kalyani: No, here, here, here. That will be an assembly.
Moderator: Thank you. Next question is from the line of Mahesh Bendre from LIC Mutual Fund . Please go ahead.
Mahesh Bendre: Sir, standalone business is doing really well. But cumulative subsidiaries are still making losses. So, will they turn positive in FY '2 5 or '26 at PAT level?
Amit Kalyani: Yes, Mr. Ben dre, we discussed that. I think maybe you may have joined a little late, but we discussed this in detail , that Europe will be positive for the whole year. And the U.S. will turn positive in the second half of next year.
Mahesh Bendre: And sir, last two quarters, the tonnage growth has been a single digit, but our average reali zatio

ns
are going up. In fact, last 13 quarters, our average reali zations are going up. So, will thi s continue? I mean, looking at the volume, our tonnage could not be a good idea.
Amit Kalyani: I think we have to stop looking at tonnage and value as a linked measure. Because, you know, when you are supplying components, that is okay. But when you start supplying products, that one-to-one relationship goes away.
Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. Amit Kalyani for closing comments. Over to you.
Amit Kalyani: So, ladies and gentlemen, t hank you for joining our Con Call today. I woul d like to reiterate that we see strong growth going forward for the company. We are firing on all cylinders. Some of the businesses are even moving faster than what we anticipated, like what some of the commentary we heard on the defense side. And we expect that a couple of the other businesses that we incubated over the last few years, such as aerospace and defense and industrial and EV would a lso start ramping up over this year and next year and become a meaningful contributor to our overall business. Once again , thank you for your time and interest in interacting with us and our team , and your interest in our company. Thank you.

Moderator: On behalf of Bharat Forge Limited, that concludes t his conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

B H A R A T F O R G E

BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com CIN L25209PN1961PLC012046

August 12, 2024

To,

BSE Limited, National Stock Exchange of India Ltd.,
1st Floor, New Trading Ring, 'Exchange Plaza',
Rotunda Building, P.J. Towers, Bandra -Kurla Complex, Bandra (East)
Dalal Street, Fort, Mumbai - 400 051
Mumbai - 400 001 Symbol: BHARATFORG
BSE SCRIP CODE – 500493 Series: EQ

Sub: Transcript of the Analyst / Investor Conference Call on financial results
for the quarter ended June 30, 202 4

Ref: Regulation s 30 and 46(2) of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015

Dear Sir/Madam,

We are enclosing herewith transcript of the conference call with analysts, which took place on August 08, 202 4, after announcement of the Un-audited Standalone and Consolidated Financial Results for the quarter ended on June 30, 2024 .

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference -calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully,
For Bharat Forge Limited,

Tejaswini Chaudhari
Company Secretary & Compliance Officer

Encl.: As above

"Bharat Forge Limited Q1 FY -25 Earnings Conference
Call"

August 08, 2024

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN & JOINT
MANAGING DIRECTOR , BHARAT FORGE LIMITED .
MR. KEDAR DIXIT – CFO, BHARAT FORGE LIMITED .
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR ,
BHARAT FORGE LIMITED

Moderator: Ladies and gentlemen, g ood day and welcome to Bharat Forge Limited Q1 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kedar Dixit - CFO , Bharat Forge Limited. Thank you and o ver to you sir.

Kedar Dixit: Good afternoon, ladies and gentlemen and thank you for participa ting in the Call. I will take you through the consolidated Business Highlights for the Quarter . Along with me, I have Mr. Amit Kalyani – Vice Chairman & Joint Managing Director ; Raj Gopal, who is the in charge of our Investor Relations ; Subodh Tandale , who Heads our Component Division and other finance colleagues .

On a consolidated basis :

On a Y-o-Y, revenue grew by about 6% to Rs.4106 crores, our EBITDA grew by 23% to Rs.759 crore. And PBT has also seen a significant growth of 30% to Rs.469 crores. EBITDA margins improved by 260 basis points on a Y-o-Y basis to 18.5% in this quarter , with bulk of improvement driven by Indian entities. Consolidated balance sheet continues to remain robust, with ROCE moving in the right direction of our target. And cur rently we are at 18.4% as of June 2024 .

Talking about standalone business highlights :

We had a stable performance in Q1 with revenues of Rs.2338 crores, with a growth of about 10% Y-o-Y. Standalone, EBITDA grew by 18.9% on a Y-o-Y basis, translating into EBITDA margin of 28.1% . PBT grew by 24% to Rs.523 crores . Export performance was driven by good recovery in oil and gas business, which was offset by a partial decline in PV business . During the quarter, company has secured new business worth almost Rs.980 crores across various sectors, including defense, aluminum and ferrous castings and core forging business . Balance sheet also continues to remain strong with R OCE and R ONW improving with a strong liquidity position .

Talking about overseas subsidiaries :

The operations in EU, aluminum, continue to be stable, with tangible progress made on pricing support from our customers. Price repair activity which we are carrying on , Despite a weak demand environment in Europe in this quarter, our European operations posted an EBITDA of

Rs.37 crores, while US operations reduce their EBITDA loss to Rs.23 crores. We continue to work to improve these operations .

Utilization in Europe and US aluminum was at 75% and 50%, respectively. The weakness in overseas PV business will also have next one or two quarter impact on the aluminum business, because it currently caters 100% to PV segment.

Now , I will hand over to Amit sir for the management commentary on the business side.

Amit Kalyani : Thank you Kedar .

So, overall, I would say it was a satisfactory quarter on the consolidated basis, with performance ticking most of the boxes. On the standalone front, we have had a good quarter. We are able to maintain our margin despite cost pressures, especially on the logistics front. Oil and gas business is starting to show positive momentum. Our defense business is continuing to ramp up smoothly and more importantly, we continue to win significan t new orders and have very activ e business pipeline discussion.

The return ratios continue to inch up and more importantly, we have a strong balance sheet with a fair amount of cash. Our JSA Auto has recorded an extremely good quarter. We have had close to 50% growth in EBITDA for the quarter Y-o-Y, and as you know th at we have always strived to de -risk our business, while the defense is starting to show a glim

pse of his true potential . The most exciting part is also JSA , we should cross the 1000 crores mark in sales very shortly, also with the initiatives we are working on internally the operating profitability should see a fairly significant increase in percentage terms. Our overseas operations are on the road to recovery , we are confident that the losses in the US will come down very substantially by the end of this fiscal and Europe should do better as well.
Unfortunately, there is some trepidation on the demand side conditions in Europe currently because of macroeconomic and geopolitical issues, which are probably putting a slight question mark on the overall top line growth in the EU . On the proposal for fundraising of up to 2 ,000 crores , the last time that Bharat Forge raised any funds, any equity was in 2010 -11 during the global financial crisis. This fundraise is solely going to be growth oriented for deployment in India. Going ahead, we see multiple opportunities on the horizon, and while we ev aluate each decision on its merits, the focus of our growth and expansion of footprint will take place in India .
On the impairment of investment in Tork , it's basically a victim of the fundin g freeze and the impact of the FAME subsidy norms. Twice, we were very close to getting investors , twice Tork was very close to getting investors in its company, but that did not materialize. As you are aware, we are investors in Tork , and we have invested slightly more than 150 crores over all, and the Tork management has been working on finding alternative funding options, as it is not in our business practice to fund business losses in continuity, in perpetuity.

So, overall whether it is the automotive business or the defense business or the industrial business, we expect to see a stable year, stable to positive year. Our industrial business will continue to grow and do better. The defense business is doing fairly wel l, and we expect it to remain stable and continue growing as new orders come in and start getting executed over the next few years, we have a very solid and robust pipeline as well. And overall Bharat Forge is on a new growth trajectory. And we are prepare d for the growth opportunities that are coming our way. And good times should be ahead of us. So , that's all I really have to say, and I am happy to take your questions now.
Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: We saw very strong performance in the defense business . So, if you could talk about, what were the areas in which this new orders have been won, and in terms of ramp up also, if we not e, new current run rate is somewhere around 2500 crores annualized, and the order book is somewhere around 5 400 crores. So, earlier we had talked about the fact that this order book could take like three to four years to execute, bu t our execution is running much faster. So, how should we think about this are the execution timelines much faster . And, if there is some outlook here as well ?
Amit Kalyani : See, as we had mentioned last time, our goal was to achieve a 50% or so growth in defense this year. Some orders are lumpy , some orders take slightly longer , there are certain orders where we have been working for quite a long time, where revenue recognition happens in a certain quarter. So, it can be a little lumpy. Overall, I would st ill say that we will exceed 50% growth for the year and maintain our profitability.
Kapil Singh: Sure, sir and the order wins, what areas were these?
Amit Kalyani : Our order wins are across areas , it's across vehicles, artillery, and MRO items . That’s how it’s basically things that are used in sustenance and consumables for the sector .
Kapil Singh: Okay. And so artillery g

uns, we still don't have any update what could be the time line?
Amit Kalyani : We have very significant orders in artillery. You are talking ATAGS that is very close to finalization, hopefully by the end of August it should be final. But as you know that is not up to us. It's a process that is undergoing, and hopefully we will see some clarity very soon.
Kapil Singh: Sure, sir. And sir just on the other part of the business if you could share outlook particularly on the CV, we have seen some weakness in order inflows in US and also in India, we saw recent CV data was soft. So, any color there, what kind of growth you are expecting in these two segments. And I also noticed that overseas non -auto despite the improvement in oil and gas, did not report a growth this quarter. So, some color there also, how much was oil and gas and what is the outlook here?

Amit Kalyani : Yes, just give me a second. Our colleague will answer that.
Subodh Tandale : So, the US business if you are referring to the incoming class eight orders, that keeps varying, as you seen from over the last year, year and a half, but the overall build level is stable. Sorry for the inconvenience we got dropped off . There are enough backlogs in the system, the build rates are still stable, so it's not really affecting production in the US as of now. The outlook for the next year is stable according to at least two out of the three major OEMs. So, we have to wait and watch how that goes. As far as India is concerned , the expectation for the year is Y TD it will be flat (+/-5%). So, we are seeing quarter progression in the same way , it seems like there will be a heavier quarter three and even heavier quarter four. But we have to wait and watch , but this is the best all the OEMs are indicating that's what we see from the market. 13.08
Amit Kalyani : Additionally, you mentioned two things. So, we have seen a significant uptake in the oil and gas export business. It is heading back towards positive territory. And there are certain other programs where the shipments, are a little lumpy but for the full year the kind of growth that we have envisaged it will happ en. Secondly , in the domestic market although the numbers have gone down in CV, production and sales, our market share has gone up and our revenue is higher than the underlying market .
Moderator: Thank you. The next question is from the line of Gunjan from Bank of America. Please go ahead .
Gunjan: Just quick follow up on defense, on this ATAGS order , is there any change to the value if you can just refresh us for how big it can be. And you also mentioned this mounted gun systems for which we have bid , before which also RFQ has been submitted, and we are expecting some update on that. So, if you can just talk about that as well , I am just trying to get how big India value of orders can be ?
Amit Kalyani : So, l et me put it in a general term for you. And thi s is important for all the participants. India itself needs close to 4000 guns. It needs guns of several different kinds. It needs Towed guns , it needs mount ed guns, it needs tracked and self -propelled guns , it needs 105 mounted guns. Fortunately for us, we make all of these products , we have nine artillery platforms, so we can compete in any category that is envisaged or required. Additionally, globally as well, there is a huge requirement for replacement of guns of very old vintage. So, there is another equal or more opportunity outside India . As you know that our curre nt business has started of by exports, and we expect that the export potential and export business will continue to grow for us, and we will be a global player in this area. So, the current order of ATAGS that is supposed to open is roughly 307 odd guns. So, that itself is, roughly in excess of 40 00, 4500 crores. Just 300 guns , so you can extrapolate and under

stand what is possible.
Gunjan: This is the overall guns and whatever we get out , it can be 50 :50 is that understanding, correct?
Amit Kalyani : See, currently it's L1, L2 is 60:40, so it depends on how many platforms get bided out and get closed in the next few years. But we have that kind of potential. And then when you are doing

exports, obviously it is you are typical , only one player, because these companies all buy from only one company these countries. So , there is an ample potential.
Gunjan: Amit , while we are at defense, I also see a mention of these shel ls which were in shortage, and which you mentioned in your annual report that , we now have a significant visibility on that business. Can you just give us some understanding , is it part of the order book already, or it's a recurring order that you keep win ning. I am not too clear about the nomenclature there , so was trying to get better visibility.
Amit Kalyani : We have a combination of three things. We have long-term orders , we have new orders, and we have orders that we have been supplying for some time now and it is already generating revenue.
Gunjan: Okay, got it. The second question I had was on aerospace, anything to call out for this quarter, and how should the revenue ramp up be ?
Amit Kalyani : So, again as I mentioned, certain businesses like aerospace, there is customer approval processes for new products. So, unfortunately because of everything that is going on, our customers haven't been able to come here and do the approval processing. But we expect, this year, a 15 % to 20% growth in our business, and next year a strong double -digit growth, and we are on track for that.
Gunjan: And last year if I could recollect it was 250 crores or so ?
Amit Kalyani : Yes, correct.
Gunjan: Okay, got it. And last question on the cap raise again, you mentioned that there are opportunities, is it something inorganic that are coming our way, because it's a pretty sizable cap raise which, if it's organic , does take time so I am just trying to get ?
Amit Kalyani So, it will be a combination of both, but it will be India.
Gunjan: And no new segments, or open to new segment diversification as well?
Amit Kalyani Both, but very allied to what we do metallurgical products, similar to what we do, or value additions o f what we do, and focused on creating more customer traction and centricity for

ourselves.
Moderator: Thank you . The next question is from the line of Jinesh Gandhi from Ambit C apital. Please go ahead.
Jinesh Gandhi: Hi, Amit . So, one clarification, when we talk of defense business of 600 odd crores, we account for that in the domestic side only or say between domestic and exports ?
Amit Kalyani It's all accounted in domestic.

Jinesh Gandhi: Okay, despite the exports so it's more of how we supplied as a result that how we accounted in domestic is that correct?
Amit Kalyani Yes.
Jinesh Gandhi: Got it. Secondly, with respect to the aluminum forging business in US and Europe. So, while currently it is a passenger vehicle -oriented business, is this technology relevant for non-PVs and non-auto segments as well, which we are looking at. How to think about that ?
Amit Kalyani Non-Auto is definitely possible, but non-PV it will be limited by the size of the product. Typically, you can m ake products up to about 12 odd kilos in weight . So, the whole reason for , this whole aluminum forging is basically light weighting . So, it is applicable for areas where weight is a factor .
Jinesh Gandhi: Right. And in that context how should we think about the pathway to the low double digit EBITDA margin which we have been talking about both for US and Europe, what needs t o fall in place to reach there?
Amit Kalyani On the Europe side we are getting resolutio

n for the price repair. And we will see tha t by Q4 we will be 00, if not slightly positive . In the US , we would have been there except for steep decline because of some certain customer specific issues where business has gone down for a short period of time, for about three to four months. So, once that recovers, we will be back on track there as well.
Moderator: Thank you, sir. The next question is from the line of Amyn Pirani from J P Morgan. Please go ahead.
Amyn Pirani: My first question was on continuation on this, overseas subsidiaries only . Given your commentary, it looks like the major part of the improvement will be felt only in FY 26 because these things will take some time. So, in that context, when we look at your presentation and there's a comment around reduction in losses, is it mostly related to the India subsidiaries which are going to drive this this year or you still feel that we could see substantial reduction in losses in the overseas subsidiaries, despite the concerns that you are highlighting ?
Amit Kalyani : I expect that we will see a substantial improvement in the overseas subsidiaries for this year as well, especially for Europe . We will see big improvement because o f the actions that I talked about and next year undoubtedly will be even better . US, because of this reduction in volume unfortunately, it will not show. But if you see as a percentage, if you look at the quarter by, by quarter four you will start seeing a fairly strong improvement. So, both I would say, on the yearly basis, I would look at more on the quarter to see the improvement, and that will then carry forward .

Amyn Pirani: Understood. And secondly, just a bookkeeping question. If I look at your prese ntation in slide #11, if I look at the India operation EBITDA , I am assuming this is standalone plus the Indian subs. But if I add the EBITDA of standalone and the Indian subs, I still get like a 50 crore EBITDA which is unexplained , is there some accounting thing here, or am I missing something?
Kedar Dixit So, this is mainly due to the inventory reduction for our trading entity, as there is an inventory movement, it will keep on fluctuating this time, since there was an inventory reduction, there was a benefit for the group .
Amyn Pirani: Okay. On an annual basis should we assume that this is like a net, net zero ?
Kedar Dixit Yes.
Amit Kalyani Not the quarterly fluctuations, but on a normalized basis, it should be a zero sub.
Moderator: Thank you. The next question is from the line of Pramod Amthe from InCred Equities . Please go ahead.
Pramod Amthe: So, the first question is with regard to the continuity of the government, does it help you in terms of G2G orders progressing further accelerating in the coming quarters or years . And also related to that is, what is the status of product performance of what you have supplied to some of the international clients both on guns and vehicle ?
Amit Kalyani The second question , the product performance is absolutely satisfactory. There are no complaints. There has been no issue of any kind. We are also now training the maintenance staff

over there on maintaining these products for the medium to long term, in addit ion to the people that we have deployed to maintain . Secondly, the government is doubling down on creating opportunities for Indian companies to export, because it becomes a part of their external affairs development initiative as well and relationship dev elopment , long term relationship development initiatives. So, not only are they doing G2G , but there is also now, let's say, more funding being made available for exporting these products to certain target countries .
Pramod Amthe: Sure, thanks. And the second one is with regard to the VRS in Mundra which we have again extended. Wanted to know the thought process, do you see a substantial

productivity upgrade
possible, and hence the investment towards it or how are you looking at that plant ?
Amit Kalyani So, look, in Mundra we have some parts of it which are very old. So, there the productivity is low. So, we want to completely modernize that and dramatically improve the productivity. And for that, clearly, we can't have so many people, extr a people. So, we are trying to do a VRS between a combination of VRS and retirement age of people. We aim to reduce a few hundred people from this plant in the next couple of years.
Pramod Amthe: And these are which product lines if you can?

Amit Kalyani This is across the board. These are people who joined us in the 80s basically .
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rat hi Institutional Equities. Please go ahead.
Mumuksh Mandlesha: So, on the freight cost and availability of the freight , has there been any demand impact on this quarter . And what could be the cost impact in the Q1. And going ahead how do you see both the cost and availability issue ?
Amit Kalyani Look, there is an issue obviously, there is an issue of availability. I don't know if you are aware why a lot of containers are not available, besides the fact that shipping lines are taking longer routes, so they are stopping at less ports. So, overall, we have managed to mitigate almost all the freight cost increases for this quarter. And we will continue to work on that and between whatever we can do and whatever we structurally do with our customers, we will manage this .
Mumuksh Mandlesha: If possible, to quantify the freight cost impact for t he quarter?
Amit Kalyani No, it's difficult, because, as I said it happens over a period of time, and we get recoveries over a period of time, or we do mitigating factors over a period of time. I can't quantify it, but we are managing quite well in the quarter, in spite of that.
Mumuksh Mandlesha: Got it sir. So, on the export front this is the first quarter where we have seen a small decline. So, going ahead based on the customer production plan, will the exports be more flattish, or there's a possibili ty in a larger decline for the year ?
Amit Kalyani At this point, we don't see a reason for a larger decline , it is very volatile of course, we expect it to be steady, but we are also taking a lot of actions to improve our share of business and all of that in the marketplace. So, even if the market decline happens, we are trying to prevent the impact on us. So, there's a lot happening right now.
Mumuksh Mandlesha: So, this market should gain, which basically you are talking about is because of Europe plus one diversification strategy ?
Amit Kalyani There are lots of reasons. It's not just that.
Mumuksh Mandlesha: Okay. And sir also can you comment on the sub segments, like high house power engines, construction equipment structure segment, how they are perfo rming ?
Amit Kalyani The high horse power engine is performing quite well because of the overall increase in demand for standby power . Construction and mining is on the weaker side, there are structural changes that keep coming every two, three years. So, we are going through that cycle. So, hopefully that should start doing better next year.

Moderator: Thank you. The next question is from the line of Vivek Kumar from JM Financial. Please go ahead.
Vivek Kumar: Just one part , could you share the capacity utilization at the overseas subsidiaries ?
Amit Kalyani In Europe it's about 70% and in US about 50% .
Vivek Kumar: That means similar to the previous quarter ?
Amit Kalyani Yes, more, or less.
Moderator: Thank you. The next question is from the line of Roha n Vora from Envision Capital. Please go ahead.
Rohan Vora: Sir, y ou answered it earlier,

but just to clarify , the fundraise that we are doing, so just wanted a
little bit of more color on it. Is it going for inorganic acquisition or organically expanding
facilities ?
Amit Kalyani It will be for growth of manufacturing footprint in India, for both global and Indian opportunities,
and it will be a combination of both Greenfield and inorganic.
Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark . Please go
ahead.
Mukesh Saraf: My first question is on the European subsidi aries, in the opening remarks there was some
mention about pricing actions being taken there. So , in the previous quarters we have been
mentioning that we should soon start taking some pricing action. So , the question is, is this going
to be going on for some more time, like an ongoing price action that we will take over the next
few quarters, or is it like a one time that we are already done with?
Amit Kalyani So, it will be done by next quarter fully. And, then it will be implemented, and it will be in place.
Mukesh Saraf: And this would be for across your customers in the European operations ?
Amit Kalyani For aluminum .
Mukesh Saraf: And in continuation to this, you had mentioned in the US aluminum operations we have seen
some weakness for a couple of months. Would you be pushing back on some CAPEX p lans,
also, because we had the phase two CAPEX comi ng in this year , so would that also be delayed ?
Amit Kalyani Unfortunately, the CAPEX is a project. It takes about 28 to 30 months to implement. So, we are
already in the middle of that , we are not going to rush to do it, but we have to do it anyway.

Mukesh Saraf: Got that. And just lastly, on our export passenger vehicle business, we have seen some kind of
flattish performance after probably two, three years of continuous, strong double -digit growth.
So, obviously the growth has been driven by market shares , etc. So, are we kind of hitting some
level of saturation there?
Amit Kalyani No, w e have won business last year which will start from next year. So, right now, there's a
slight weakness because of the Brazilian market, which is one of the markets w e export to, and
otherwise it's okay, and it will continue to grow. This market will continue to grow quite
substantially for us.
Moderator: Thank you. The next question is from the line of Milind Shah from Well Verse. Please go ahead.
Milind Shah: Sir, I just wanted to ask one question, what kind of approval we have got from the government
just now , just few days back we announced for our subsidiary KSSL?
Amit Kalyani In the beginning there was no KSSL a bout 13 , 14 years ago . So, originally, we had got li censes
in the name of Bharat Forge. We have got a lot of our defense licenses in the name of Bharat
Forge. So, now that we have a wholly owned subsidiary called KSSL , all the licenses that we
have got from the Ministry of Home Affairs for defense manufactu ring, which requires specific
licenses have now been obtained for KSSL , so all that business will be in KSS L.
Milind Shah: Okay. And sir, in continuation of that sir, when the operation will be commenced?
Amit Kalyani KSSL is an operating entity, but the new plant that we are building we will start by around
October .
Milind Shah: Around October ?
Amit Kalyani Yes, October, November post Diwali.
Milind Shah: And sir just last question sir . How much it will affect our top line and bo ttom line ?
Amit Kalyani Existing business will move there, and we will have ample capacity for growth.
Milind Shah: No, I was asking for the new approval we got for the company, how much it will affect our top
line and bottom line regarding this particular new approval sir ?
Amit Kalyani It’s the same approval Bharat Forge already had, has got transferred has been let’s say, applied
for and received in the n

ame of KSS L, because we want all our defense business to be in KSS L.
Don’t want to do defense equipment in Bharat Forge that's why.
Moderator: Thank you. The next question is from the line of Amisha Agarwal from Please go ahead.

Amisha Agarwal: So, my question is , with the Class -8 orders falling to 12,400 units in July, down from the 16,000-
unit average earlier in the year, how is the company addressing this slowdown and what
strategies are in place to mitigate its impact?
Amit Kalyani Amisha c an you please repeat your question little slowly and little loudly , we couldn't understand
what you were saying it wasn't very clear.
Amisha Agarwal: Okay. Sir, my question is with Class -8 order s falling to 12,400 units in July, down from the
16,000 units average earlier in the year. How is the company addressing this slowd own and what
strategies are in place to mitigate its impact?
Amit Kalyani These order intake is for delivery 18 to 24 months in the future. So, there is enough order pipeline

for this year and next year as it is. So, this is only orders received in advance. Well in advance.
I don't foresee that to have any direct impact today, or next year on our business .
Amisha Agarwal: Okay, sir . And also there has been a global slowdown, and as we have seen in the results, also, export revenue declined 6.3% quarter -on-quarter, and 0.7% year-on-year, as mentioned on the page number #9 of the presentation . Given that recession chances also in the US. So, how is the company planning to address the challenges?
Amit Kalyani See, I will tell you, we have a very simple philosophy, be the last man standing. Have the strongest balance sheet, the best technology and the best overall cost structure and customer proximity. If you have that, even when bad times are there, you can be do more for your customers, because t hey also need to reduce cost structurally at that time.
Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: So, just one follow up, there was some news flow that in Europe, one of the aluminum suppliers has faced flooding and is facing disruption in supply. Just wanted to check if you have heard of any risk for Bharat Forge customers ?
Amit Kalyani Kapil in our case, we melt and cast our ow n aluminum, which we then forge , so any such thing will not affect us. In fact, it may only be a positive for us, and honestly, I am not aware of this , I did hear of something in Eastern Europe where because of the flood, some one plant had got flooded, but that's a specialty aluminum plant it's not a commodit y plant . If you can share that by email with us, it will help us.
Moderator: Thank you. The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Sorry , I had a follow up on the European operation. So, if you look at the European operation, ex of the expanded capacity on the aluminum forging side, the legacy business of steel forging

and the old aluminum forging is it back to normalcy in terms of margin, which they used to do, say pre-COVID o r that is al so under pressure today?
Amit Kalyani See, on the steel forging business we are doing, let's say overall product and business rationalization and right sizing. We want to get rid of business or move business that is not adequately profitable and right size the business, so that even with ups and downs , we can make money . We have to find the right s izing exercise, which will involve footprint optimization as well as manpower rationalization in the next six to eight months .
Jinesh Gandhi: Got it. And the old aluminum forging that is back to 13%, 14% kind of EBITDA margin, which is.
Amit Kalyani Yes, that is running quite well .
Jinesh Gandhi: Great. And lastly

, what should be the CAPEX for standalone and console business for this financial year ?
Amit Kalyani So, I would say overall, between this year and next year whatever we are spending will get spent over this year and next year be about a 1,000 crores .
Jinesh Gandhi: This is including the subsidiary?
Amit Kalyani Yes, everything.
Moderator: Thank you. Ladies and gentlemen, that was the last questio n for today's conference call. I would now like to hand the conference over to Mr. Amit Kalyani for the closing comments.
Amit Kalyani: Ladies and gentlemen, thank you for your time and most importantly your extremely well thought out questions regarding o ur business. It's always reassuring to see the thought that you put into our business and understanding of it . Our management team and I are grateful for your time, and we will continue to improve the performance and operations of our business and hope to continue interacting with you going forward. Thank you and have a nice weekend.
Moderator: On behalf of Bharat Forge Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
Phone : + 91 20 6704 2476 / 6704 2850 (Secretarial) Fax : 020 2682 2163
Email : secretarial@bharatforge.com Website : www.bharatforge.com

November 22 , 202 4

To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai 400 001
Maharashtra, India

Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India

Symbol: BHARATFORG

Sub. : Transcript of the Analyst / Investor Conference Call on Unaudited F inancial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2024

Ref. : Regulations 30 and 46(2) of SEBI (Lis ting Obligations and Disclosure Requirements) Regulations, 2015 (‘Listing Regulations.’)

Dear Sir / Madam,

Please find enclosed herewith the transcript of the Analyst / Investor C onference call, which took place on Thursday, November 14 , 2024, after announcement of the Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended on September 30, 2024 .

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference -calls

We request you to kindly take the same on record.

Thanking you,
Yours faithfully,
For Bharat Forge Limited,

Tejaswini Chaudhari
Company Secretary & Compliance Officer

Encl. : As above

“Bharat Forge Limited Q2 FY25 Earnings Conference Call”

November 14, 2024

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN & JOINT
MANAGING DIRECTOR , BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CFO, BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE
DIRECTOR, BHARAT FORGE LIMITED

Moderator : Ladies and gentlemen , good day, and welcome to Bharat Forge Limited Q 2 FY '25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please si gnal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani - Vice Chairman and Joint Managing Director , Bharat Forge Limited. Thank you , and ov er to you , sir.
Amit Kalyani: Good afternoon, ladies and gentlemen , and thank you for your time and attending our call. I will now hand over the explanation part of the call to my colleagues Kedar and Raj Gopal. And then I will be happy to take your Q&A.
Kedar Dixit: Good afternoon , ladies and gentlemen , and welcome to the conference call.
Talking about standa lone business :
Q2 standalone performance was resilient given the underlying demand conditions. While the top line was flat at 2 ,247 crores , the margin expanded by 140 basis points to 28.8% reflective of a favorable product mix. Europe was the weak link in otherwise strong quarter across commercial vehicle and passenger vehicle export business.
The return ratios continue to inch higher with ROC E net of cash at 20.5% from last year of 20%.
Our leverage continues to go down while we repay our debt with our gross debt -to-equity ratio now at 0.46 x and 0.24 x on a net basis. A stronger balance sheet and cash on books of almost Rs. 2,000 crore put us in an enviable position to tap newer opportunities as they arise, both at organic and inorganic front.
The traditional business won new orders of about Rs. 646 crores in H1. And during the same period, across the segments, we won orders of Rs. 2,200 crores, largely dominated by defense of almost Rs. 1,400 crores, followed by JSA, aerospace and the traditional business.
Talking about Overseas Business :
The performance should be viewed in the background of seasonally weak quarter because of holiday season , weak demand environment in Europe and specific customer -related issues impacting European and North American utilization .
In H1, European operations posted EBITDA of Rs. 75 crores, while U .S. operations reduced their EBITDA loss to 45 crores.

Talking about Indian operations :
JSA continues to register a strong operating performance in Q2, with revenue and margins both showing improvement, coupled with robust order wins of Rs. 173 crores in the first half. The most heartening aspect of the business is the diversification on the customer and product front, which has happened over past years with our automobile traditional business.
Talking about Defen se:
The group posted revenue of Rs. 509 crores in Q2, that is a jump of an impressive 67% year - over-year. And with order wins of almost Rs. 1 ,400 crores in H1, the executable order book as on 30th September now stands at about Rs. 5,900 crores. This order book does not include any

potential orders from the domestic or export market. The sequential drop in revenue is due to the completion of order on export front.
It is important to understand that new orders will take time to convert into revenues and may create lumpiness in quarterly performance while the business remains on the st rong fundamental when dealing with the 3-to-5-year horizon.
Talking about the Consolidated business :
For H1, on the Y-o-Y basis, the revenue grew by about 2% to 7,795 crores , while EBITDA grew by 16.8% to 1,449 crores and PBT increased by 24.5% to 872 crores. EBITDA margins have also improved by 240 basis points to 18.6% in first half , with bulk of the improve

ment driven
by Indian entity.
The consolidated balance sheet continues to remain robust with ROC E of about 18% as of September 2024, and the ba lance sheet continues to remain strong with ROC E and RONW improving amidst the strong liquidity position.
Now I will hand over to Mr. Amit Kalyani.
Amit Kalyani: So, I just want to give you a little high level thoughts about what I think about the current environment and going forward. I think the demand environment is challenging in Europe.
In India I am hoping that with the stability in the government and the elections all beyond us now that the spending is starting . This is what we ar e hearing from people , and that should have a, let's say, follow on effect on the CV market and hopefully on the agro market as well and also on the passenger car industry.
America is strong and we expect it to remain strong next year as well.

Also , our diversified revenue streams across geographies and sectors such as defense, industrial, aerospace and casting , both aluminum and iron , should insulate us to a great extent. Because in many of these areas , we are growing our market share and increasing our total business levels. And most of this we are doing with a capacity that is already in place. This is what we believe is going to drive our business for the remaining part of the year.
In terms of order books and order wins, we have a strong order book across sectors, and we continue to win business . Just as Kedar mentioned , we have won 2 ,200 crores of business in the first half. 1,400 crores of that was defense. Almost 300 crores of that is aerospace. Put that into context, last year our aerospace business was 240 crores. So, it's more than the entire business we did last year. And this is an annualized kind of business that we will do going forward once it fully ramps up. So, we expect to see the aerospace business grow quite substantially and become multiple times the size of its business that it is now.
We see multiple new customers and we also see tremendous momentum of China Plus One and movement from other parts of the world into India , and increased interest, substantially increased interest of U .S. customers , especially after the elections.
We are feeling some pain in our European and Swedish operations. We are downsizing these operations. And we have committed that we will fix these businesses in a short period of time , and that is what we are working on.
In terms of defense, I just want to mention one. Please don't look at quarterly revenues because these are not quarterly kind of businesses. Please look at it on a Y-o-Y basis. And as we have mentioned, we are guided for a strong Y-o-Y growth, and we maintain that.
In terms of M&A opportunities there are plenty of opportunities, but we are looking at opportunities which are synergistic, which are complementary and where we can significantly add value and go from components to systems, get into new products, new sectors, new geographies and also where we can expand the Make in India strategy that we have. So, we will pursue this opportunity, but please remember t his is only in India.
In terms of business verticals, I will expect the EV vertical to be EBITDA break -even in the next two to three quarters. Because of the current slowdown and downturn in Europe, it is taking a little longer, but we are still working hard at it , and we are confident that we will get this under control as soon as possible.
That's really all I wanted to say except that business is strong . We keep winning a lot more business . We are increasing our market share with our strategic customers , and we continue to get into new sectors and geographies. And, sorry, I forgot to mention that we have added three new customers in the first half of this year in the component bus

iness.
So, that's really all I wanted to say and now we are happ y to take your questions.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Hi, Amit. A couple of questions from my side . One is with respect to the defens e business. The revenues which we have seen so far or the order books which we have today, is it now without any gun orders, the ex port gun orders being largely delivered or there is any pending order?
My question was on our defense business . So, is the ex port gun order which we had got now being totally serviced or there is anything pending on that si de?
Amit Kalyani: No, it is not fully serviced . It is still being delivered. We still have a large order pipeline. Our total or der pipeline right now is about close to 6 ,000 crores.
Jinesh Gandhi: Sorry, I am referring to the gun export order which we had got, I believe that was supposed to be serviced by end of FY '25 , if I am not mistaken.
Amit Kalyani: It is still being delivered and we have also got, as I mentioned, we have a total order book which is already signed of 6 ,000 crores.
Jinesh Gandhi: And secondly, there has been news article about Bharat Forge being selected as the L1 for ATAGS guns. So, how should we thin k about ordering now? Are there any further steps left before ordering is done? And in that context, how do you see orders to come and by when you see orders to come ?
Amit Kalyani: Yes, so there is a process that goes on which is currently going on and th is potential order book that will come from this is not included in our existing order book.
Jinesh Gandhi: So, do you expect it to come in this financial year or ?
Amit Kalyani: Yes, definitely.
Jinesh Gandhi: Secondly, with respect to the aerospace business, so how should we think about, you are talking of exponential growth from where we are, and there are clearly tailwinds there. But any sense on what was the revenue of aerospace in the first half?
Amit Kalyani: It's in the region of about 100 cror es.
Jinesh Gandhi: 100 crores , okay. And last question is on CAPEX . So, if I look at our CAPEX for...
Amit Kalyani: You have a question on CAPEX . Please go ahead.
Jinesh Gandhi: So, CAPEX in the first half at consol level was close to about 820 crores. How should we think from the full-year CAPEX and where all we are investing, because at subsidiaries it seems we are in vested close to 500 crores in the first half. So , can you talk about...

Amit Kalya ni: There is not much CAPEX left in the subsidiaries. This was for our second phase in the U .S. There is hardly anything left there. Maybe about $8-10 million. The rest of it was all in India. And I think in the second half , in India , we have about significantly lower CAPEX . So, we will just have the maintenance CAPEX .
Jinesh Gandhi: The second phase of U .S. aluminum has already been invested and we will see doubling of capacity or how much?
Amit Kalyani: It will double the capacity. I t will come out live only next year.
Jinesh Gandhi: Next year. Got it.
Moderator: Thank you. The next question is from the line of Kapil Singh from Nomura Wealth. Please go ahead.
Kapil Singh: My question was on defense orders . Can you throw some light on the product and maybe if the geography is from where we have won these orders ? And also, how do we calculate the order book? Because last quarter it was about 5,400 crores , and we have executed 500 crores , and we have won 640 crores more order. So, just trying to understand the math around the order book.
Amit Kalyani: Now see, we have, last quarter it was 5 ,000 crores, 5 ,400 crores. In the first half , we have execut

ed about 900 crores , and we have added 1 ,400 crores in the first half. Okay?
Kapi l Singh: Understood. So, because in the first quarter , we had mentioned that the order book was already 5,400 crores.
Amit Kalyani: Yes, today the order book is at about 6 ,000 crores.
Kapil Singh: So, from 5400 crores, if I add 640 crores for the new order wins and I subtract 509 crores for the execution this quarter, the math is not adding up to 5 ,900 crores.
Amit Kalyani: You can take that on offline because when you are talking about a difference of 10%, I am sure our guys will explain it to you.
Kapil Singh: And on the areas from which we have won the order s…
Amit Kalyani: The areas, I can talk about the products, it's a combination of vehicles, guns and components.
Kapil Singh: The second question was on overseas. You talked about some weakness in Europe , and also if you could give some perspective on Europe in particular , is there a concern that Europe can drop further or already there are what are the customers saying there, whether there is a fu rther...
Amit Kalyani: We are not hearing anything from customers on a long -term basis. The projections come on a monthly basis, and that's r eally all . Everybody is saying that things are going to get better next

month, next year. So , I think next year, re alistically I think next year things will probably improve.
Kapil Singh: What about the progress on margin improvement trajectory? How things are shaping up there?
Amit Kalyani: Yes, I think if our business was at the level which we had projected, our ma rgins would have been significantly better. But obviously , we have to adjust our cost to make sure that even at this level , we achieve fairly decent margins. So, I think we are about a quarter or two away from getting to that level in Europe.
On the aluminum side , we have made a lot of good progress , and I think from next year , we will have a much better situation. On the steel side , we have issues on demand and therefore we are doing a lot of work on the cost side.
Kapil Singh: Like earlier , we were talking about reaching double -digit margins. So , any visibility you have ? Is there any compensation pending from the customers on cost?
Amit Kalyani: I think whatever actions we have to take on the aluminum side are done , and that will all result in we will see in the results for the next year. On the steel side , we have only a demand issue.
Kapil Singh: And sir, you were also there is this discussion about tariffs coming up in the U .S. market. So, how is the company and the customers thinking about it in terms of contingency planning?
Amit Kalyani: You know, first, everybody, there is a lot of speculation about it. So, first, let the guy come into the White House . Let him make in concr ete what is it that is going to happen. Then we will have to react. But the point is, I think that India is going to be in a good position. I think that we have enough capacity and capability to deliver. And we should be well poised to take advantage of the opportunities it throws up.
Kapil Singh: Just lastly, Asia revenues also saw Y-o-Y decline. Any color there? What happened?
Amit Kalyani: No, we had a few countries where we were supplying where they have a slowdown right now. Those numbers are not very large. And there were some inventory correction happening there.
Kapil Singh: I will come back in the queue.
Moderator: Thank you. The next question is from the line of Amyn Pirani from J.P. Morgan . Please go ahead.
Amyn Pirani: You mentioned something on the India business, especially on the commercial vehicle side also hopefully improving as government CAPEX starts. So, probably the first half has been quite tough on a we ak base of last year as far as trucks are concerned. Right now, are the customers

giving any sign of any production improvement in the monthly or quarterly order book? Or is it more of an expectation for next year that you are hopeful?
Kedar Dixit: See, the first half you have to also consider that it's back or it's been on the bac k of an election , and there is a cycle associated with it. There are some inventory factors associated with it and so on. So , that has obviously seen a muted demand.
The general belief is that the India growth story is still intact , and we should start seeing a better traction in terms of orders including MHCV. But it might take maybe one or two quarters for it to start being more visible as inventory and all of that disappears from the system. But overall , the outlook of most OEMs i s reasonably positive. Not excessively positive , but positive.
Moderator: Thank you. The next question is from the line of Pramod Amt he from InCred Research . Please go ahead.
Pramod Amthe: So, t he first question is with regard to the subsidiary investment s. I think you have indicated some investments in three of the subsidiaries. Can you elaborate the reason for the same?
Amit Kalyani: So, one subsidiary is we have invested in the second phase of our CAPEX in the US. Second is to invest in our EV business to set up some assets which will start generating revenue from next year.
Pramod Amthe: And there is one for power trading , if I am not wrong .
Amit Kalyani: What? Power trading is for solar. Power Train, sorry. That is the EV.
Pramod Amthe: And that is for capacity enhancement for the product lines or?
Amit Kalyani: No, w hat are you talking about? Are you talking about e nabling a resolution or you are talking about what we have already invested?
Pramod Amthe: No, a long with some key management personal change, you have given a table.
Kedar Dixit: So, Pramod, these are the enabling resolutions, and the investment will happen over a period of time, but this is not a new investment, or we are not going to do any new projects outside India.
This is largely India based and some of the loan repayments which we are planning to do.
Pramod Amthe: No, this is the enabling resolution for a future period and what period for this is involved ?
Kedar Dixit: This is maybe up to the next 12 to 18 months.

Pramod Amthe: And second one is with regard to defense . It is good to see the bulging order book on the defense side. Can you give some qualitative information in terms of what type of client feedback or engagements you are havin g which can result into better order inflow visibility or pipeline?

Amit Kalyani: Sorry, in the defense business we cannot talk about that level of detail. But we have significant engagement , and we are very confident that we will continue to grow our order book very substantially , and we expect our defense business to be one of the main drivers of our growth of the company going forward.
Pramod Amthe: And excluding the domestic , which is taking the time, any targets you are internally looking at in the order book build up by end of '25 or '26?
Amit Kalyani: Pramod, t he whole order book that we have right now is largely exports. We are the largest exporter of defense equipment from India.
Pramod Amthe: But Amit, the challenge is for us to get some visibility because these are like a one -on-one interaction.
Amit Kalyani: So, like I said, if you look at the defense business, please look at it as an annual business. Not on a quarter -to-quarter basis.
Pramod Amthe: Hence , I was asking a medium term, any thought s how will you build an order book? What is the scale you will be able to do ?
Amit Kalyani: Last year, we did about 1 ,300 crores. So, we have said that we will have close to 40 % to 50% growth this year. We are hoping that we ar

e able to keep a substantial level of growth even going forward next year.
Moderator: Thank you. The next question is from the line of Nitin Jain from Fairview Investments. Please go ahead.
Nitin Jain: I have just one question. It's on the ATAGS order. So, you indicated to an earlier caller that we expect to receive the order by the end of this financial year. So, would you be able to quantify the size of the order that Bharat Forge will receive? Because there were some media reports that the current ord er size is about 7,000 crore , and we would be eligible for about 60% of the order. And follow up to that is that would it be reasonable to assume that it will contribute to revenue from Q1 of FY '26?
Amit Kalyani: So, everything you said before Q1 '26 is directionally correct. There is a process. First , the order has to get, there is a negotiation process, then you get the order, contracting is done, then you have to do FOPM supplies and then you have to start bulk supplies once the FOPM is approved. So, this whole process of approval past the, after getting the full order takes about 6 to 7 months and then you can start supplies. So, let's say about 12 months at the most.
Moderator: Thank you. The next question is from the line of Chirag Shah from White P ine Investment Management Private Limited. Please go ahead.

Chirag Shah: Amit, on the defense side again, so the question is, while our export order book is building up very well, do you have any comment on the domestic side because the entire effort when we started originally was for Mak e in India and the effort that government was putting at that point of time? So , if you can just give an update on how are you looking at it today and from a next 12 to 24 month perspective, at least on the order flow side, not necessarily revenue?
Amit Kalyani: Let me answer it this way. I would expect our revenues in India from next year to grow at a faster rate than the revenues from export simply because we are starting from a smaller base, and eventually I think domestic will become 30 % to 40% over our overall business.
Chirag Shah: And in domestic from next 12 to 24 months, what part of products is where you are seeing this revenue visibility? Because you have a number of products, right? You have approvals for 2-3 product or products , let me put it like that.
Amit Kalyani: Sorry?
Chirag Shah: So, which part of the product portfolio from India you are seeing the visibility of revenue?
Amit Kalyani: Our products are basically land systems which is artillery, vehicles . Then we have on the naval side, we have naval guns . We have other systems that go into naval , and we have our entire unmanned systems. These are the three areas that we operate in , and this is where we expect the matu re business is the artillery and the vehicle business . Then the other business which will grow, but even now our marine business is now at about 10 % to 15 % of our overall revenue. And it will continue to be at this percentage of the overall revenue. And w hat is not there is now the unmanned systems, which will also be coming.
Chirag Shah: So, from domestic perspective, from Indian Government...
Amit Kalyani: So, the naval system right now is all domestic. And what I am saying is that is the business that

will grow, first domestically and then globally.
Chirag Shah: So, naval business is the area where you are seeing opportunity for next 12 -24 months.
Amit Kalyani: Yes.
Chirag Shah: That is how I should l ook at it from India perspective.
Amit Kalyani: Exactly, exactly.
Chirag Shah: Thanks for this clarification.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Amit Kalyani for closing comments.

Amit Kalyani: So, ladies and gentlemen, thank you for attending our investor call. As I mentioned earlier, we are looking forward to the rest of the year and the coming year with optimism driven by our diversified business portfolio. And we see significant opportunities in our traditional businesses and some of our newer businesses , especially in industrial and in defense and supporting business because we see a lot of migration of demand from other geographies into India. So, I think this will drive our medium -to-long-term growth and continue to deliver strong returns and improve our return ratios. Because for most of these businesses , we don't need significant CAPEX . Thank you very much.
Moderator: Thank you. On behalf of Bharat Fo rge, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Call: Feb 2025

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
Phone : + 91 20 6704 2476 / 6704 2850 (Secretarial) Fax : 020 2682 2163
Email : secretarial@bharatforge.com Website : www.bharatforge.com
February 14, 2025
To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001 , Maharashtra, India

Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India

Symbol: BHARATFORG

Sub. : Transcript of the Analyst / Investor Conference Call on Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31 , 2024

Ref. : Regulations 30 and 46(2) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘Listing Regulations.’)

Dear Sir / Madam,

Please find enclosed herewith the transcript of the Analyst / Investor Conference call, which took place on Wednesday , February 12, 2 025, after announcement of the Unaudited Financial Results (Standalone and Consolidated) for the quarter and nine months ended December 31, 2024.
The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference-calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully ,
For Bharat Forge Limited

Tejaswini Chaudhari
Company Secretary & Compliance Officer
Membership No.: A18907

Encl: As above

“Bharat Forge Limited Q3 & Nine Months FY ‘25 Earnings Conference Call ”

February 12, 202 5

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN & JOINT
MANAGING DIRECTOR , BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CFO, BHARAT FORGE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 & Nine Months FY '25 Earnings Conference Call , hosted by Bharat Forge Limited.
As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani – Vice Chairman and Joint Managing Director, Bharat Forge Limited. Thank you, and over to you, sir.
Amit Kalyani : Good afternoon, ladies and gentlemen, and thank you for attending our Q 3 Conference Call . This is Amit Kalyani. I have with me members of our Finance Team, Investor Relations.
I will now hand over to Kedar Dixit – our CFO, to take you through the numbers and then I will make a few comments and then we will do a Q&A.
Kedar Dixit : Good afternoon, ladies and gentlemen.
I will take you through the standalone business first :
Quarter 3, the performance was soft, given the demand conditions in our underlying markets. The top line was lower by about 7% at Rs. 2,096 crores , while the margin s were stable at about 28.1%. Europe continued to struggle with "anemic demand " impacting both CV as well as PV exports. Defense vertical also recorded lower revenues as the lumpy nature of the business continued to impact the performance.
Talki ng about domestic passenger vehicles :
The domestic passenger vehicles recorded a sharp rebound in performance driven by better penetration with our customers. Return ratios continued to hold steady with ROCE net of cash coming to about 19%. The standalone business won orders worth about Rs. 723 crores in this quarter.
Talking about overseas business :
A combination of weak demand in Europe and some customer -specific weakness impacted performance of our overseas business. In Quarter 3 , the European operations posted EBITDA of about Rs. 10 crores while US operations reduced their EBITDA losses to Rs. 6 crores in this quarter.
Talking about Indian subsidiaries :

JSA continued to register strong performance. In Quarter 3 , it had grown revenue by 20% to reach Rs. 166 crores and margins have improved by 50 basis points to scale up to almost 14%. With significant customer and product diversification achieved over the last two years , JSA has been able to significantly de -risk its revenue stream. Euro Plus One theme and JSA's strong competence are likely to see the business scale up to Rs. 1,000 crores top -line over the next two years.
Talking about Defense Busines s:
The group's defense business posted a revenue of around Rs. 337 crores in Quarter 3 . As of nine months this year, the revenue was Rs. 1,488 crores, translating in a Y-o-Y growth of 49% . With order wins of about Rs. 100 crores in Quarter 3 , the executable order book now stands as of December 31 is Rs. 5,700 crores. This order book does not include any potential order from domestic or export markets. We would like to reiterate that the translation of order books to

revenues is governed by contractual timelines and thus may create some lumpiness in performance when viewed from a quarter -over-quarter standpoint. However, from a two to three -year perspective, the busines s remains on a solid footing with capabilities across artillery guns, vehicles, and consumables.
Talking about consolidated business highlights for the nine months :
On a Y -o-Y basis, consolidated revenues were 2% lower at Rs. 11,270 crores , while the EBITDA grew by 9.1% to reach at Rs. 2,087 crores and PBT increased by 50% to Rs. 1,224 crores. There has been an increase in EBITDA margin by 190 basis points

Y -o-Y to reach to 18.5% for the
first nine months, with bulk of improvement driven by In dian entities.
The consolidated balance sheet continues to remain robust with ROCE of 16.5% as of December '24. More importantly, leverage has gone down as QIP funds were deployed to pay down the debt. The resultant gearing position has improved with net debt to equity improving to 0.36x as of 31 December , '24.
The Company has secured new business worth Rs. 2,616 crores in April to December period across defense, aluminum, and ferrous castings, and core forging business. And balance sheet continues to re main strong with ROCE and RoNW improving amongst strong liquidity positions.
Now I will hand over to Mr. Amit Kalyani for further comments.
Amit Kalyani : Ladies and gentlemen, I thought we will adopt a slightly different approach to our con call this time.
Let's break out the performance into what was great, what was good, and what was not so good.

On the great s:
I think the new business vertical that is casting, and aerospace are doing well , and are expect ed to continue doing so. For aerospace, we have now approved a new investment of machining for landing gear components and a ring mill to manufacture high -precision forgings for the growing demands of the jet engine components globally. This will help increase our business in the aerospace sector quite substantially with business that has been tied up. So, this will be a new accelerant for our aerospace business.
On the ferrous casting space :
We continue to witness excellent customer traction. Subject to demand holding up, we should be able to hit an annualized run rate of Rs. 1,000 crores, we are hoping within the next six to eight quarters. I am fairly confident within the six to eight quarters. Additionally, we expect to see the margins increase by at least 250 basis points to 300 basis points from where we are in the next two years. So, that will give us an excellent return on capital employed, asset turnover, and also help us grow the business through internal accrual s, and generate returns and free cash flow for the Company .
On the good :
I think the standalone and defense business have displayed resilient performance in the quarter. For the standalone business, given where we are in the cycle , with the weakness in Europe, etc ., the operational profitability has held up pretty well in the 28% range.
On defense, we will see accretion to the order book before March end as the domestic ATAGS orders and other new orde rs get tied up. And we are working on significant new opportunities, including participation in the IDEX in Abu Dhabi next week, where we hope to increase our visibility and our market access.
On the not so good :
Quite frankly, disappointing has been the overseas operations. A combination of weak utilization because of demand reduction in Europe , and also in the US saw a demand slowdown. There is a huge transition taking place between this EV to ICE again. You may have seen announcements by two European OEMs in this week, t hat they will each spend upwards of €1 billion to retool their planned new ICE platforms for hybrid and also full ICE platforms going forward.
So, clearly, there is some amount of, let's say, rethink on the full electrification bandwagon. But yes, this is a temporary issue. The fact is cars will be made and I think that in six months we will have a concrete answer on the way forward. As we have mentioned, we are going to focus on returns, we are going to focus on cash flows, and businesses have to be profi table and stand on their own feet going forward.

Overall, at a Company level, I think I am optimistic about how the businesses are progressing , except for the overseas subsidiaries . I think that the US business will see a fairly

good
progression in the ne xt six months . And in the European business, as I said, give us six months
to give you a concrete answer.
We are in unpredictable times , we are in times where in addition to all the geopolitical issues,
we also have new governments making new policies, so we have to wait and watch and see what
that means. But as you have seen Bharat Forge in the past, we have gone through inflection
points and come out stronger. So , hopefully, the same thing will happen this time as well.
I think I will just make a few more comments. On the India CV outlook, we expect Q4 to be
slightly better than Q3. FY '26 will be more or less flat. As of now, the North American CV
market is expected to be buoyant with a 10% growth, but in the second half of the year. So, that's
the outlook. Europe is flat, too unpredictable. We do not have much of an answer there yet
because there are lots of governments where elections and changes are taking place, including
Germany, but I think we have to wait and watch.
So, I think I will be ha ppy to take your questions and comments, and me and our team will
attempt to answer your points. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question
comes from the line of Gunjan Prithyani from B ank of America. Please go ahead.
Gunjan Prithyani: Yes, hi, thanks team for taking my questions. My first question is on the overseas subs, which
you pointed out is quite a challenging environment. You do also talk about rethinking your
manufacturing prese nce in overseas business. Could you share more around this? Because it
certainly seems that Europe will take a lot longer to turn around than what we were guiding
initially. So, how should we think about the losses coming down there, or how should we think
about the business restructuring that you talk about in the presentation?
Amit Kalyani: Yes. Hi, Gunjan. So, in a very simple way, let me answer. Right now, there is a lot of uncertainty
about policy, about what is going to be the way forward, is it a glo bal world, is it a regional
world? So, like I said, we are undertaking a thorough review of our manufacturing footprint.
And within six months, we will have a concrete way forward.
Gunjan Prithyani: Okay. And is it fair to assume that the losses that we're seeing roughly about Rs. 90 crores PBT
loss in the European business, that sort of stay will remain at elevated levels for another two or
three quarters till we find a more lasting solution to this?
Amit Kalyani: Yes. I think they'll be in the ballpark. Obviously our attempts will be to try and reduce them. But
like I said, we need two quarters more, by which time we will have full clarity on our decision.
Gunjan Prithyani: Okay, got it.

Amit Kalyani : Everything is based on the current demand in the market. But we are going to take a decision
based on a number of factors, and we need about six months for that.
Gunjan Prithyani: Okay. Got it. And the second question was on the defense ATAGS order. What are the refreshed
timelines there? When do we see that adding up in the order book? Anything that you can share
on order book?
Amit Kalyani: So, there are three steps of the process. One is the contract signing, then you have FOPM, which
is the First Off Production, and then you have series deliveries. So, I think for series deliveries
to start, we are at least 15 to 18 months from now.
Gunjan Prithyani: And if I understand that correct, that means revenue approval to start is at least 15, 18 months,
right ?
Amit Kalyani: 15 months to 18 months is for the series deliveries to start. But the contract will be signed in the
next, I would say, three to four months, maybe even little sooner.

Gunjan Prithyani: Okay , got it. And last question. If there's a lot of uncertainty on this whole tariff noise. Is

there
anything that you are sort of hearing from your customer base because Class -8 truck does have
a pretty dominant presence, right? So, how should we think about this?
Amit Kalyani: Gunjan, there is no c larity on this yet. So, if you've seen the verbiage coming from the White
House, they first talked about commodities. Then next week they're going to talk about passenger
cars. Then they will talk about other things. So, I think we have to wait and watch.
Gunjan Prithyani: And then EPA emission also sort of goes on a back burner for some time because you do not
know how the emission regulation evolves under the under the current regime. Is that the way
we should think about it , a lot of uncertainty .
Amit Ka lyani: So, if you are talking about the US?
Gunjan Prithyani: Yes.
Amit Kalyani: So, if you are talking about the US, generally speaking, there is uncertainty , however, states
where the emission requirements or the emission laws are different from the whole country, for
example, California . California has its own CAFE regulations, California air something,
emission, whatever, air something. So, air regulation board or whatever it is. So, they have their
own emission standards. So, those will go ahead no matter what. But that represents only a small

percentage of the overall US automotive market. So, I think in general, there is going to be a rethink on the whole green push in the US, that is what we are hearing from the President.
Gunjan Prith yani: Okay, thank you so much. I will join back the queue.

Amit Kalyani: Yes, thanks.
Moderator: Thank you. Next question comes from Jinesh Gandhi from Ambit Capital. Please go ahead.
Jinesh Gandhi: Yes, hi. I have a couple of questions from my side. One i s, your comment on margin expansion of 250 to 300 basis points in next two to three years, that was for JS auto or at a consol level?
Amit Kalyani: That was for the castings business, yes.
Jinesh Gandhi: For the c asting business , okay. And this would be pr imarily driven by operating leverage? Or do you expect that Russian business to come back, which had impacted margin?
Amit Kalyani: It was a combination of o perating leverage, cost reduction, product mix.
Jinesh Gandhi: Okay, got it. And secondly, with res pect to your comment on what is happening in the US and Europe with respect to EV trend reversing, do we see any risk to our aluminum forging business in both US and Europe?
Amit Kalyani: No, no because aluminum forging and aluminum, in fact, is going to be common no matter whether it's EV or its gasoline. It's completely agnostic to them .
Jinesh Gandhi: Got it. And last question pertains to our CAPEX expectation for FY '26, given that we are also now investing on the aerospace side and also the ongoing doubling of capacity in the US for aluminum forging. So, what should we budget for CAPEX for standalone and consol ?
Amit Kalyani: The CAPEX for the US is done, okay . And in India, we mentioned that w e are setting up some new facility for aerospace and that is already now tied up. We will announce that , I mean, that is now going to take place. And I would like to let you know that we have signed a long -term agreement with a European Company to collabo rate to set up a manufacturing facility to manufacture cutting edge landing gear and other aerospace components for global OEM requirements. So, this is the first of its kind in India and will be a big boost to our overall aerospace capability and business and be unique for this part of the world.
Jinesh Gandhi: Got it. So, overall FY '26 on a standalone basis would be investing close to about Rs. 400 crores, Rs. 500 crores or to be lower than that?
Amit Kalyani: No, I would say about Rs. 300 odd crores.
Jinesh Gandhi: Okay. And similar for subsidiaries, total CAPEX of Rs. 600 crores at consol level?
Amit Kal

yani: Only investments in subsidiaries will be in India, nowhere else. And I do not think that will exceed maybe Rs. 200 crores, Rs. 250 crores at the most.

Jinesh Gandhi: Got it. And just one clarification on the US operations. Now EBITDA losses have reduced to just about Rs. 6 crores on a quarterly basis. This would be at what level of utilization? Are we close to 80%, 85% there now?
Amit Kalyani: Utilization is currently at about 60%.
Jinesh Gandhi: 60% you said?
Amit Kalyani: Yes. We have reduced costs a lot and we have improved efficiencies.
Jinesh Gandhi: Got it, got it. Great. Thank you. And all the best.
Amit Kalyani: Yes. Thanks.
Moderator: Than k you. Next question comes from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Good evening, sir. My question is on export industrial revenues. We have seen a good growth over there. Could you give some color for that? And also aerospac e, like any numbers you can give on what is the current revenue and what is the potential of these facilities that we are setting up?
Amit Kalyani: So, like we said last year when we spoke, our aerospace revenues are currently running at somewhere in the r egion of Rs. 50 crores, Rs. 60 crores a quarter. We expect this to go to triple - digits by next year per quarter. And this new facility that we are adding can almost help us double that capacity. This becomes our path to crossing USD. 100 million going towar ds USD 150 million, and. 200 million of business.
Kapil Singh: Okay. Thanks. And on the industrial business, if you could give some color because we saw good growth over there.
Amit Kalyani: On the industrial business, the only area where we have seen a degrowth is on the high horsepower engines. And that is temporary because of some amount of inventory in the system. Otherwise, the business is doing quite well. Rail has seen a small dip as well. That's the only other thing.
Kapil Singh: Sir, I was asking about the export industrial busines s, which has gone from 360 to 400 Crore

Amit Kalyani: I am talking about export only. Export industrial has been more or less flat. I mean, it's been up by about 7%, 8% over last year.
Kapil Singh: Yes. So, which segments have grown, that's what I would ask, sir.
Amit Kalyani: Oil and gas has grown significantly. Aerospace has grown by almost 25%. Oil and gas and aerospace have grown.

Kapil Singh: Okay. And, sir, in India, you have mentioned that there is some CAPEX slowing down and that has potential to impact industrial business in the near -term. Which segments could be affected there?
Amit Kalyani: I couldn't understand your question. Sorry.
Moderator: Kapil sir, may we request you to use the handset, please?
Kapil Singh: Yes. On Slide 4, we have mentioned that despite CAPEX momentum slowing down and its potential impact on industrial business --
Amit Kalyani: CAPEX slowdown is basically in two areas. One is on infrastructure and the second is on new capital formation in indust rial sectors. So, power plants, water projects, there's no big CAPEX that is taking place. Like in '15, '16, the big CAPEX s that were announced, or '14, '15, in these mega power projects, in these mega projects, those have now come to an end. The next set of these mega projects are now yet to start.
Kapil Singh: Understood. And sir, lastly, I just wanted to understand the exposure in case of exports. So , is there export going from Europe to the US for either Bharat Forge or from Bharat Forge customers?
Amit Kalyani: No, not much. Very small.
Kapil Singh: And the tariffs which have been put in US on steel and aluminum, is there any impact on the Company or will these be passed on to the customer?
Amit Kalyani: So, we do not know that yet as I told you, we do not know wha

t the tariffs are how they will be calculated. What is the base? What exactly are the HSM codes? We do not know that yet.
Kapil Singh: Okay, sir. Understood Thank you. Thanks and all the best.
Moderator: Thank you The next question comes from the line of Mumuksh Manlesha from Anand Rathee Institutional Equities, please go ahead.
Mumuksh Manlesha: Yes. T hank you, sir , for the opportunity . And good to see the two more business es going to touch Rs. 1,000 crore s. Sir firstly , just on the previous q uestion , can you help us what was the revenue for oil and gas for this quarter and for nine months , sir?
Amit Kalyani: I will t ell you the growth , the growth over last year is almost over 60% to 70%. In nine months the growth is about 30% .
Mumuksh Manlesha : And sir, recovery has been driven , I mean , any indication of going ahead how do you see the growth for this segment?

Amit Kalyani: See, the oil and gas sector in the US is limited by only one thing and that is the ability to get the gas out of where it is coming out of the ground to where it is consumed or where it is converted into some other product . The only place today where they can do that is Texas where within Texas the oil and gas that is pumped is being consumed, in various different industries in Texas . But many of the other states where they are generating shale oil or shale gas , the pipelines are not in place. So, if you remember what President Trump said when he came to office is , I want to get the Keystone pipeline done so that the benefit o f the gas for the economy in the form of cheap energy will start. I am sure you saw that.
Mumuksh Manlesha: Yes.
Amit Kalyani: So, that is going to lead to a big infrastructure boom in the US. And infrastructure boom in the US in such sectors will lead to a virtu ous cycle where a lot of other sectors will get benefits . So, the construction sector, companies like Caterpillar , all these companies , companies that make power gen equipment , all of them will get benefit. So , we expect that very, very shortly once the shovel hits the dirt , you will start seeing the impacts of this.
Mumuksh Manlesha: Got it, sir. Sir, coming to different segment s, just in near term sir next few quarters how do you see the run rate for the defense revenue, sir?
Amit Kalyani: So, I would look at the defense on an annual basis rather than a quarterly basis. So, we had guided that we will see a close to 40% growth Y-o-Y and I think we should be fairly close to that. Maybe a little less than that because of some of the delays in the pro cesses that we had thought will be fast. But once that happens I think it will catch up.
Mumuksh Manlesha: Got it, sir. Sir, recently there was a new MOU with the L3Harris, a nything to indicate what kind of opportunity this business can bring, sir?

Amit Ka lyani: Yes, that is a sector called C4I. L3Harris is one of the largest companies in the whole imaging and electronics that are used in defense. And this is a very large Company , L3Harris . And these are new sectors that we are getting into related to defen se, electronics and systems for India.
Mumuksh Manlesha: Got it, sir. Sir, lastly, you mentioned in the presentation about the nuclear segment, nuclear industry as opportunity. Can you indicate how we are shaping up for this segment?
Amit Kalyani: Yes, so there are two facets to the nuclear sector. One is the conventional large nuclear power plants that are coming up, which are either NPCL technology or foreign technology. These are typically 700 megawatts to 1,000 megawatts , or 1,200 megawatts , 1,400 megawatts per unit . And each location is multiple units , so it can be anywhere from four to six units. If you remember, Jaitapur was supposed to be 1,600 into six, which was 9, 600 megawatts. So, those are the mega nuclear power plants.

Now, India has a installed base of roughly, I think, about 10 ,000 megawatts or 11,000 megawatts of nuclear power. I think that is going to more than triple in the next 10 years with the projects that are announced and underway. Plus , now globally there is a push for SMR, wh ich is small modular reactors . Because of the huge energy requirements of data centers and also of EVs, and of a lot of other sectors which are going to consume non-fossil -based fuel energy , could be to generate hydrogen or whatever. So, these are going to be big opportunities. And even the Indian government has talked about allowing SMRs and private sector to get into this, so this is another opportunity.
Mumuksh Manlesha: Got it. Sir, any revenue currently sir from nuclear segment?
Amit Kalyani: Yes, we g enerate anywhere between, I would say, Rs. 50 crore to Rs. 100 crores a year, depending on how much orders are there in the system. Every power plant in India has parts made by us.
Mumuksh Manlesha: And any order book going ahead, sir?
Amit Kalyani: We hav e a continuous order book in this sector, but it's not very large. Basically, every time they are building a new power plant they place orders for various different parts. So, we make both the material and the components that come out of this. These are typically big parts, anywhere in weight from 5 tons to 30 tons, 40 tons, single piece.
Mumuksh Manlesha: Understood, sir. Thank you so much for this opportunity.
Amit Kalyani: Thank you.
Moderator: Thank you. The next question comes from the line of Arj un from Kotak Mahindra Asset Management. Please go ahead.
Arjun Khanna: Thank you for taking my question. Sir, the first one is, given in light of what comments also you have made, and with change in the regime in the US, so effectively we had come up wit h this last man standing strategy in terms of continuity of business. So, in the current context, do you see that the long evity of our business has possibly increased? And could you comment on how you see competitive pressures, etc. as a result of this?
Amit Kalyani: Arjun, I think it's too early to comment on that level of detail, because we do not know . I mean, generally, if you were to ask me, I think the longevity has gone up. But if you want me to specify, I do not think I am able to . Because on one side longevity has gone up , on the second side you have talk of tariffs and other things. So, it's very difficult to be able to, what do you call it, to bridge both and to come up with a total picture of where we stand. I can only say this that we have a s trategy where we are able to utilize our assets to do multiple things, and I think it just allows us a little more flexibility and a little more breathing room to make a longer runway with

our existing products, especially because a lot of the OEMs have al ready started the process of deintegration, so it gives us some bigger, newer opportunities going forward.
Arjun Khanna: Sure. Sir the next question I had on the defen se piece. So, you did mention , say, for ATAGS, Howitzer , etc., s eries delivery may take 1 5 months. Is that for all such contracts? Because we are hearing there are possible contracts.
Amit Kalyani: Export contracts can be much sooner , but domestic contracts there's a pretty lengthy process.
Arjun Khanna: Okay . So, if we do get export contracts, that could possibly be done , revenues may hit the revenue line -item quickly ?
Amit Kalyani: Yes, you saw that in the past, w e got export contracts, and it translated into revenue under six months , that ’s for a product th at we already make. As such, we have increase d the number of products that are already in our ready to make category, this marketplace becomes bigger for us.
Arjun Khanna: Perfect. Lastly, sir, there was

a news report of us possibly entering the semiconductor space. Just
wanted to understand what are we targeting? What products are we looking at for this space?
Amit Kalyani: I think it's too early to talk about that in detail. So, I think we will talk about that at some later point in time.
Arjun Khanna: Sure. Thank you and w ishing you all the best.
Amit Kalyani: Thank you.
Moderator: The next question comes from the line of Nitin Jain from Fairview Investment Private Limited. Please go ahead.
Nitin Jain: Yes, thank you for the opportunity . And congratulations on the resilient quarter. So, most of my questions have been answered, but I just need a few clarifications. So, for the aerospace business, you have given the triple -digit quarterly revenue guidance. So , can we expect that from Q1 FY '26 or more like --
Amit Kalyani: Not Q1, but in FY '26 we would expect that.
Nitin Jain: Right. And by when would the new facility be operational?
Amit Kalyani: This will be operational at '27, towards the end of '27 , it takes about 18 months.
Nitin Jain: Okay . And your comment that FY '26 would mainly be flat , so was that just for the CV business or consolidated?

Amit Kalyani: Right now, given the pluses and minuses, I would say it's overall . But that does not mean that on a profitability level it will be the same because we are hoping that we will reduce losses in our overseas subsidiaries.
Nitin Jain: Okay, that's helpful. Thank you so much.
Amit Kalyani: Thank you.
Moderator: The next question comes from Pramod Amte from Incred Equities. Please go ahead.
Pramod Amte : Yes, hi. Thanks for the opportunity. First, I wanted to check, in the domestic passenger vehicles you have been consistently improving the revenues in spite of the demand slowdown , what's going right here for you?
Amit Kalyani: So, we have new customers and new products. That is what is helping us.
Pramod Amte : Okay . And do you expect the trend to continue in spite of the slowdown?
Amit Kalyani: yes, w e expect the trend to continue because most of our customers who we have got in the last few years are increasing their mobiliz ation, and that is where we are now supplying a lot of new components, both engine, transmission, chassis , especially transmission components et c. So, that is a big growth area.
Pramod Amte : And looking at this auto expo where there have been series of EVs unveiled by the car makers , and considering your inclusive presence in cars, is there any components you are winning even in the EV space for domestic manufacturing?
Amit Kalyani: Yes, we are making rotor shafts, we are making a lot of aluminum parts for electric car companies.
Pramod Amte : Yes. Thank you . This was helpful . Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today.
Amit Kalyani: Ladies and gentlemen, thank you very much for your participation and interest. It is always great to have a good dialogue with our investors and analysts. And we look forward to continuing this engagement and keeping you abreast of what is happening in our business . Thank you and have a nice day.
Moderator: Thank you. On behalf of Bharat Forge, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2025

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
Phone : + 91 20 6704 2476 / 6704 2850 (Secretarial) Fax : 020 2682 2163
Email : secretarial@bharatforge.com Website : www.bharatforge.com
May 9 , 202 5
To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort,
Mumbai 400 001 , Maharashtra, India

Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India

Symbol: BHARATFORG

Sub. : Transcript of the Analyst / Investor Conference Call on Audited
Financial Results (Standalone and Consolidated) for the quarter and
year ended March 31, 202 5

Ref. : Regulations 30 and 46(2) of SEBI (Listing Obligations and Disclosure
Requirements) Regulations, 2015 ('Listing Regulations.')

Dear Sir / Madam,
Please find enclosed herewith the transcript of the Analyst / Investor Conference call, which took place on Thursday , May 8 , 202 5, after announcement of the Audited Financial Results (Standalone and Consolidated) for the quarter and year ended March 31, 202 5. The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst -conference-calls

We request you to kindly take the same on record.

Thanking you,

Yours faithfully ,
For Bharat For ge Limited

Tejaswini Chaudhari
Company Secretary & Compliance Officer
Membership No.: A18907

Encl: As above

"Bharat Forge Limited Q4 & FY'25 Earnings Conference Call"

May 08 , 2025

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN & JOINT
MANAGING DIRECTOR , BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR BHARAT
FORGE LIMITED
MR. KEDAR DIXIT – CFO, BHARAT FORGE LIMITED
MR. S. RAJHAGOPALAN – HEAD, INVESTOR RELATIONS ,
BHARAT FORGE LIMITED

Bharat Forge Limited
May 08, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q4 & FY25 Earnings Conference Call of Bharat Forge Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing “*,” then “0” on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani – Vice Chairman and Joint Managing Director of Bharat Forge Limited. Thank you, and over to you, sir.
Amit Kalyani : Good afternoon, ladies and gentlemen, and thank you for joining us for our Year End Conference Call.
I have with me our Head of Finance – Kedar Dixit, Head of Investor Relations – Rajhagopal an, and our Finance Team Members . As usual, I will have them give you an introduction and then I will take you through the Q&A.
Kedar Dixit: Good afternoon.
I will take you t hrough the standalone business highlights for the 4th Quarter and for Full Year:
We had a stable performance in the quarter with revenues of Rs.2,163 crores with the quarter -on-quarter growth of 3%. Standalone EBITDA in Q4 grew by 6.7% vis-à-vis Q3 at Rs.629 crore s, translating in a margin of 29.1% which is of 100 b ps higher than last quarter. Also , in this quarter we had an exchange loss of Rs.12 crores and in the last quarter we had an exchange gain of Rs.20 crores. So if you adjust that , then you will see a 100 bps margin improvement.
PBT before the exceptional item was Rs.494 crores which was a 4% quarter -on-quarter . On a full year basis , revenue was at Rs.8,844 crores and EBITDA was at Rs.2,524 crores with a margin of 28.5% , again a 100-basis points expansion in margins vis-à-vis last year .
Our balance sheet continues to be robust with surplus funds , the net of long-term loans are at about Rs.1,336 crores . For FY25 R oCE the net of cash was 18.1%. At a consolidated level, Q4 revenue was at Rs.3,853 crores, which was 7 .5% lower on Y oY basis. However, EBITDA moved higher translating into margin expansion of 170 basis points . This is largely on account of reducing the losses for our overseas operations as well as E-mobility, and we continue to do that .
In FY25, consolidated revenue was 3.6% lower at Rs.15,123 crores. Operationally, EBITDA margin improved by 180 basis points o n a YoY basis to reach 18.2% .
Bharat Forge Limited
May 08, 2025

During the year, the Company secured new business worth Rs.6,959 crores across all key businesses. Defense was about Rs.5,000 crores , in Standalone normal operations were Rs.1,685 crores and J SA was Rs.245 crores .
The CAPEX for Indian operations was Rs.750 crores in FY25. We have completed the CAPEX for our overseas Greenfield projects in US for aluminum forging and we don't foresee much of investments in overseas entities for next year.
As far as overseas subsidiaries are conc erned, operations in EU aluminum ha s stabilized. However, given the economic situation in Europe, the utilization was between 60 % to 65%.
US operations have moved in the black for this quarter recording a positive EBITDA of Rs.4 crores .
Also, with the action we have taken in terms of reduction of d ebt of our overseas entities, we have started seeing the benefit of reduction of interest cost for both European as well as the US operations .
In FY25, European operations recorded EBITDA of Rs.96 crores w hile US operations narrowed their EBITDA loss to Rs.47 crores. B ut on a quarterly basis, as I mentioned earlier, we are in positive .
Current utilization of aluminum business is about 70% for US. We continue to work on our restructuring options for European ste el operations, and we will update on the progress in due course.
Now , I hand it over to Amit Kalyani.
Amit Kalyani : Y

es. Good afternoon, ladies and gentlemen.
On the standalone basis :

I think we have had a reasonable performance in FY25 with 100 basis points margin improvement on a strong robust balance sheet.
Few things will stand out are the fact that the business is becoming more diversified and resilient . Over the 2019 to 2025 timeframe, industrial exports have been flat at around Rs.1,600 crores de spite oil and gas declining from around Rs.1,100, Rs.1,200 crores to about Rs.400 crores. This drop has been compensated by other areas such as High horsepower and Aerospace. Aerospace is now 15% of industrial exports. It has grown 4 x in the past five year s and we expect this to continue growing at a high pace going forward. We are now setting up a new dedicated forging and machining facility for aerospace backed by both business wins and customer commitments, including financial commitments. You will witness one new business adding to the growth of industrial exports in the next three to four years .

Overseas :
As I mentioned, we continue to evaluate all our options for the European businesses, but our aluminum business in Europe and North America is now falling in place . Already in North America, we are seeing substantial improvement. And as we see capacity utilization go up in Europe, that will also impact positively the European aluminum forg ing b usiness.
In the casting space :
I am very happy to report that our teams at JSA have performed exceedingly well and delivered on the promise that we felt they had during the acquisition. We have now a 15%-plus EBITDA margin with a doubling of profits in FY25. We have added a lot of new customers, and we are on a solid growth trajectory to a four -digit number shortly.
In defense :
We expect to see a 15 % to 20% growth in FY26. We have a strong order book. There are lots of opportunities both in India and outside. And as I mentioned, our order book is a lmost Rs.9,500 crores. We have many new programs that we are working on which will convert into orders in the coming years and a lot of new geographies that we will open up th is year .
In terms of E-mobility, we are now very hopeful that our products are at maturity, and we should start seeing revenue progression going forward this year, including moving towards black numbers towards the end of the second half of the year.
In terms of M&A :
We have now received the CC I approval for our American Axles India Assets Transaction. We expect to conclude this transaction by the end of June. I think this is going to be another good opportunity for us to grow our market penetration and our presence and content per vehicle going forward.
The o ne thing that I want to me ntion is, due to the US tariff situation, there is a lot of uncertainty. Nobody has an answer right now. I think we all have to wait and watch. What I am convinced of is that as a manufacturer, we have the right products, the right technology , very good co st structure and extremely strong customer relationships and that we will tide over this situation both as a Company and as a country, I think India will be in a let's say neutral position to advantageous position vis-à-vis many other places and I think this should give a significant opportunity to Indian companies to both manufacture in India and to partner with global companies for mutual beneficial opportunities.
Thank you. I think we can now do Q&A.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin with the question -and-answer session. The first question comes from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Yes. Hi, team. Thanks for taking my questions. My first q uestion is just trying to understand that of course we don't know how the tariff situation is sort of eases, but at the moment, what is the sort o

f
conversations that you're having with the customers ? And just also want to be clear , is the tariff already u nder implementation as far as your exports to US go ?
Subodh Tandale : So. Currently, as you know, the tariff applies to shipments that have left India after 5th of April. So we have time until the third week of May , number one . Number two is at this point t here is a clarity that so -called the automotive tariffs that they're talking about will be applicable for the passenger car segment or like products. And the third part of it is that we are engaged with all our customers and all our customers are talking p ositively in terms of taking over the tariffs from our side, I mean, we won't be exposed to tariffs is what we think, but that's active discussions ongoing with all the customers and considering the situation in the US.
Gunjan Prithyani: Okay. And just going back to the point you mentioned only to the pass car segment , on the CV segment, is that the implicit message that it's not applicable to truck s or there was also a school of thought that forging comes under steel and aluminum derivative. S o if you can sort of just clarify on that as well, whether it's applicable on trucks or not?
Amit Kalyani: Gunjan , what we know so far is that it's applicable for passenger cars. We don't know anything more

than that because no details have come out. So I think we should wait and watch. And besides that, please remember that our exports are across many sectors, many geographies and many products. So , we just have to wait and watch. We don't have any clarity on this yet.
Gunjan Prithyani: Okay, got it. And b eyond the tariffs, I think generally the sense on the Class -8 cycle, I mean of course there is a bit of pessimism in the recent truck orders that we have seen, but it's also a function of where the tariff uncertainties. But if you were to sort of give us a sense on how should we think about the Class -8 cycle factoring that the EP emissions are also in a little bit of limbo at the moment, so this year a day , next year comes back , how do we think about that?
Amit Kalyani: Again, Gunjan, it's very difficult to answer this question with the frame of the tariffs uncertainty in place. Typically if you had a n emission norm changing, you have a pre -buy because there is a cost increase. If there is no cost increase coming, y ou should have two normal years rather than one pre - buy and one l ow year. W e don't know. Typically that's what you should expect. There are two normal years. S ubodh, am I right?
Subodh Tandale : Yes. But I think that everybody is right now waiting on the si deline with the whole tariff issue being such a question mark. So I think that's where we stand.

Gunjan Prithyani: Okay. And last question . A little bit of your thoughts on this electronics and servers that we are doing , there were two sort of announcement s you had made th at we'll be manufacturing servers. Can you talk a little bit about this what's the thought process , is this a new revenue line item that we should be thinking for future ?
Amit Kalyani: I think that electronics are going to be a very large part of the overa ll industrial landscape. If we look at automotives also, the share of electronics in the automobile as a percentage of total vehicle value is dramatically increasing . So if we want to be in electronics, you can't only be in one or two areas. You need to build scale , you need to build supply chain capability, and I think we are going to do that in multiple areas and the Indian Government wants to create Indian electronics players in niche areas where imports are not wanted to be used. So , I think there is an opportunity and that's what we are pursuing.
Gunjan Prithyani: Okay, got it. I will join back the queue. Thank you.
Amit Kalyani: Thank you.
Moderator: Thank you. The next question comes from t

he line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh: Yes. Good afternoon, sir. Sir, just one clarification on the tariffs. On the non -passenger car revenues , will there be reciprocal tariffs that will be there on those ? And how are the customers reacting to this -- are they going slow and waiting for the tariffs situation to settle , are you seeing some run down schedules because of that?
Amit Kalyani: I would say that we are in a holding pattern nobody knows anything tha t is going on right now . Okay. We are all waiting for some amount of clarity till the smoke settles. So I don't think anybody can answer these questions today. I think we just have to wait and watch.
Kapil Singh: Sir, f or your US operations, there was a ta riff on steel and aluminum also that has come in US. So could you just help us understand what is the impact there because I see that operation has turned profitable this quarter ?
Amit Kalyani: Yes, we are producing steel and aluminum components in the US. We buy our steel locally and we produce our alloyed aluminum in -house by buying aluminum ingots. So I think that in general we don't have an impact and whatever impact we have will be passed on.
Kapil Singh: Okay, sir. Steel and aluminum prices -
Amit Kalyani: That is for raw materials if at all.

Kapil Singh: Has the cost gone up there and have we been able to pass it on?
Amit Kalyani: Yes, the cost has not gone up yet.
Subodh Tandale : The raw material pass -through for us the way our agreement is automa tic pass -through.
Kapil Singh: Understood. And s ir, just lastly on the defense side, what was the revenue for the full year on defense ? And when we talk of 15 % to 20% growth, if you could give some color like what will be driving that? And when will the ATAGS revenue start reflecting?
Amit Kalyani : Okay. Yes. So the defense sales was little above Rs.1,550 crores on a consolidated basis.
Kapil Singh: I had also asked what will drive the 15 % to 20% growth this year with segments and –
Amit Kalyani: We won a lot of new orders including the ATAGS order . So that should also start delivering towards the later part of this year, plus we have many new programs and orders that we have in the fire and it should fortify by then .
Kapil Singh: Thank you, sir, and wishing you all the best.
Amit Kalyani: Thank you.
Moderator: The next question comes from the line of Sameen Irani from JP Morgan Chase. Please go ahead.
Sameen Irani : Yes, hi, thanks for the opportunity. Just on tariffs, if you allow one more question , last week or I

think 10 -days back, there was some offset which was allowed to some of the US OEMs who are importing components. So , in your opinion does that reduce the impact of tariffs at least for auto components also in the near term or that is not some thing that you think is substantial ?
Subodh Tandale : Yes, the offset is basically they have given a two -year plan that for the OEMs they have 25% tariff rate, the first year they can get a refund of 15% from the government , the second year they will get a refund of 10%, and in the third year it will be reviewed depending on what happens . But that's what's announced as offset.
Sameen Irani: Okay. And secondly on this server and electronics thing, so this will be utilizing your KPTL investments that you have done in the capacity ?
Amit Kalyani: Yes, we set up SMT lines and electronics manufacturing which will be used.
Sameen Irani: Any broad timeline by when we could start seeing this like –

Amit Kalyani: Second half of this finan cial.
Sameen Irani: Okay. Thank you. I will come back in the queue .
Moderator: The next question comes from the line of Arjun Khanna from Kotak Mutual Funds . Please go ahead .
Arjun Khanna: Sir, thank you for taking my question. So the first question is on US man

ufacturing operations . Now that the tariffs are in place , etc., how do you see the further scale up of this business? You've already seen good growth on a YoY, QoQ l evel for US manufacturing operations . What is our outlook for FY26?
Subodh Tandale : So one comment is we have been growing in the US from order book position and spread irrespective of all the se tariffs. A nd whatever happens right now it will only help us in accelerating it. So currently I mean we can't give you numbers in that regard obv iously, but we see a very strong order book and we are also ramping up our existing capacities both for steel and aluminum. So , the outlook is good. So now the focus is for us to make it happen and obviously we continue to look for more opportunities.
Arju n Khanna: So if I look at the turnover of roughly 30 to 100 what we did for this quarter, what would be the utilization rates?
Amit Kalyani: In the US, our utilization rate would be about 60 % to 65 %.
Arjun Khanna: And peak would be around 80%, sir?
Amit Ka lyani: So this is phase -I of aluminum plus the steel , phase -II is zero right now, phase-II is getting completed , so phase-II will allow us to double the output.
Arjun Khanna: Just on the aerospace , we have mentioned in our press release also in terms of C Y27 where our new facilities come in and this quarter also we did see good growth when compared to on an annualized basis , so if you could just talk about which are these components , are they impacted by tariffs going into the US or where are we se lling thi s?
Amit Kalyani: Current a erospace market is largely Europe and non -USA. But obviously the US is a big market end eventually the US will also have to be a big market for us . But currently our growth is coming from Europe and non -US markets.
Arjun Khanna: And this quarter growth which we have seen, is it sustainable or is there -?

Amit Kalyani: Yes, our annual numbers will continue growing . Every year , you will see growth. Don't look at it on a quarter -to-quarter basis .
Arjun Khanna: Okay. Sure. Thank you. And wishing you all the best.
Amit Kalyani: Yes.
Moderator: Thank you. The next question comes from the line of Arvind Sharma from Citibank. Please go ahead.
Arvind Sharma : Yes. Hi. Good afternoon, sir. Thank you for taking my question. This ATA GS order, t he Rs.3,417 crores order , this is the Indian ATAGS order I believe. So is it the whole orders or could we see further increase in this number?
Amit Kalyani: This is only a phase -I order, which is 307 guns , of which we have 60%. Overall, India needs more than 1,500, close to 2 ,000 artillery guns .
Arvind Sharma: Okay. 307 guns are Rs.3,417 crores and there could be further increase there ?
Amit Kalyani: Yes. There are multiple different kinds of guns and lots of them.
Arvind Sharma: Okay. And sir, when should we see the revenue for this order in the numbers of the Company ?
Amit Kalyani : I would say Q4 onwards.
Arvind Sharma: Q4 this fiscal ?
Amit Kalyani : Yes.
Arvind Sharma: Alright. And if we spread over how many years or quarters , if you co uld share that?
Amit Kalyani : For this order , two years.
Arvind Sharma: Two years beginning 4Q FY26?
Amit Kalyani : Yes.
Arvind Sharma: Alright sir. Thank you so much for this, sir. That's all from my side. Thank you.

Moderator: Thank you. The next question comes from the line of Ruchita Kadge from Eye Wealth Management. Please go ahead.

Ruchita Kadge : Hello , sir. A very good afternoon. So, sir, my question was on the Kalyani Strategic System s Limited. So in that how much was the domestic revenue and how much came from exports?
Amit Kalyani : So in Kalyani Strategic Systems , most of the revenue was exports and one clarification , the Rs.1,567 crores numbers what we mentioned for defense , that is only for Kalyan i Strat

egic S ystem s. On a
consolidated basis it's about Rs.1,700 crores.
Amit Kalyani: We supply components and other things to other players as w ell in the industry which go from Bharuch .
Ruchita Kadge : Understood. And sir, this Kalyani Strategic number that we have said that most of this came from export. So last year, how was this ratio like domestic to export ?
Kedar Dixit : So last year also it was exports and this year also it was export s. The domestic big orders are yet to start.
Ruchita Kadge : Okay, okay . And in the JS Auto , sir, during the quarter, what was the revenue if you could just tell?
Amit Kalyani: Rs.200 crores for the quarter .
Ruchita Kadge : And margins?
Amit Kalyani: About 15 % to 16%, ye s.
Ruchita Kadge : Understood. Understood. Ye s. Thank you so much.
Moderator: Thank you. The next question comes from the line of Lakshmi Narayan from Tunga Investments. Please go ahead.
L Narayan : Thank you. Just want to understand what has been the tonnage growth in India, the commercial vehicle and the passeng er car because the revenue growth -?
Amit Kalyani: I think we have to stop looking at tonnage, because we are not only a forging Company . I think you have to look beyond that revenue. And we are not breaking it up that way anymore.
L Narayan: And you had mentioned that you've open ed certain new products or also clients or applications. Can you just talk a bit about that in terms of commercial vehicles and industrial and for domestic, some color on that that will be helpful , sir?
Amit Kalyani: Can't underst and. I am sorry, you're very unclear.

L Narayan: Means you actually won new orders, or you have actually gone deep in some relationshi p in the domestic market. I just want to understand a bit more about it. If you can share some details ?
Amit Kalyani: No. I don't know what order , what you want to know more? We have received multi -year orders from several customers which are coming to roughly almost Rs.7,000 crores , of which Rs.5,000 crores of defense and Rs.2,000 crores of our component businesses.
Subodh T andale : And then we are spread over all sectors in India, and we don't disclose the specifics out of that for confidentiality agreements with the customers.
L Narayan: Got it. And your outlook for India's domestic business?
Subodh Tandale : Overall positive because we are expanding in all segments.
L Narayan: Okay, okay . Thank you , sir.
Moderator: Thank you. The next question comes from the line of Kapil Singh from Nomura. Please go ahead.
Kapil Singh : Just one question . On the CAPEX , if you could give an in dication for next year for standalone and consol what kind of numbers to expect ?
Amit Kalyani: I think roughly both put together would be in the region of Rs.500 crores next year.
Kapil Singh: Okay. Alright. That is it from my side.
Amit Kalyani: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Amit Kalyani to give us his closing remarks.
Amit Kalyani: So, ladies and gentlemen, thank you for your time, interes t and questions. I am sorry we don't have any more answers than we could answer today because things are in a flux and I think the Indian government and Indian manufacturing are cooperating to make sure that we take advantage and are in a good situation ev en with the United States tariff situation . India is a strong country with very good manufacturing capability and we think that we will see light at the end of this tunnel. Thanks to the leadership and let's say the way the Indian government is handling th e situation on tariffs . I think there should be a good solution in place for us sooner than later and we'll provide clarity on this and allow us to all manage to grow our businesses going forward. So , thank you very much and I wish you all a he

althy and a safe end of the week and weekend in these rather difficult times. Thank you.

May 08, 2025

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Bharat Forge, that concludes this conference. You may now disconnect your lines.

Call: Aug 2025

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email : secretarial@bharatforge.com WEBSITE: www.bharatforge.com

August 11 , 2025
To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai 400 001
Maharashtra, India

Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India

Symbol: BHARATFORG

Sub.: Transcript of the Analyst / Investor Conference Call on Una udited Financial Results (Standalone and Consolidated) for the quarter ended June 30 , 2025 .

Ref.: Regulation 30 and 46 (2) of the of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘Listing Regulations’) .

Dear Sir / Madam,

Please find enclosed herewith the transcript of the Analyst / Investor Conference call, which took place on Wednesday, August 06, 2025 , after announcement of the Unaudited Financial Results (Standalone and Consolidated) for the quarter ended June 30 , 202 5.

The same is also available on the website of the Company at:
https://www.bha ratforge.com/investors/reports/analyst -conference -calls

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Bharat Forge Limited

Tejaswini Chaudhari
Company Secretary and Compliance Officer
Membership No.: A18907

Encl: As above

"Bharat Forge Limited Q1 & FY'26 Earnings Conference Call”

August 06, 2025

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN & JOINT
MANAGING DIRECTOR , BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR
BHARAT FORGE LIMITED
MR. KEDAR DIXIT – SVP & CFO BHARAT FORGE
LIMITED

Bharat Forge Limited
August 06, 2025

Moderator: Ladies and gentlemen, welcome to the Q1 FY '26 Earnings Conference Call hosted by Bharat Forge Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then 0 on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani – Vice -Chairman & Joint Managing Director, Bharat Forge Limited. Thank you and over to you, sir.
Amit Kalyani: Good ev ening, ladies and gentlemen, and thank you for joining our Quarter 1 Analyst and Investor Call. We are definitely in very interesting times. Given the undercurrents, I would take you through first the numbers and then our team will take your Q&A. I have wi th me our Financ e and Investor Relations Teams .
Q1 revenue for Bharat Forge on a standalone was Rs. 2,105 crores, which is about down by 2.7 %. The uncertainties around the whole tariffs have created a lot of disruption in the global outlook for automotive global in the U.S. and worldwide. The pause in the emission norms have pushed out the pre-buying effect, which was anticipated, and some amount of seasonality in the aerospace business has also contributed to topline weakness.
Standalone EBITDA in Q1 was Rs. 588 crores, which is about 6.5% lower due to low utilization and a different product mix. We have absorbed about Rs. 14 crores worth of tariff -related expense in Q1.
At a consolidated level, Q1 revenue was Rs. 3,909 crores, which is 1.5 % higher quarter -on-quarter. EBITDA moved up to Rs. 682 crores, which is a margin of 17.4 %, and the consolidated performance showed an improvement on the back of better profitability in the overseas business and reduction of losses in the Kalyani Powertrain. During the qu arter, we have secured new business worth about Rs. 850 crores, which is Bharat Forge 429, Defense 269, and JSA about 149.
On the overseas subsidiaries, our EU aluminum operations were stable. Utilization levels are at about 70%, and we had EBITDA of about Rs. 33 crores.
The U.S. aluminum business had a fairly decent quarter driven by operational efficiencies and better utilization, with a second consecutive quarter of positive EBITDA with margins of 6.1% in Q1 and current utilization levels for the alu minum business is also about 70% of Phase -1 volumes. We will continue to evaluate the restructuring options for the European steel business, and we will update you on the progress in due course. I think we put up a fairly decent show given the current circ umstances, which continue to evolve as we speak. Tariff -related uncertainty is definitely something that nobody
Bharat Forge Limited
August 06, 2025

has ever experienced before, and it's something that we are engaged with our customers in finding a resolution to.
I just want to highlight to you that one -third of our exports from our Indian manufacturing, that is Bharat Forge Standalone , that is India manufacturing, which is BFL plus industrial plus defense, etc., were to the United States in Q1. Our overseas aluminum operations have turned a corner driven b y high utilization rates and better operating metrics. In India, a wide portfolio across steel forging, ferrous, and aluminum casting is helping us increase our content per customer across sectors and geographies.
In the medium to longer term, you will see the center of gravity shift back to our India operations as manufacturing in India becomes larger and more lucrative, and we are already seeing opportunities emerge for machine tools supply to emerging sectors in the domestic market as well. Our acquisiti on of the American Axle India CV Assets is another step to build upon our India bet and to add more value -adde

d product s in our lineup. This gives us access to the thriving light commercial v ehicle and SUV segments as well. In addition to manufacturing faci lities, these assets provide us with vital engin eering know -how to design axles .
With a good RFQ pipeline in the defense business, we expect to see some orders getting finalized additionally in this fiscal. Q2 looks a little weaker driven by U.S. exports and hopefully marks a low

for this cycle. Second half should be better than the first half. Talking about the rest of the year, we expect that a erospace should continue its 20% plus growth annually YOY. This business has limit ed exposure to the U.S. market. American Axles should add Rs. 1,000 crores to the consolidated top line for the year. We will see it consolidate from Q2 FY26.
Our S teel Europe, as I mentioned, in 6 months we will have a roadmap in place which will outline the entire process that we will undertake for this. Q1 in JSA is a seasonally weak quarter aggravated by tariff uncertainty and some amount of slowdown in the renewable energy sector due to the pullback on r enewables in the United States.
I think to sum it up from where we are today, we should see positive momentum in news flows and performance, especially in the second half. Like the past, we will use this period to pivot and come out stronger than before.
Thank you very much. I will now have my team answer your questions.
Moderator: Thank you, sir. W e will now begin the question -and-answer session. The first question is from the line of Mr. Kapil Singh from Nomura. Please go ahead, sir.

Kapil Singh: Good evening, sir. Indeed, a tough quarter, but I would sa y a good performance considering the circumstances. Just wanted to ask you regarding the tariffs. Firstly, a more fundamental question. Who bears the tariffs? Is it distributed across the entire chain of customers, OEMs, and suppliers? Does Bharat Forge need to bear more? Just your perspective on this thing.
Subodh Tandale : So, you are asking essentially how is the tariff compensated?
Kapil Singh: Yes.
Subodh Tandale: Right now, irrespective of who pays the tariff, whether we pay the tariff or the customer pays the tariff, at the end of the day, it is compensated in price. And usually what happens is customers work with us to find such solutions because obviously these are extraordinary circumstances. And given the fact that we provide critical products, all customers are working with us to find suitable solutions because that is the need of the hour right now.
Kapil Singh: Okay. And, sir, this Rs. 14 crores impact that we borne , was that for the full quarter or was that for part period?
Subodh Tandale: No. T hat was for full quarter.
Kapil Singh: Okay. So, were tariffs applicable for full quarter?
Subodh Tandale: Yes.
Kapil Singh: Okay. The second question is, with the tariffs currently at 25%, how is the competitiveness of Indian exports? And which are the geographies from which we are facing competition for products like crankshafts and front axles?
Amit Kalyani: So, let me just, I will answer this in a very simple way. All the countries that produce these parts have the same tariffs. I mean, either we are the lowest or we are equal to what anybody else is. Nobody is lower than India. The other two geographies are China plus another one, both of which are at higher levels.
Kapil Singh: Okay. And is there a case that you need to think about setting up manufac turing for some of these products in US? And if the tariff uncertainty is affecting any order inflow from the customers as well, that could be the last question for me.
Amit Kalyani: We are not looking at setting up any other facilities right now, anywhere outside India. On order inflows, I think I will let Subodh answer that.

Subodh Tandale: At this point, t

here is no impact on order inflows because typically, for the products that we are engaged with, it takes anywhere between 2 to 4 , 3 years to complete the whole approval and validation cycle, even if we have to move it anywhere, ourselves. So, it's a very complex process. So, currently, there is no impact on the order flow because of this reason.
Kapil Singh: Okay. Thank you, sir.
Moderator: Thank you. The next question is from the line of Gunjan from Bank of America. Please go ahead.
Gunjan: Yes, hi. Thanks for taking my questions. Just one quick follow -up on tariff and then get to the rest of the business. You mentioned in the prior call that the tarif f was different for industrial and autos, right? Is there any change to that with the recent 25% imposition? Does the industrial also get, you know, has the same tariff now that that C V part of the business also gets impacted and y ou see 25% implication o n that?
Subodh Tandale: Currently, that is the scenario and that is under evaluation by the US government as well.
Gunjan: And this 14 crore, again, you know, what Kapil was asking, the tariff is applicable only when the shipment reaches US, in which case, the tariff would have been applicable only maybe, towards June or something. So, is it fair to assume that we will see more impact of tariff going into the second quarter?
Subodh Tandale: Even for this tariff that is applicable now, the effective date of implementation will be 7th of October

or something like that. So, we will have some tim e for whatever is being shipped post 7th August.
Gunjan: Okay, got it. Let me move on to some other parts. I think maybe, it will be good to hear from you on the defense bit. You do mention that there is a pipeline, you refer red to some pipeline and strong visibility on that. Can you talk a little bit around it? What is it we are seeing? Is it on exports? And is it still, you know… ?
Amit Kalyani: Look, as you know, we have an nounced that we had a pipeline of Rs. 9,000 crores . After which we have one more tender which has to get converted into a signed order. Once that happens, that will add another Rs. 1,400 odd crores to our order book.
Gunjan: And that is domestic?
Amit Kaly ani: That is a combination. This last order that I am talking about is domestic.
Moderator: Thank you. The next question is from the line of Mr. Pramod Kumar from UBS. Please go ahead, sir.

Pramod Kumar: Thanks a lot for the opportunity. Amit, I just wanted to understand, you said every country which is exporting into US is either paying tariff as low as India or higher.
Amit Kalyani: I said for the countries which are producing the same parts.
Pramod Kumar: Yes. So, but is there no onshore US plant fo r forging by ThyssenKrupp or anyo ne?
Amit Kalyani: There are forging plants, but not for machining.
Pramod Kumar: Not machining. So, on the forging side, there could be some competition or cannibalization with the…?
Amit Kalyani: Not really. I don't think t here's any capacity.
Pramod Kumar: Oh, they don't have capacity ?
Amit Kalyani: No additional capacity as far as we understand.
Pramod Kumar: Fair enough, sir. And you did talk about second half being better than first half. Just trying to understand the re asoning behind that. And also, within the first half, how should then one look at 2Q versus 1Q, sir, if you can just help us. It will help us navigate this uncertainty in a much better way.
Amit Kalyani: Honestly, look, the tariffs were announced three day s ago. Okay. So, I think we have to wait to understand the overall situation and then come back to you. This is the basis what we are hearing from our customers.
Pramod Kumar: Okay. Second half assessment is based on what you are picking up from customers, basically .
Amit Kalyani: Yes.
Pramod Kumar: Fair enough, sir. And on the defense side, last one, we'v

e seen that recent orders, the entire situation is what we had in India, even the Israel Iran, increasing war theatre , the action is moving towards air-based system, drones, missiles, anti -drones. S o, what is the group strategy b ecause you have very deep roots on the land side ?
Amit Kalyani: We have a presence in every sector. As you are aware, we signed an agreement with a company called Turgis Gaill ard for MALE drones. We have a solution right from MALE to Super Light drones. So, we have an entire range of airborne unmanned aircraft. We have for land -based unmanned products and fo r water -based unmanned products.

Pramod Kumar: And if you can just help us understand out of the defense, out of backlog, including the Rs. 1,400 crores what you are talking about, how much will be the component of non -land systems because it acts as normally what everyone associates Bharat Forge with and even the carbines. S o, if you can just help us understand that .
Amit Kalyani: Land, when you say, it includes specialty vehicles, it includes artillery systems, it includes a lot of things. So, artillery itself is about 4,000 drones.
Pramod Kumar: Artillery alone?
Amit Kalyan i: Yes. So, it's less than half.
Pramod Kumar: And carbines and other stuff? I mean, carbines is a recent order, right?
Amit Kalyani: It's not yet included in that.
Pramod Kumar: It's not included in that ? Because if I am not wrong, media reports suggest that you are L1 already on that.
Amit Kalyani: Yes, we are L1, but the contract is not yet signed.
Pramod Kumar: And how big that could that opportunity be, sir? Because that's part of a large one.
Amit Kalyani: I already discussed that. That is 1,400 crores.
Pramod Kumar: Okay, that's 1,400 crores. And is the market much larger for such carbines? Because I believe there are procurement of the …
Amit Kalyani: It's huge.
Pramod Kumar: It's huge. State government level…
Amit Kalyani: That's only 200,000.
Pramod Kumar: Yes, sounds good. Thanks a lot, sir. Wish you all the best. Thank you.

Amit Kalyani: Thank you.
Moderator: Thank you. The next question is from the line of Am yn Pirani from JP Morgan. Please go ahead, sir.

Amyn P irani: Yes, hi. Thanks for the opportunity. Two questions. First of all, on the U.S. aluminum profitability, does this business get any benefit because the U.S. has imposed tariffs on a lot of things? So that if you can give some bit o n the profitability side, or if you can highlight what is causing the staff improvement and profitability here?
Amit Kalyani: Well, one factor is that our operating metrics in terms of volume capacity utilization have improved. So that's really fueling this improvement. And, I am hoping that having a comparative source make in the U.S. will help other U.S. OEMs maintain their MCA requirements. So managing MCA requirements is an important factor. So that should help us with securing new business.
Amyn Pirani: Understood. I think till last quarter, you were also mentioning that there was some delay in getting the price increases from the customer on the aluminum business. Is now that behind us now?
Subodh Tandale : No, it's not yet done.
Amyn Pirani: Okay. Thanks. I will come back in the queue .
Amit Kalyani: Yes, thanks.
Moderator: Thank you. The next question is from the line of Mr. Pramod Amt he from I nCred Capital. Please go ahead.
Pramod Amthe: Yes. Thanks for the opportunity. So, Amit, considering that this static overhang has been there for some time in the system, is there any pre -buying by the clients which has happened in the last couple of months?
Amit Kalyani: No.
Pramod Amthe: Nothing of that sort, which you are seeing ?
Amit Kalyani: No.
Pramod Amthe: Okay. Thanks. And se cond, with regard to the US Aluminum Forging , what is the plan now with r

egard to the second line of capacity? Are you advancing that? Looking at the constant…
Amit Kalyani: No, that's already under implementation. Under installation and trial. I mean, it' s under installation.
Pramod Amthe: Okay. And there also capacities have been booked or how is the scenario?

Amit Kalyani: Little bit, not all of it. We have some empty capacity. We have deliberately kept some capacity empty because we thought that, if the re is some positive development on the demand in the US and made in the US, that will give us some, leverage in the future.
Pramod Amthe: Sure. And the last one is with regard to defense. Considering the recent conflict, how are you looking at addressing o r adding up more addressable segments to your defense target for next three to five years?
Amit Kalyani: So, we are working on. We are working on right from, as I mentioned earlier, drones, right from air, land and sea, to air defense, to naval guns, to lo ts of other advanced systems. And within all these systems, we will have high domestic content. So, that's our, that's our goal to have a broad based business.
Pramod Amthe: Sure. Thanks in advance.
Amit Kalyani: Thank you.
Moderator: Thank you. The next q uestion is from the line of Mr. Kapil Singh from Nomura. Please go ahead, sir.
Kapil Singh: Yes, sir. Thanks. Just one follow up on KS SL revenue. They have come off over the last four quarters. Just some, understanding as to what is happening over there?
Amit Kalyani: KSSL's revenue, don't look at it on a quarterly basis, look at it on an annual basis. Because there are a lot of, let's say lumpiness in this business. So, I would loo k at it on an annualized basis. And we will see a recovery in Q3 and Q4.
Kapil Singh: Okay. So, on an annual basis, there s hould be growth in the revenue?
Amit Kalyani: Yes, that is what we, that is what we are projecting.
Kapil Singh: Okay. And what percentage of these revenues, what percentage of the supp lies go from domestic f or this?
Amit Kalyani: Sorry, everything is from here.
Kapil Singh: So, from the standalone operations, like what is the overlap between the revenues?
Amit Kalyani: See, the thing is that old orders that have been taken in Bharat Forge will continue to be, let's say, completed from Bharat Forge . New orders will all come, will be from KSS L. It doesn't make a difference b ecause KSSL is a 100% subsidiary of BFL as well.

Kapil Singh: Okay. And what about the ATAG S done ? Where will that be accounted for?
Amit Ka lyani: It will be BFL.

Subodh Tandale: But as Amit sir has also mentioned, we should look at it on a consolidated basis because it's a 100% subsidiary of the company.
Kapil Singh: Yes, I understand that. Thank you.
Moderator: Thank you. The next question is from the line of Mr. Balasubramanian from Arihant Capital. Please go ahead, sir.
Balasubramanian: Good evening, sir. Thank you so much for the opportunities. Sir, servers and SMT lines are new ventures and what kind of business opportunities we are havi ng in coming years? How does this align with the government incentives?
Amit Kalyani: On SMT, we have electronics as a part of our business in defense and in EV and other electronics businesses. So, we see an opportunity to make electronics components, sys tems and also some end products as an opportunity for the Indian market and also as a backward integration for our defense and EV business. So, that is why we have set that up and we are already generating revenue from this and we have applied for the PLI for this and hopefully that should come soon.
Balasubramanian: Okay, sir. Sir, especially in construction, mining and aerospace, those areas witnessed weak performance. Is this a demand side issue or execution related and when we can expect the recovery? And secondly, this KPT

L E -Mobility subsidiary, when we can expect a breakeven, whether it is in H2 or beyond that?
Amit Kalyani: So, first of all, aerospace, we will have strong growth in the year. Again, you have to look at it on a YOY basis. We should see upwards of 20% growth, maybe even higher than that. Construction and mining, there has been a dip but hopefully that will also improve in the second half. What we are seeing is a growth in construction and mining in India as the whole infrastructure devel opment in India is taking off. Any other questions?
Balasubramanian: Sir, KPTL?
Amit Kalyani: KPTL, we have working on a few. Look, first of all, we have reduced our costs and we have reduced our losses. But for the profit, I think it depends on getting a couple of big contracts going, which we are working on. Let us see. Right now, there are challenges in EV for everyone because of the whole, no magnets available and things like that. So, let us see.

Balasubramanian: Thank you.
Moderator: Thank you. The ne xt question is from the line of Mr. Viraj from SiMPL . Please go ahead.
Viraj: Yes, most of the questions have been answered. Just few questions on AAM, I think we will start consolidating from Q2. So, if you look at the past performance, last three years, we have seen a very good healthy growth in that target company. So, what is driving that? And what is our play going forward? Because I think we also go on stake in automotive access. So, is there any more compete or any color you can give? How are we appr oaching this going forward in our plan s?
Amit Kalyani: We see a large opportunity in India in a variety of sectors, not only on highway, but also off highway and in new sectors to get into. So, we will continue to pursue growth opportunities in India and g row our business and grow our profitability. That is what we are after.
Viraj: And is there any more compet itor with automotive axle? I mean, eventually, can we also participate in MHCV or we will be restricted to LCV and CV?
Amit Kalyani: So, we are an axle manufacturer. So, we will make axles.
Viraj: Okay. Thank you.
Moderator: Thank you. The last question for this session is from Mr. Mithun Aswath from Kiva Advisors . Please go ahead.
Mithun Aswath: There was some partnership with Compal Electronics to manufacture servers in India. Could you highlight in terms of how large these opportunities that you are getting into could be in the next few years?
Amit Kalyani: Yes. So, there are three sectors of servers that we are targeting in India. T here is one sector where servers have to be made in India. There is a second sector where you have AI -based servers and the third is just data servers. So, we are targeting all three. And I believe that there is a large market for servers, something in the order of 20,000 a year going up to 75,000 a year. And these are large servers. These are not the small servers. So, this is a big market and we want to see how we can be a competitive player in this market and a local player. So, right now, we are startin g small, but we will build the capability to do much more development and much more value addition in our servers for our customer base over here, especially the niche and specialty customer base.
Mithun Aswath: Thank you.

Moderator: Thank you. I would now like to hand the conference over to Mr. Amit Kalyani for closing comments. Please go ahead, sir.
Amit Kalyani: Yes. So, thank you very much, ladies and gentlemen, for your comments and questions. As you know, we are facing unprecedented times, but this company has weathered a lot of downturns and a lot of

uncertainty in the past and we've come out stronger because we've always looked at our capabilities and expanded into new areas and we've worked internally to make ourselves more competitive. And that's the

same thing that we will do this time around also. And I am quite confident that we will come out stronger and better at the end of this. So, thank you very much for your time and interest and I wish you all a very happy even ing. Thank you and good evening.
Moderator: Thank you. On behalf of Bharat Forge, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com

November 14, 2025
To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai 400 001
Maharashtra, India

Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India

Symbol: BHARATFORG

Sub.: Transcript of the Analyst / Investor Conference Call on Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2025.

Ref.: Regulation 30 and 46 (2) of the of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘Listing Regulations’).

Dear Sir / Madam,

Please find enclosed herewith the transcript of the Analyst / Investor Conference call, which took place on Tuesday, November 11, 2025, after announcement of the Unaudited Financial Results (Standalone and Consolidated) for the quarter and half year ended September 30, 2025.

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst-conference-calls

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Bharat Forge Limited

Tejaswini Chaudhari
Company Secretary and Compliance Officer
Membership No.: A18907

Encl: As above

"Bharat Forge Limited Q2 & FY'26 Earnings Conference Call”

November 11 , 2025

MANAGEMENT : MR. AMIT KALYANI - VICE CHAIRMAN AND JOINT MANAGING DIRECTOR , BHARAT FORGE LIMITED
MR. KEDAR DIXIT - CHIEF FINANCIAL OFFICER , BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR , BHARAT FORGE LIMITED

Bharat Forge Limited
November 11, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Q2 and H1 FY'26 Earnings Conference Call hosted by Bharat Forge Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conferenc e over to Mr. Amit Kalyani – Vice Chairman and Joint Managing Director, Bharat Forge Limited. Thank you and over to you, sir.
Amit Kalyani: Thank you. First of all, a very warm welcome to all our friends in the analyst community and the investor community. Thank you for joining our Q2 investor call. I am joined here by our finance investor relations and global business development teams.
I will first have Mr. Kedar Dixit – our CFO, take you through our numbers and then I will take you through a short overvi ew and then we will do a Q&A. Go ahead, Kedar.
Kedar Dixit: Thank you and welcome to Bharat Forge conference call.
Talking about standalone business highlights for the quarter and H1 FY'26 :
The revenues, standalone revenues were at INR 1,947 crores which w as a QOQ degrowth of 7.5%. The rapid degrowth in North American CV market coupled with inventory destocking has impacted our export performance and that is the main reason for the drop. CV exports to North America are down 48% on a sequential basis and abo ut 67% on a YOY basis. Passenger vehicle and other industrial segment has shown the resilience limiting the impact on the profitability. Standalone EBITDA in this quarter was at INR 545 crores with 28% margins which was lower by about 7.3% sequentially. Th is includes INR 24 crores on account of tariff charges.
Talking about the H1 performance :
Revenues were at INR 4,052 crores and EBITDA margin at 27.9%. From a consolidated revenue perspective, the quarterly revenues were INR 4,032 crores and EBITDA margins were 17.7%. Steady performance in overseas subsidiaries and strong execution in defense has helped the bottomline performance. Quarter 2 numbers also include first time consolidation of K Drive Mobility which was the America n Axial India Manufacturing business which we acquired. The integration progress is on track.
Talking about the 6 months :

The consolidated revenues were INR 7,941 crores with EBITDA margin of 17.6% and we had cash of about INR 2,300 crores on a consolidated basis. During H1 of this fiscal, the Company had secured new business worth INR 1,582 crores across all key businesses which includes Bharat Forge Component and Industrial business of INR 823 crores, defense INR 559 crores an d our casting business of INR 200 crores.
Talking about overseas subsidiaries :
The European aluminum operations were stable amidst lower demand due to holiday season. Utilization levels in Q2 were about 60% -65%. During the quarter, European operations recorded EBITDA of INR 32 crores. US aluminum had a benign quarter given the se ntiment in North

American passenger car market. US operations recorded EBITDA of INR 16 crores for this quarter. The current utilization level of aluminum business in US was about 65%. We continue to evaluate restructuring options for our European steel operations, and we will update the progress by end of this fiscal.

Now I handover to Mr. Amit Kalyani.

Amit Kalyani: Good a fternoon, ladies and gentlemen.

I will just share some observations and outlook with you :

The reality on the ground is that '26 is turning out to be a very interesting year because of demand uncertainty in the North American market due to the trade policies and kind of constant changes we are seeing in it.

CV exports do look weak as we sit in November but they should show signs of recovery because at this point in time there is a lot of destocking taking place due to the deceleration in the production numbers but let's say the supply side rate from our side is significantly lower than the build rates.

There are a few more importa nt aspects of our performance :

Our balance sheet remains strong with a consolidated cash of about INR 2,300 crores. Our Indian manufacturing which is our Indian forging, defense , casting plus axle aggregates now accounts for about two -thirds of our consoli dated revenues across our global business and it's well diversified across segments and geographies. Aerospace now accounts for about 13% of our industrial exports and we expect this business to grow at a very healthy rate going forward as well. We have se cured new orders and new business in the last quarter as well.

There are clearly some weak spots in our overall business portfolio which we are working to sort out which mainly includes our overseas steel business and to some extent our EV business in Indi a. Our

constant endeavors to diversify our business mix and this has proved to be very relevant and paid off as you can see that we are weathering the storm far better than companies that are directly playing only in one or two sectors. While the cyclical businesses will rebound at some point down the line there are many new businesses which will start to generate revenue and growth going forward in the next 1 -2-3 years.

As the cash flows from the businesses increase further strengthening the balance sheet, expect that we will look at doing more acquisitions in India. So, we are raising some funds right now. This is all debt. It will be a combination of debt plus NCD and this is both for organic growth plus for inorganic growth in India. So, we have taken an enabling approval of up to INR 2000 crores and we will action this depending on when the timing is right.

So, what I would really like to say is that we will continue our focus on our customers, products and opportunities globally but we are going to double down on India as most companies in the world are because it's the fastest growing global market with the most headroom for growth. So, we have created a strategy that will allow us to get a stronger piece of the action in India and we are going t o take some very fundamental steps to implement a growth strategy that allows us to get a larger share of this business.

In terms of second half outlook in defense :

We should see the momentum pick up for defense as execution improves. Aerospace for the full year, aerospace will record strong growth over last year. The recent tie -up of orders with global aero engine majors for existing and new programs offers good long -term visibility.

On JS Auto :

We are seeing continued growth. We should see better topli ne and EBITDA performance in second half. JSA continues to receive strong business inquiries and traction in export markets as well. Our Q2 sales growth for JS was about 26% and EBITDA growth of about 44%. So, clearly, even the profitability of the busines s is improving.

New additions like K Drive Mobility offer significant long -term opportunities on the product side.

Our focus is on our Indian manufacturing portfolio across steel forging, ferrous and aluminum casting is helping us increase our content per customer and also to move at a platform level with our customers. As global MNCs increase their sourcing from India, our Indian manufacturing business is geared to tap into this demand.

On the Steel Europe :

We will have a roadmap in place outlining the sha pe and form of the proposed restructuring of the steel business by the end of this fiscal.

So, to sum up :

The near-term outlook for the North American market is still a question ma

rk. It depends on a lot of
underlying factors. However, with multiple growth engines like aerospace, defense and JS Auto, this decline should get offset. In the medium term, we are in the midst of increasing our capacities in India to address opportunities in many new sectors, including aerospace and engineering and this will be supplemented by the inorganic route in India, where we believe we can generate significant synergistic benefits and get to markets faster than organic.

So, that's really all I wanted to say right now. And now I am happy to take your Q&A and me and my collea gues will be happy to answer your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Bin ay from Morgan Stanley.

Binay: Hi, team. It's a good quarter. You managed it well in this challenging environment. I will just go back to our Q2 commentary where we talked about Q2 being the toughest quarter in the year. And now, would you still maintain that the full impact of tariffs, slowdown, especially on export side is already built in, the destocking is done, or do you expect that to trickle into Q3 as well?

Amit Kalyani: I would say Q2 and Q3 should be similar. And hopefully by Q4, we should see an uptick.

Binay: And like on the export of non -auto, we have seen a nice jump sequentially. Could you talk a little bit about what drove that? Because if I look at your aerospace number, it seems largely flat quarter over quarter. So, what are the other segments that drove that?

Amit Kalyani: It's multiple sectors. It includes power gen, it includes construction, mining and aerospace.

Binay: It's also sustainable in that sense.

Amit Kalyani: Yes.

Binay: And lastly, just on gross margins, very impressive gross margins. I think it's one of the highest that we have done in recent times. Could you help us break down into factors that are driving it and how sustainable is this?

Amit Kalyani: We have done a lot of cost reduction work. When the quarter started and it looked really bleak, we took a lot of block shutdowns, et c. And we are trying to do more value addition in -house, improve our product mix. So, it's a combination of all these factors.

Binay: Great. Thanks, team. I will come back in the queue.

Moderator: Thank you. Our next question is from the line of Kapil Sing h from Nomura. Please go ahead.

Kapil Singh: Hi, sir. On the defense order book, I just wanted to clarify, there was a carbine order as well. What is the size of that order?

Amit Kalyani: No, carbine order is not included in this.

Kapil Singh: What is the size of that order, sir?

Amit Kalyani: It's about INR 1,400 crores.

Kapil Singh: Okay. And what would be the execution timeline for that?

Amit Kalyani: First, we have to sign the order, then FOPM . So, from the time the order gets signed, I would say about 9 months to 12 months.

Kapil Singh: So, the entire order can be executed in 9 months to 12 months?

Amit Kalyani: No, Start.

Kapil Singh: Okay.

Amit Kalyani: It's executed over a 4 -year period because i t's 2 lakh order weapons.

Kapil Singh: Understood. And, sir, there was a mention in the commentary that there was some INR 24 crores tariff charges. What is it related to and where is it accounted for?

Kedar Dixit: This is the tariff charges, the sharing of tariff, the US tariff, what we have for our US exports.

Kapil Singh: Okay. And where is it accounted?

Kedar Dixit: This is in sales.

Kapil Singh: Okay. So, I mean, as things stand, is this the peak or should we expect that there will be a further impact because the tariff seems to have gone up, right?

Amit Kalyani: I think it's a very dynamic situation. It's difficult to comment with any amount of certainty.

Kapil Singh: Sure, sir.

Amit K

alyani: And, it's a little bit of competitive information issue. So, I don't think I want to talk about it very publicly.

Moderator: Thank you. The next question comes from the line of Gunjan Prithyani from Bank of America. Please go ahead.

Gunjan Prithyani: Hi, thanks for taking my question. Just quick clarification. On this tariff, this was only for a month or two, it was in Quarter 1, it was only INR 14 crores, but partial period, right? This is for the entire period. Is that the correct way to look at it? The entire quarter had a tariff implication ?

Amit Kalyani: This was for the quarter. I don't want to say anything more than that.

Gunjan Prithyani: Okay. Got it. No worries. Just going to the defense business , now with the new order, we will be roughly at what ever INR 11,000 odd crores sort of order book. How would you think, we think about

the revenue or execution timeframe of this? I am just trying to assess what sort of growth we think on the defense business in over next two years. More addition, new wins. What is the growth that we bake in from the current level?
Amit Kalyani: We would definitely continue to have new wins and additions. But our execution will also start because I think ATAG s execution should start in maybe about 6 to 9 months. And then tha t will continue ramping up. So, that's a big order. And then other orders, what I mentioned on the carbines, once the order is signed, then the FOPM and then 9 to 12 months after that, it will start.
Gunjan Prithyani: Sir, the INR 10,000 crore order book which is there roughly right now, it's fair to assume that 3 years sort of timeframe is a good timeframe to work with in terms of execution or it could take longer than that?
Amit Kalyani: No, it will take longer than that. See, rea listically, in this business, from the time order is signed, you cannot expect revenues to start in less than 12 months, unless it's a revenue item, okay? If it's a revenue item, then it can start much sooner. But in capital items, it definitely will take time.
Gunjan Prithyani: Okay, got it. And second question is on aerospace. I mean, you do talk about a lot of wins. Can you also give us some perspective on how to think about the revenue stream there? What is it right now? How does that scale up basis the visibility you have over the next couple of years?

Amit Kalyani: So, aerospace for last year, for the full year was in the ballpark of about INR 250 odd crores. Okay, I think this year should be in excess of INR 350 crores. So, we are growing at that kind of rate or higher.
Gunjan Prithyani: And that rate should continue ?
Amit Kalyani: That rate hopefully should continue for the next 3-4 years at least.
Gunjan Prithyani: Okay, got it. Than k you so much. I will join back the queue .
Moderator: Thank you. Our next question comes from the line of Nitin Jain from Fair value Equity Advisory. Please go ahead.
Nitin Jain: Congrats on a decent quarter. And I joined the call late. So, apologies if my questions are repetitive. So, last quarter, the management had guide d that Q2 will mostly be the bottom of this down cycle for the overall business. Now, given the geopolitical situation between India and US, it is still not resolved. And we don't know when it will be resolved. So, do we still stand with that commentary or we see some more pain going forward?
Amit Kalyani: Well, clearly, when we spoke last time, we were more hopeful of a quicker resolution to the issue. And if you see the statements coming out of the US, it seems like there's a solution, which is very close to finalization. So, I think we would have hoped for it to have happened a little earlier. But I would expect that, hopefully, in this quarter, it should happen. And I would say Q3 will be on a similar line as Q2.
Nitin Jain: Right. Okay. That is helpful.
Amit Kalyani: As of now

.
Nitin Jain: Okay. And can you provide some color on what kind of revenue opportunity we have in the server manufacturing business over the next 2-3 years? And what kind of margins can we expect here?
Amit Kalyani: It's a very smal l, it's a business that we are trying to evaluate, because we see that as a very large new opportunity. We see the whole data center space as a big opportunity. Server manufacturing is, I don't know if it's the end in itself or a means to an end, because w e want to understand the whole product level and the system level, architecture, complexity, and understand where opportunity for us lies. So, I don't think looking at server manufacturing as a very big opportunity right now, because we are only learning t his business. Okay. So, I think in six months from now to nine months from now, we will have a better idea of this business. Clearly, that's the whole area that we are interested in. Bu t it's too early to talk about what size and scale and margins.

Nitin J ain: Okay, that's helpful. Thank you so much.
Moderator: Thank you. Our next question is from the line of Rishi Vora from Kot ak Securities. Please go ahead.
Rishi Vora: Thank you for the opportunity and congrats on good set of numbers. My first question is, in the presentation, you have highlighted that the defence assets have been transfer red to KSSL. So, was there any impact on the standalone revenues on account of this or the revenue booking remain the same?
Kedar Dixit: Yes, so the revenue bookings r emains the same. It's only the business what we have transferred from Bharat Forge to Kalyani Strategic Systems. And so the more of the assets which have moved and all the new orders, what we will get, those would be on Kalyani Strategic Systems.
Rishi Vor a: Understood. But the AT AGs would be a part of standalone?
Kedar Dixit: Yes, so currently they are. T he order is on Bharat Forge Limited.
Rishi Vora: Understood. And if you win a carbine order, whenever, that would be a part of consol or subsidiary, basically ?

Kedar Dixit: So, that would be still Bharat Forge.
Rishi Vora: Understood.
Amit Kalyani: The order that we have, RFPs that we have responded to prior to this, in Bharat Forge will always be executed in Bharat Forge. But KSSL is a 100% subsidiary of Bharat Forge. So, it really doesn't matter.
Rishi Vora: Just from an accounting perspective, nothing else. And just second question on the tariff situation, just wanted to understand a little better, because today there is a PV component tariff which we have, then there is another CV component tariff. On top of it, there is metal tariff and then there is a reciprocal tariff. So, for the US business, can you just bifurcate what percentage of business is linked to this kind of tariff? Because whenever th e deal happens, we just want to understand which business or which segment does get positively impacted and where there is no impact. Any broader color if you could share?
Amit Kalyani: So, we can't break our tariff down in that way. You have a outlook on our overall business. You know how much of our business goes to US, how much goes to Europe. So, I think we should just leave it at that. There is one thing actually I wanted to mention, which I couldn't earlier because it hadn't been sent to the stock exc hange. Just give me one minute. So, we just wanted to make one announcement

that yesterday our defense business won a order from the Navy and this business, so you can see it on the BSE website also. So, Kalyani Strategic Systems secured a business of more than 250 crores for the supply of underwater systems. This is for basically unmanned marine systems for the Navy. So, you may be aware that the underwater domain is a key focus area for us. With India's huge coastline and interesting neighborhood that w

e operate in, we have to protect and secure our Navy and coastal facilities. So, this is one of the orders that we have won, second order that we have won for this, but a bigger order. And this was just won yesterday, and this will be delivered from our facilities in Pune.
Rishi Vora: And when does it start an executable period for the same?
Amit Kalyani: This is within one year. All this has to be delivered within one year.
Rishi Vora: And it will start in this year?
Amit Kalyani: Yes, it has to be delivered within one year of the signing
Rishi Vora: Okay. Thank you and all the best.
Moderator: Thank you. The next question is from the line of Pramod Amt he from InCred Capital. Please go ahead.
Pramod Amthe: Thanks for the opportunity. So, first thing is with the defense subsidiary, there is some improvement in margins to a double digit. Is it more of a product mix? How sustainable is it?
Amit Kalyani: So, look, it's a product mix issue and it will keep improving as our mainline products come on stream and revenue ramp up.
Pramod Amthe: Okay. And the second one is with regard to American Axle . Now we were through with a couple of quarters on this acquisition. In terms of broader strategy, how do you see where are the easier foods to come through? And what's the medi um term plan in terms of product profile expansion and costs?
Amit Kalyani: So, building your own LCV and ICV business is a big opportunity in India, as is the SUV sector when it comes to the on -highway market. And then you also have a large off -highway and specialty axles business. So, we will focus on these two areas and grow our bu siness.
Pramod Amthe: And are there any non -compete clauses for it in terms of exports?
Amit Kalyani: There are geographies like in North America that are non -compete, but everything is only for a period of five years.

Pramod Amthe: Okay. And is there a sc ope to improve margins in the short term, considering the overheads and all? Or do you feel that not?
Amit Kalyani: Yes, absolutely. We are very focused on that.
Pramod Amthe: Okay. Are there any set rules you want to play over the next 3-4 years? For inst ance, first margins, then product mix, how to look at this entity where you will see 3-5 years down the line?
Amit Kalyani: We are going to play Horizon 1 and we have a separate team for Horizon 2. So, Horizon 1 team will focus on existing products, existi ng markets, and improvement in financials for those sectors. And then the new team will also focus on Horizon 2.
Pramod Amthe: Okay. And any broader topline, bottomline, CAGR, you will be looking at?
Amit Kalyani: Let's talk about it in six months, but clearly, we have an aggressive growth plan.
Pramod Amthe: Sure. Thanks Amit and all the best.
Kedar Dixit: And Pramod, just one correction. This was the first quarter of consolidation.
Pramod Amthe: Okay. For the KSSL?
Kedar Dixit: For American Axle India business.
Pramod Amthe: Okay. Yes, f irst quarter. Okay. Understood. Thank you.

Moderator: Thank you. The next question comes from the line of Raghunand han N. L. from Nuvama Research. Please go ahead.
Raghunandhan N.L.: Thank you, sir, for the opportunity. Congratulations on strong numbers. Firstly, any update you can provide on Europe re structuring? Have your customers approved your initiative ?
Amit Kalyani: Whatever we had to talk about, we have already mentioned in the update. And I already mentioned that before . I don't have any more comments .
Raghunandhan N.L.: Got it, sir. Secondly, post the GST c uts, how do you see the India MHCV production outlook?
Subodh Tandale : Well, as you have seen, the sales of Pass-Cars and all that have been strong, but also due to the festive season. So, now that the festive season is over, we will need to monitor it for another month or two. Hopefully, the momentum should con

tinue is what we think.

Raghunandhan N.L.: And on the M HCV side, sir?
Subodh Tandale : MHCV , the broader expectation is it should remain flat. Not a very significant growth or degrowth.
Raghunandhan N.L.: Got it, sir. And lastly, on BFISL , there has been a growth. There is also margin expansion to 14%. How do you see the growth ahead in terms of order book?
Kedar Dixit: What are you talking about?
Raghunandhan N.L.: BFISL, which is JS Autocast
Amit Kalyani: JS Autocast, we are already seeing improvement in margins. And we are quite bullish that we will continue to impro ve our margins, improve our top line and product mix as well.
Raghunandhan N.L.: Got it, sir. Thank you very much.
Moderator: Thank you. The next question is from the line of Mohit Jain from Tara Capital Partners. Please go ahead.
Mohit Jain: Hi. Thanks for the opportunity. Just wanted to ask the fund raise that you're doing that would be used for inorganic as well as organic purposes ? If we do an inorganic sort of a thing, would it be related to the current lines of businesses or can it be in a completely different area?
Amit Kalyani: Well, right now it's in areas that are very related to what we are doing and areas where we see opportunities for growth in India.
Mohit Jain: Okay. And I mean, are we comfortable doing, let's say, only some bolt -on sort of an acquisition or are we comfortable doing some large ticket acquisition as well?
Amit Kalyani: Well, it really depends on the opportunity and the circumstance. But , I think we are trying to define the animal without knowing what it looks like.
Mohit Jain: Okay, fair enough. Thank you .
Moderator: Thank you. Our next question is a follow -up from Binay from Morgan Stanley. Please go ahead.
Binay: Hi, team. When I look at defense revenues for next year, there should be a very sharp scale -up, right? Like your ATAG , you are saying the scale -up has not started, the carbine order comes in and then this marine order thing. So, any revenue number that you would sort of see, li ke basically FY '27 defense revenues?

Amit Kalyani: So, it would be better than this year for sure.
Binay: So, but how many years shall we build the ATA G order for?
Amit Kalyani: It will start execution from calendar year '26.
Binay: And over how many years?
Amit Kalyani: At least it will take about three years.
Binay: Right. So, I think in that sense, the scale -up should be quite sharp with that for you in the coming years. Great, team. Thanks. I will come back. That's all from my side.
Moderator: Than k you. ask a question, ladies and gentlemen, you may press star and one. Our next question is from the line of Rakesh Roy from Boring AMC (Omkara Capital). Please go ahead.
Rakesh Roy: Hi, sir. My first question regarding, sir, can you give me a scope of b usiness for our AMCA project?
Amit Kalyani: That's like Horizon -3. That's still far away. So, let me explain in a maybe in a very general way. India wants to be self -sufficient in many key areas. So, one of the areas is as much as possible in aviation, especially for defense. Right now, we have the capability of certain systems and components. We definitely have capabilities on the arms and ammunition that go into the aircraft. But on aircraft manufacturing at a component level, system level, subsystem l evel, India does not have any established large -scale players. Bharat Forge is already a supplier of rotating components to jet engines, high -temperature components, structural components, and landing gears. So, these are all the kind of capabilities that we will leverage to create an opportunity for ourselves in the AMCA program along with our partners.
Rakesh Roy: My next question regarding, sir, recently some Bharat Forge had pact with UK based company for UAV. So, can you

light on this one, sir?
Amit K alyani: Not at all in the public domain. See, UAVs are a very large opportunity. Okay. UAVs will go from, birds that cost a few thousand dollars to birds that cost tens of millions of dollars. So, we are looking at oppo rtunities across the spectrum, b ecause some of these opportunities and some of these products will also work with our existing products. So, that's where we see a lot of opportunities .
Moderator: Thank you. The next question is from the line of Disha Shah, an individual investor. Please go ahead.
Disha Shah: Thank you for the opportunity, sir. So, I have two questions. One is regarding the order book. So, regarding the defense order book, especially, you said earlier that it will take longer than three years

for us to materialize, for tha t to materialize into revenue. So, further to that, my question is, what would be the...
Amit Kalyani: No, I didn't say it will take three years. No, I am sorry. I didn't say it will take three years. No, that's not what I said. I said ATAG order will get executed in three years from the time the delivery start.
Disha Shah: Okay. So, how long will it take for that order book to convert? What is the conversion ratio or what is the conversion time frame to recognize it as revenue?
Amit Kalyani: I don't understand your question, quite frankly. As I mentioned, there is a process called FOPM that has to take place, after which within 6 to 9 months, we will start deliveries. First year, we will deliver maybe about 15 or so guns, after which we should increase our rate of delivery. And in all, we have to deliver 187 guns. So, I think we should deliver 187 in something like four years.
Disha Shah: Okay. And to that, the next question would be, what would be the key challenges or dependencies in converti ng the defense pipeline into deliv eries? Like if it might be any? Just to shed some light on that?
Amit Kalyani: None. There should be monetary allocation, that's all.
Disha Shah: Okay, p erfect. I have one more question. So, what is the expected margin tra jectory, especially as the product mix shift towards defense and industrial verticals?
Amit Kalyani: It's very difficult to give that because the product mix within defense also is not fixed. So, I think our goal is going to be to balance return on capital employed, cash flow, topline, bottomline, on an overall basis.
Moderator: Thank you. We have no further questions, ladies and gentlemen. I now hand the conference over to Mr. Amit Kalyani for closing comments. Over to you, sir.
Amit Kalyani: Thank you ver y much, ladies and gentlemen, for your time and interest in our Company and your encouragement. I look forward to our continued dialogue and association. If anybody has any specific questions or clarifications, you may get in touch with investor relations. Thank you very much and have a nice evening.
Moderator: Thank you. On behalf of Bharat Forge Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Feb 2026

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com

February 13, 2026
To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai 400 001
Maharashtra, India

Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India

Symbol: BHARATFORG

Sub.: Transcript of the Analyst / Investor Conference Call on Unaudited Financial Results (Standalone and Consolidated) for the Quarter and Nine months ended December 31, 2025.

Ref.: Regulation 30 and 46 (2) of the of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('Listing Regulations').

Dear Sir / Madam,

Please find enclosed herewith the transcript of the Analyst / Investor Conference call, which took place on Thursday, February 12, 2026, after announcement of the Unaudited Financial Results (Standalone and Consolidated) for the Quarter and Nine months ended December 31, 2025.

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst-conference-calls

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Bharat Forge Limited

Tejaswini Chaudhari
Company Secretary and Compliance Officer
Membership No.: A18907

Encl: As above

"Bharat Forge Limited
Q3 & 9 Months FY '2 6 Earnings Conference Call "
February 12, 202 6

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN AND JOINT MANAGING DIRECTOR – BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CHIEF FINANCIAL OFFICER –

Moderator: Ladies and gentlemen, good day and welcome to Bharat Forge Limited Q3 and 9 months FY26 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani, Vice Chairman and Joint Managing Director, Bharat Forge Limited. Thank you and over to you, Mr. Kalyani.
Amit Kalyani: Thank you. Good afternoon, ladies and gentlemen, and thank you for your time and interest in joining our earnings call for the third quarter FY26. I trust that you've seen the numbers and gone through what we've put out. Before that, I'll introduc e you to the team that I have with us. I have my colleague from the Board , Subodh. I have our Group CFO, I have our CFO Kedar, our Head of Investor Relations, Raj, and his colleague Chinmay. And we are happy to take you through our quarter and answer whate ver questions you have. So over to Kedar and he'll take you through a synopsis.
Kedar Dixit: Hi, good afternoon, everyone. I'll take you through the standalone business highlights for quarter three and nine months ended for FY26. The standalone revenues we re up 7% sequentially to about INR2,084 crores and EBITDA at INR569 crores , which shows a growth of 4.6% quarter on quarter with an EBITDA margin of 27.3%. This includes a ta riff cost impact of INR31 crores. The performance was aided by strong growth in d omestic automotive business and execution of defense order book. Continued destocking in North America truck market had an adverse impact on export revenues in quarter three. While the auto sector was down 13%, the industrial witnessed sharp 11% growth. Th is was mainly on account of improved business in Oil and Gas, Aerospace business.
To put things in perspective, North American truck market revenues are down 51% as compared to quarter three of last year. We had a one -time impact of 487 million on account of changes in labour code. This is mainly to do with the gratuity provision for the past services. Standalone revenues for nine months was INR6,135 crores with EBITDA margin at 27.7%. Balance sheet continues to remain strong with debt to e quity net of cash of only 0.15.
At the end of this year, we'll have a long -term debt of only INR600 crores on our balance sheet. Quarter three consolidated revenues came in at INR4,343 crores and EBITDA margin at 17.3%. Stable performance in overseas subsidiaries and improving execution in defense helped the overall performance. For nine months, consolidated revenue was INR12,284 crores with EBITDA margin of 17.5%.
Indian subsidiaries continue to perform well. JSA, which is our casting business, saw their top line and EBITDA growth by strong 22% and 39% respectively. K Drive, which is our recent acquisition, saw a muted top line but good jump in EBITDA from 3% to about 5% in this quarter. In last quarter, the company had secured new business worth INR2,388 crores acros s all key businesses, which includes the component business of INR378 crores, defense of INR1,878 crores, casting INR78 crores, and K Drive INR55 crores.

Talking about the overseas subsidiaries, the European operations were stable amidst the patchy demand due to holiday season. Utilizations levels in quarter three were about 60 % to 65%. During the quarter, EU operations recorded an EBITDA of INR39 crores. US Aluminum had a stable quarter given the sentiment in North American passenger car market. The US op erations recorded EBITDA of about INR10 crores for quarter three.
The tariff on aluminum

into US is impacting the profitability and demand in this business.
Current utilization level of aluminum business in the US is about 65%. For nine months performance , we continue to work on the improvement in our overseas business. So for nine months, the US losses were down almost 50% and we are seeing a lower losses at EU level. And while we continue to improve our operation, we also continue to evaluate restructuri ng operations for our European steel business and we will update the progress by end of this fiscal.
Now I will hand over to Amit sir for his comments.

Amit Kalyani: Yes. So, ladies and gentlemen, thank you. Just want to tell you that, we entered into all this uncertainty very suddenly and by God's grace and, the government and everybody doing their job, we've also come out of this mess in a very sudden manner. I hope that the positivity translates into real action and I see early signs of that.

So we hav e a good amount of confidence that the worst is behind us and that I think we have strengthened our position, we have further developed new products and you will see that evidence in the next few years how we are building new segments for our company which have growth potential and are the kind of products and technologies that w ill give us a very good future.

I think on the domestic front, the GST reforms have given a boost to the automotive industry and also take the industry players by surprise. In fact, the growth was almost unmanageable by them. The recent announcement with the trade deal has also been positive and coupled with the CV market in the US bottoming out and beginning to show higher order intake will also give us a lot of momentum.

It's a deja vu of 2019 where every period of ours was witnessing a strong growth. I'm also very happy to report that our acquisition o f JSA little over three years ago -- has worked out very well for us. We have now brought in a very high quality investor in the form of Premji Invest, which has invested to take a meaningful stake in the company and it's 23% at a valuation of INR1,300 crores.

So that values our investment at a multiple, you know, three and a half to four times of what we had bough t it for. So our team has done a good job and I think that the overall collaboration between our automotive business, the casting business and our customers has worked very well and will give us plenty of growth going forward. The CV sector for Q4 India lo oks very strong and may continue into first half of next year.

Exports seem to have bottomed out and we should see a gradual improvement from here. On defense, we see a strong uptick driven by commencement of the ATAGS order and the beginning of the CQB c arbine production. We should look at a, you know, 30 %-40% plus growth in our

defense business next year. Aerospace segment also we see a very strong growth next year, also year after next because next year we have some new programs and some new capacities coming on line, but significantly larger coming on line year after next.

And we believe that we are on track to, you know, really meaningfully grow this business in the next three odd years and make it a business that is sizable and will generate very tid y returns in addition to our top and bottom line. On the M&A side, we're looking at some very interesting opportunities and, we'll take it as it comes.

In terms of capacity addition, we have new orders that we've won which are very long term in very strat egic sectors and we're setting up some new facilities to take care of that. So I think on the whole, that's the picture where it stands. So I think we're now ready to take your questions, so thank you very much.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Gunjan with Bank of America. Please go ahead.

Gunja

n: Yes, hi. Thanks for taking my question. My first question is on the defense business. You know, there have been quite wide -ranging wins in the last quarter, right? Small guns, the carbine, then unmanned systems or drones, and then even the marine one came throu gh in the last couple of months?

So it clearly the product capabilities is far wider than the guns and the portfolio is expan ding, right? So I'm just looking to get some sense from you as to how do we think about the scale -up of this business in the next two, three years?

Yes, of course, there's one way that we look at order book and execution of order book, but it does seem lik e some of the newer opportunities are adding in. So some thoughts on how do we think about this business from a two, three year perspective ?

Amit Kalyan i: Yes, sure Gunjan. I think you have to look at our defense business the way you look at our overall co mpany. We will de -risk defense from any one vertical. We will have multiple verticals. We will have verticals that will have continuous business. We'll have verticals that will have lumpy business. And we will look at global opportunities for all the produ cts that we make.

It's very clear that unmanned systems and drones are a very big opportunity. These are definitely both complementary and supplementary to manned systems. So we have to have a play there and we are there both in the water domain that is un derwater and in aerial domain. And we are building the capability not just for the product , but also for the payload. So that is one way to look at it.

And these are products that can be ranging from few crore rupees to many, many million dollars.

So there 's a wide range of products within that also. So we believe that once you become a defense player and especially in a network -centric battle environment or defense environment, you need to have all the network products that become a force multiplier for an y of your products.

Gunjan: Got it. If I were to like just sort of think that defense is about roughly about 10 -12% or even less than 10% order of your revenues right now. With these new opportunities, order book conversion, I mean, just directionally, ho w do you think this , how significant can this be? I'm just trying to get the scale of this business maybe three years down the line, maybe five years down the line, the way you internally sort of look at the evolution of this ?

Amit Kalyani: See realistical ly, defense has the opportunity to become as big as our business today is , overall business is today , if we look at global opportunities. You know, if we look at the budget of Europe, European defense budget is going from EUR 350 billion to 800 billion. In dia's defense budget is growing by 21% this year.

So overall, there is a huge growth taking place in these sectors. So it depends on what we play in, what role we play and what we win. But clearly, 10%, 11% will definitely be more like closer to 18 -20% if things go right , could be even more than that.

Gunjan: Got it , 18%-20% in two to three years. Is that how I should take it?

Amit Kalyani: I think let's look at 20 %, 30%.

Gunjan: Okay. Got it. Second question is on this tariff, clearly you guys navigated it really well with pretty modest hits. I'm just trying to get a color on what does the deal do beyond the easing of margin pressures? Is there fundamentally something you see has shifted and which can put us in a better place as a supplier ecosystem from India , some qualitative thoughts around tha t?

Amit Kalyani : Yes, so look, obviously, it puts us in a better position than certain other countries which have a higher tariff than us. So that's one thing. Okay. Second is , the tariff deal being done and the punitive 25% being removed means that , we're in a differentiated position than others plus the new product development will s

tart again with all our customers , not that it had stopped , but there is more confidence now to go full steam ahead.

Gunjan : Got it. And last question just on Europe restructuring. Again, trying to get your thoughts on , you mentioned that you'll give an update by the end of the year, but any color on how , what is it that we are looking to do? Is it looking to wind down the business? Is it looking to shift it to India? I mean, what sort of restructuring...

Amit Kalyani: I can't say anything more than what we've already said. But you know, like I said, we have to make a profit or , we have to take some decision. So we have to see what to d o.

Gunjan: Okay. All right. I'll join back the queue. Thank you so much.

Moderator: Thank you. Next question comes from the line of Amyn Pirani with JP Morgan. Please go ahead.

Amyn Pirani: Yes, hi. Thanks for the opportunity. Actually, my first questio n was on the announcement of the Premji investment in JS Auto. So my question was that , given that you are , probably the experts on the manufacturing business that it is, and given that , balance sheet is not really a constraint for you, what is the value that this investor is bringing in and how does this change the scale of operations which maybe you couldn't have done on your own?

Amit Kalyani: No, there's nothing that we couldn't have done on our own. I just think that sometimes having , a few more , let's say a slightly different perspective is always good and having more , what do you call it , bandwidth to think about things and they also have a lot of connect globally. Plus, we want thi s business to grow fast. We want it to grow both organically and inorganically. And now we don't have to worry about putting any more money into it.

Amyn Pirani: Okay. Understood. Fair enough. Secondly , just following up on the Europe question. So interest ingly in the last two, three quarters it looks like the numbers have already started to move up. So just trying to understand if are there already some things that you are doing in the business or we still have to think about , a kind of big restructuring w hich you had indicated like , few quarters back.

Amit Kalyani: So look, we're trying to do a lot of things. We're reducing a lot of cost, but it's not easy. It's every day there's something new happening in Europe. So we're trying to do the best we can. We are putting a lot of improvement measures, etc etera . We just have to see how effective they are. Whether one is internal, the second is external.

We also need to see whether whatever we are doing, the external landscape and the market is

big enough and is there to take advantage of. So it's not just one way. Europe, I think, is in a secular problem and we don't know where it's heading. So we have to see.
Amyn Pirani: Okay. Fair enough. Thank you for this and I'll come back in the queue.
Moderator: Thank y ou. Next question comes from the line of Kapil Singh with Nomura. Please go ahead.
Kapil Singh: Yes, good afternoon, sir. So I wanted to check firstly your thoughts on the defense business profitability. Would it be comparable to the auto business over tim e? How should we think about that?
Amit Kalyani: Yes, I would expect it to be , profitable equivalent on an EBITDA basis generally speaking. And you know, I think the ROCE should be better because we don't have the same amount of capital employed. Also it will have a long tail because there will be constant MRO and support income coming from everything that you sell.
Kapil Singh: Okay. And sir, this order book that we have, what period should we look at for the execution? Also we had a small arms contract order for carbine...
Amit Kalyani: I think the small arms is five years, the res t would be between mostly four years.
Kapil Singh: Okay, okay. And sir, also on the outlook for particularly

the global truck business, has it already bottomed out as you mentioned, but when do we start to see the upcycle? Are there any signs visible? What is the outlook for next 1 year? Not just asking for 1 quarter?
Amit Kalyani: Yes, I'll let my colleague Subodh answer that question.
Subodh Tandale: Well, you've seen the incoming orders in the US for class 7, 8 in the last 2 months, they've been on the u pside. And generally, there's a sense of confidence just given that all the uncertainties of the last year, the things would be better. So we are hoping that things would be better than last

year and hopefully things would be stable as well and growing. So that's what we are planning for. It's not going to be steady -- it's going to be steady, but on the positive side is what we expect.
Kapil Singh: Okay. And sir, can you comment on the passenger vehicle exports as well?
Amit Kalyani: So we continue growing our passenger car exports. Again, we are engaged with all the major players in the world. And Yes, I mean, we have lot of opportunities on the table. So all of them are being addressed.
Kapil Singh: Okay. Thank you. Thanks a lot.
Mod erator: Thank you. Next question comes from the line of Abhishek Shah with Valcore Capital. Please go ahead.
Abhishek Shah: Hi sir, thank you for taking the question…
Moderator: Mr. Shah, sorry for interrupting, your voice is breaking. Can you come in the range and talk?
Abhishek Shah: Yes, hi. Is it better now? Hello?
Moderator: Yes, please go ahead.
Abhishek Shah: Yes. So sir, I -- this is regarding a news article and somewhere we've been reading online that Kalyani Group as such has been, granted by Odis ha Government, we are planning to set up a project of INR17,000 -odd crores. Just wanted some more clarity on this. I mean, the project, what our understanding was, it will be implemented by three companies of our group, Bharat Forge, Kalyani Steel and Saar loha.
So maybe if you can give us some more understanding on, you know, what will be the split, who's spending how much and what is this project about and maybe tentative timelines for the same?
Amit Kalyani: So the first part of the project will be a specialty steel plant, which will be set up by Kalyani Steel. That will be coming up in -- I mean, once the EC and everything happens, they will break ground and start work. That will be about 700,000 tons of steel, specialty steel. Then the second part wi ll be a super alloy plant which will be set up by Saarloha to make aerospace and other super alloy grades, including tool and die steel etc.
And the third will be a forging, machining, potentially also casting facility by the relevant companies, including JSA if needed, if there is an opportunity to do a further expansion of our own existing products and certain new products using the raw material and the overall advantage that we'll get in that location.
Abhishek Shah: So what will be the tentative capex split between the three?
Amit Kalyani: See, each company will do its own capex , I don't want to it in a Bharat Forge call talk about other companies.

Abhishek Shah: No, no, in the sense out of 17,000, how much are we going to spend? How much is Bharat For ge

going to spend, sir?
Amit Kalyani: So Bharat Forge, we have said up to INR3,000 crores.
Abhishek Shah: Okay. Got it. And sir, tentative timelines for when we start our capex, I mean, I'm talking from Bharat Forge's perspective and how does it link to th e group basically?
Amit Kalyani: This will be the next growth phase after our existing expansions in Baramati, etc., over.
Abhishek Shah: So nothing in the immediate 1 or 2 years as such…
Amit Kalyani: Not in the next 1 year.
Abhishek Shah: Okay. Got it. O kay, sir. That's all from my side. Thank you.
Moderator:

Thank you. Next question comes from the line of Nitin Jain with Fairvalue Equity Advisory. Please go ahead.
Nitin Jain: Yes, congratulations on the excellent quarter. I have just two questions. If yo u can talk a little bit about your defense order pipeline. Now I'm asking this because Q -on-Q itself our order book has grown more than INR1,500 crores. So where do we expect to end this year and what kind of bid pipeline we have for fiscal '27?
Amit Kalya ni: So we have increased our order book by two things. One is the CQB Carbine and some of the EP orders that we got. Okay. Now we have a lot of other things that are in the pipeline. There are lot of new programs that we're working on, lot of new products that we're developing. I don't want to talk about any of that right now. Once we place -- once we make the bids, we can talk about them.
Nitin Jain: Right. So do we expect any of these to materialize by fiscal '27 or they're still time to go?
Amit Kalyani: See, as you know, the whole defense procurement process is being overhauled and being speeded up. The new DAP has come out which is very, comforting that it is focusing more on Indian development and design products and Make in India a lot more. So I thin k we are quite bullish on this whole sector growing for India.
There's also a global opportunity to be a supplier both of systems and components into Europe and many other parts of the world. So overall, I think this is a market that's going to grow, this is a sector that's going to grow, and a business that's going to have a long -term strong future for us.
Nitin Jain : Also recently one of the Indian forging companies, they were inducted into the NATO supply chain for high precision defense components. So , like, this is considered positive for their business. I just wanted to know if we also share any similar credentials or we are vying for the same ?

Amit Kalyani: First of all, I would say please validate what you're saying because -- okay. And second, we already are supplying into -- we're already exporting into large quantities in this area.
Nitin Jain: Great. And lastly, any development on the server business? Last we had heard from the company was that it tied up with a few global leaders. If you can ma ke us aware of any pro duct?
Amit Kalyani : Its still in the development phase.
Nitin Jain: Okay. Thank you.
Amit Kalyani: Thanks.
Moderator: Thank you. Next question comes from the line of Aakash Javeri with Time & Tide Advisors. Please go ahead.
Aakash Ja veri: Good afternoon, sir, and thank you for the opportunity. My first question is how has the acquisition of American Axle been performing and what is our view on this segment?
Amit Kalyani: The acquisition has performed well. Our margins have grown by al most 200 basis points. And I expect that this sector will do well. This is a high growth sector and we're already winning quite a lot of new business from Indian OEMs. So this has been a good acquisition for us and we expect this to turn out to be a very p ositive step for the company.
Aakash Javeri: Sure. And the group also has taken Automotive Axles. So how are we looking at these two companies in similar segments?
Amit Kalyani: So I'm not personally involved with Automotive Axles individually because of the same reasons. As you know, Automotive Axles is a investment of the Group for a very long time. It has its own position in the heavy axle sector. And this is another player in the axle sector. So I think each will find its own niche and where needed they will also compete.
Aakash Javeri: Sure. And my last question is , has American Axle been gaining market share?
Amit Kalyani: Has been what?
Management: Gaining market share.
Amit Kalyani: Yes.
Aakash Javeri: Has been gaining market share?
Amit Kalyani: Yes, it's been getting a lot of new business.

Yes.
Aakash Javeri: Okay. And any way to quantify that?
Amit Kalyani : I think next quarter we'll talk about that.
Aakash Javeri: Sure. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. Amit Kalyani for closing comments.
Amit Kalyani : So, ladies and gentlemen, thank you very much for your time and interest and your questions. You know, as always, it's a pleasure interacting with you. Thank you for your positive comments and feedback. And we look forward to remaining engaged as we contin ue the growth journey of our company over the next many years. Thank you. Bye , bye.
Moderator: Thank you. On behalf of Bharat Forge Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

B H A R A T F O R G E

CIN L25209PN1961PLC012046
BHARAT FORGE LIMITED, MUNDHWA, PUNE 411 036, MAHARASHTRA, INDIA.
PHONE: + 91 20 6704 2476 6704 2451 6704 2544 (Secretarial) Fax 020 2682 2163
Email: secretarial@bharatforge.com WEBSITE: www.bharatforge.com

May 11, 2026
To
BSE Limited
Corporate Relations Department
Phiroze Jeejeebhoy Towers
Dalal Street, Fort, Mumbai 400 001
Maharashtra, India
Scrip Code: 500493 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, Plot No. C/1, G Block
Bandra Kurla Complex, Bandra (East)
Mumbai 400 051, Maharashtra, India
Symbol: BHARATFORG

Sub.: Transcript of the Analyst / Investor Conference Call on Audited Financial Results (Standalone and Consolidated) for the Quarter and Financial Year ended March 31, 2026.

Ref.: Regulation 30 and 46 (2) of the of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘Listing Regulations’).

Dear Sir / Madam,

Please find enclosed herewith the transcript of the Analyst / Investor Conference call, which took place on Thursday, May 07, 2026, after announcement of the Audited Financial Results (Standalone and Consolidated) for the Quarter and financial year ended March 31, 2026.

The same is also available on the website of the Company at:
https://www.bharatforge.com/investors/reports/analyst-conference-calls

Kindly take the same on record.

Thanking you,
Yours faithfully,
For Bharat Forge Limited

Tejaswini Chaudhari
Company Secretary and Compliance Officer
Membership No.: A18907

Encl: As above

“Bharat Forge Limited
Q4 & FY '26 Earnings Conference Call ”
May 07, 202 6

MANAGEMENT : MR. AMIT KALYANI – VICE CHAIRMAN AND JOINT

MANAGING DIRECTOR – BHARAT FORGE LIMITED
MR. SUBODH TANDALE – EXECUTIVE DIRECTOR –
BHARAT FORGE LIMITED
MR. KEDAR DIXIT – CHIEF FINANCIAL OFFICER –
BHARAT FORGE LIMITED
MR. S RAJHAGOPALAN – HEAD, INVESTOR RELATIONS
– BHARAT FORGE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '26 Earnings Conference Call hosted by Bharat Forge Limited. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinion and expectation of the company as on date of this c all. These statements are not guarantee of future performance and involve risks uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask question aft er the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Amit Kalyani, Vice Chairman and Joint Managing Director, Bharat Forge Limited. Thank you, and over to you, sir.
Amit Kalyani: Yes. Good afternoon, ladies and gentlemen, and thank you for joining our conference call today.
As a standard, I will introduce th e people with me and then our group -- our CFO, Kedar Dixit, will take you through the numbers. So, I have with me a fellow Board member and Head of the Components business, Mr. Subodh Tandale. I have Kedar Dixit, our CFO; I have Raj Gopal , our Head of Inv estor Relations and M&A and Chinmay and Sameer . So over to you, Mr. Kedar.
Kedar Dixit: Thank you. Good afternoon, everyone. I'll just take you through highlights of the quarter and for the year ended 31st March 2026. We'll start with the performance of co nsolidated results, given that number of initiatives and investments we have made in new verticals as well as in the Indian manufacturing space. We ended the year with revenues of INR 16,812 crores and EBITDA of INR 2,921 crores, which was a growth of 11% in revenues and about 6% in EBITDA.
Consolidated net debt -to-equity stood at 0.41 x as of March 2026.
During the year, the company also secured new businesses for INR 4,814 crores across all key businesses, which includes the traditional business of INR 1,210 crores, Defence INR 2,816 crores. JSA which is our casting unit , INR 292 crores and K -Drive, which is a recent acquisition is about INR 500 crores.
Talking about the stand -alone performance. The stand -alone business reported a revenue of INR 8,396 cro res, which was lower by about 5% year -over-year. This was mainly on account of regulatory uncertainties in North America and demand challenges in U.S. CV market, which has impacted the performance.
But as we speak, we are looking at good growth in this se ctor. Stand -alone EBITDA for FY '26 was at INR 2,312 crores, translating EBITDA margin of 27.5%, PBT before exceptional items was INR 1,826 crores, which was about 8% lower Y -o-Y.
Talking about the quarterly performance, stand -alone revenue for the quarte r was up by 8.5% quarter -over-quarter at INR 2,260 crores. The quarter -on-quarter improvement in performance was driven by all around recovery in exports and strong performance in domestic automotive segment.

Q4 was up at 7.2% sequentially at INR 610 cror es, translating in EBITDA margin of 27%. This also includes a onetime cost retrospective cost by MSEDCL , which had charges retrospectively which had charged retrospectively sub -cess on the captive power, which is about INR11 crores.
Without that, the margin would have been closer to 28%. PBT before exceptional items was about INR486 crores.
During the quarter, company has absorbed tariff impact of about INR 12 crore. Balance sheet continues to remain robust with net debt -to-equity at 0.18 x for the yea r. Talking about the overseas business, we have initiated restructuring of our German steel business, which is CDP Bharat Forge .
We expect to complete

the process by end of next calendar year. For other businesses in Europe,
we are simultaneously pursuing various business opportunities to leverage the scaled -down manufacturing footprint . Performance -wise EU operations registered revenue of INR 3,865 crores and EBITDA of INR 151 crores, resulting in EBITDA margin of 4% while the U.S. operations recorded a r evenue of INR 1,534 crores, EBITDA of INR54 crores translating to EBITDA margin of 3.5%.

Now I will hand over to Mr. Amit sir for his comments.

Amit Kalyani: So good afternoon, ladies and gentlemen. 2026 was a very interesting year. It had its own set of challenges, yet I think our team rose up to the challenges and really performed exceptionally well. It also was a year with a lot of uncertainty, especially to do with tariffs, which, to some extent, persists. And then we ended up towards the end of the ye ar with a full -blown war taking place in the Middle East, which luckily enough seems to have subsided right now. And if everything goes well, it should really settle down and get resolved.

I think this has had impacts and uncertainties on markets, imports , transportation and many factors that affect our business. Given that background, I think we have weathered the storm well and ended on a stronger note with very good momentum going into the new year.

I want to especially commend our sales and marketing, customer -facing teams, our supply chain teams, our operating teams and all the people in our company for really giving it their all and making this year, let's say, painless for our customers .

Driven by a combination of new business initiatives and M&A o ver the past 3 years, BFL is now an engineering conglomerate entrenched across processes, customers and segments. This is an example of how we transform every 5, 6 years. Our balance sheet continues to remain one of our key strengths with a strong net cash position at a stand -alone level.

The aerospace business, which we have been talking about for quite some time, I'm very happy to report is now a meaningful part of our industrial exports and is now almost 26% of the last quarter's non-Auto exports. It is the second largest contributor to our industrial exports now.

This segment has seen multiple new business wins, both across jet engine structure, landing systems from global OEMs. We were recently selected by an aerospace OEM as their first supplier from India for any critical components.

Our acquisition of K Drive is making significant progress and has also won a lot of new business from OEMs, which will start panning out from this year. On the defense front, our business is spread well beyond Artillery and vehicles to include small arms, naval solutions and a wide variety of unmann ed platforms, both sea and air.

The recent order wins are a testament to the progress made here with an order book of close to INR11,000 crores, the next 3, 4 years, we'll se e stable revenue accretion in these sectors. In parallel, we are also focusing on expanding our product portfolio and participating in new programs to build a robust and scalable revenue pipelin e over the medium to long term.

I particularly see new opport unities in Europe for our defense business. In castings, despite challenges in the export market, especially in the wind sector because of the slowdown in wind infrastructure build -up, we have seen JSA continue to grow and increase both revenue and profit ability going forward.

And we are now expanding our customer base to cross -fertilize and to cross -sell these products into our existing customer base in the automotive and commercial vehicle sector. The recent capital raise from Premji Invest will help us drive capacity expansion and make this business an independent drive r for our growth and expansion.

This week, we acquired a 30% stake in Fortuna Engineering, wh

ich is a company based in
Nashik. This has a strong and experienced management team led by the promoters in machining. And it strategically is a very complementary fit to us because they do machining of connecting rods and some other high -value components, which are all complemen tary to what Bharat Forge does.

And in fact, it allows us to supply i nto them the forged components that they can machine. The company has a strong balance sheet and a net cash position. In e -mobility, as I mentioned in the television interview earlier, we have decided to take a write -off of those investments where we don't see any immediate revenue and business ramp up, because it doesn't make sense to spend time and effort on those areas which are not going to give us returns immediately.

As you are aware, globally, the electric vehicle adoption has taken a different trajectory as compared to what was originally envisaged. Additionally, our overseas business will also see a restructuring with our steel forging business undergoing a restructurin g as we have explained earlier.

We also intend to evaluate additional busin ess opportunities in the automotive sector to leverage our market position our customers and our footprint globally. If we look at 2027 as a whole, I think it's going to be a strong year for our India manufacturing operations, as the growth impetus across sectors and the kind of strategies we have put in place will bring in higher execution and growth.

Barring any further geopolitical crisis and their impact on demand, we should see a close to 25% growth in our India business. Our ongoing capex programs ac ross forging, casting and products platform will translate into INR800 crores to INR850 crores capex in a 15 , 18-month period. We

continue to evaluate potential M&A opportunities in India to address opportunities in high - growth sectors which may be complem entary and a good fit to our existing business.

Thank you. I will now be happy to -- my team and I will be happy to take your questions.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will now begin with the question and answer session. Our f irst question comes from the line of Kapil Singh from Nomura. Please go ahead.

Kapil Singh: Good afternoon, sir. Congratulations on a good performance for the quarter. Firstly, I had a question on your target growth for FY '27. Could you give some more col or and break it down between different segments, broadly, what kind of growth you expect in defense, U.S. exports for CVs, non -auto and domestic?

Amit Kalyani: Yes. I'm not going to break it up into that much detail. Let me just tell you, we will see the h igher growth coming from our aerospace business and then defense business and the automotive business. When I say automotive, I mean the components business, which includes both automotive and industrial.

Kapil Singh: Okay. And sir, what is the outlook for domestic and global CV?

Amit Kalyani: Outlook is strong for both. U.S. is very strong and so is India.

Kapil Singh: Okay. Sir, you also mentioned that we have acquired Fortuna. Could you give us some color in terms of revenues? Where does it stand? And wh at is the potential here?

Amit Kalyani: Yes. So we have acquired 30% for INR 130 crores. The company has a revenue of about INR380 crores, and they have a net cash position of about INR20 -odd crores. And they are on a path to increase multiple x by setting up new machining lines and also we will open doors to them for our customers because they don't make the very large parts that we make. So large connecting rods is a big opportunity to supply globally.

Kapil Singh: Okay. And will it be safe to say that th e growth target also includes inorganic opportunities like this?

Amit Kalyani: So we don't currently have any other inorganic, which is ongoing. But as we have mentioned, we will look at opportunities within India that make sense for us in the automotive and aerospace. Yes.

Kapil Singh: Just one last question. You mentioned that the electrification has taken a different path from what we were originally anticipating. Could you elaborate a little bit?

Amit Kalyani: Yes. About 5 years ago, there was a very strong focus on electrification across the Board, including commercial vehicles, including heavy commercial vehicles. However, it is definitely not seeing the same kind of trajectory as what was anticipated. Secondly, even the large European OEMs are not a s successful in the passenger car sector on elec trification.

As you have seen, both Porsche , Ford, many companies have had massive write -offs because they have not been able to build a platform that has been as competitive as those that the Chinese

offer. So there has definitely been a recalibration of everybody's EV strategy globally except the Chinese, of course.

Kapil Singh: Okay. Thank you, sir. That's all from my side. Best wishes.

Moderator: Thank you. Our n ext question comes from the line of Binay Singh from Morgan Stanley. Please go ahead.

Binay Singh: Congratulations on good set of numbers. My first question is on your restructuring. You highlighted that it will conclude by end of CY '27. So could you share your thoughts on that? And in the interm ittent phase, which is this year and next year, will the losses be at similar level? Like this year, you had almost a INR300 crore s loss also on the Europe and U.S. operations. So I'm happy to hear your comments on that.

Amit Kalyani: So the restructuring of CDP has started. This is a 15 to 18 -month process where we have to meet the customer requirements and also do a solvent liquidation of the company. We anticipate the losses will reduce because the CDP losses are not going to be there. Whatever is there will be part of the restructuring. So hopefully, for the year that goes by, we will have a better

performance from our overseas subsidiaries.
Binay Singh: Thanks for that. Just on aerospace, what exactly was the number for FY '26 for you?
Amit Kalyani: It was about INR400 crores.
Binay Singh: And lastly, just on defense. In the last call, we talked about revenue guidance on defense of 30% to 40%. But just looking at the order book, what are the key sort of milestones to watch out for? You've talked about op portunity in Europe and all, but any key things that we should expect or milestones to see this year?
Amit Kalyani: So the first thing that you should look at is the fact that the ATAGS FOPM will happen, and then the ATAGS production will start and ramp up . The second is the CQB carbine also production will happen. So those are the two big milestones that will move the needle starting this year, and then it will continue next year and year after next as well.
Binay Singh: Anything on the order backlog, any large projects that you are expecting?
Amit Kalyani: This will start in the second half of this year. Please remember.
Binay Singh: Yes, yes. And anything on the order win, any incremental order book?
Amit Kalyani: So we have, as Kedar mentioned in his i nitial talk, we have won new orders in defense as well in the space of naval and drone systems. And we have lots of other new products that we have both developed, developing and fielding that go into a variety of platforms, including Navy. And hopefully, those should all now start the order -- I mean, the bids should open and then we should know where we stand.
Binay Singh: Great, great. Thank you.

Moderator: Thank you. Our next question comes from the line of Gunjan Prithyani from Bank of America. Please go ahead.
Gunjan Prithyani: Thanks for taking my question. Just a couple of clarifications on the aerospace a

nd the defense.
In aerospace, y ou mentioned INR400 crores for full year and you also mentioned 26% of exports in quarter 4, which essentially means exit run rate of almost INR300 crores. So in fact, the number we sort of worked through for the next year is that it can be INR1,200 crores?
Amit Kalyani: My point is that industrial exports for Q4, aerospace was about 26% of the overall export from indus tries. So in any case, if you look at INR400 crores as the business we did for the whole year, we will see a strong double -digit growth higher than the overall growth that we are anticipating as a company, significantly higher.
Gunjan Prithyani: Okay. Got it. Was it similar to what we're saying for defense as well, that 30%, 40% sort of growth. So these businesses sort of log that number?
Amit Kalyani: As I mentioned earlier, the highest growth will be aerospace, then defense and then the components busines s. And in components, I include all the components that we make .
Gunjan Prithyani: Okay. Got it. And again the clarification on the sub piece that you mentioned, the restructuring is initiated , do the losses from this German subsidiary completely go away from the operating number because restructuring has begun?
Amit Kalyani: It will go away as it gets wound up.
Gunjan Prithyani: Which is basically end of next calendar year?
Amit Kalyani: Yes.
Gunjan Prithyani: Okay. Got it. Now just moving to the data cen ters which was mentioned in India, is there something that you just want to give us a sense on what are we doing there?
Amit Kalyani: I don't want to talk about it, but suffice to say that data centers have a large amount of manufactured input that goes i nto them in the auxiliaries , in every element of managing, powering and supporting our data centers. And those are all areas where we supply products.
Gunjan Prithyani: Okay. Got it. And last question on the CV business, both in class 8 as well as in India . I think generally , there is a concern as energy prices, particularly as we've already seen them move up in the U.S. How do we think about , how confident are we of the growth outlook, both Class 8 as well as the India CV?
Amit Kalyani: My colleague, Subod h, will answer.
Subodh Tandale: Currently, that is a common problem everywhere in the world, the energy prices going up. But you have to also take into consideration that there is an aging fleet in the US and they have a certain calculation for that in ter ms of what they have to replace and when, and from that perspective, the demand is expected to remain strong for the rest of the year for sure. There is

also an emission change coming in early next year. So as a combination of all this, there is a

strong h ope that the demand in the US will remain strong.
And as far as India is concerned, yes there is a there is a increase but there is also overall increase of economic activity. So from that perspective, the energy shock is there but it is going to get absorbed in the system by passing it along the whole value chain. So we expect that there should be reasonably stable demand.
Gunjan Prithyani: The existing like pipeline that you see on the ..
Moderator: Gunjan, I'm sorry to interrupt you, but you may please rejoin the queue for more questions.
Gunjan Prithyani: All right. Thank you so much.
Moderator: Our next question comes from the line of Arvind Sharma from Citibank. Please go ahead.
Arvind Sharma: Hi, good afternoon, sir. Thank you for taking my questio n. On the 25% growth target for the India operations, would it be possible to share how much would be in the stand -alone business and how much do you expect in the Indian subsidiaries?
Amit Kalyani: I'm not going to break it down into all that. That gives too much information. Let's just limit to say that it's going to be at a n overall India level , manufac

tured in India
Arvind Sharma: It will be the combined stand -alone as well as the Indian subsidiaries?
Amit Kalyani: Yes. Correct.
Arvind Sharma: Sure, sir. Sir, also on the orders that you alluded to, almost INR4,800 crore s across the defense orders of INR2,800 crore s, what would be the typical gestation period of these new orders? One, just from our perspective, when should we expect the revenue s tart accruing? Is this something that you can share?
Amit Kalyani: Actually, we talked about this a little while earlier that if you look at the ATAGS order, that will start revenue in the next half of the year, same with the carbine. And some of the data center orders will also start slowly from towards the third quarter, fourth quarter and then really ramp up next year. But everything will start ramping up from this year. I mean product development will start from this year and ramp up next year.
Arvind Sharma: And sir, if you could just comment on the commodity costs. Anything you like to stress upon?
Amit Kalyani: Right now, the biggest issue on cost is energy cost, which has gone up quite substantially. For elements that depend very heavily on energy, those have gone up. But that we are negotiating with our customers to get compensation.
Moderator: Our next question comes from the line of Pramod Amthe from Incred Capital.

Pramod Amthe: So continuing on the previous question in terms of cost, do you see t he worst is behind us or its still a very volatile environment ? And also similarly in terms of supply chain challenges, how are you seeing it, please?
Amit Kalyani: You want to take it a day at a time because we are living in a time where what's happening in the world depends on which news channel you watch. So it's not really the old rules of the game anymore. Every hour, every minute, things are changing, but we're doing the best we can as a country and as an organization also. So I don't know if I can sa y the worst is behind us.
Pramod Amthe: Okay. And the second one is with regard to the recent acquisition for the machining facility. You already have a machining facility in -house, and this seems to be like a facility which you acquired. What's the reason to do it? And how do you see make versus buy in such firm decisions? Is there any worthwhile time saving you are doing here or capability addition?
Amit Kalyani: Sorry, share that again.
Pramod Amthe: No, I said you have bought this entity?
Amit Kalyani: Yes. Go ahead Subodh.
Subodh Tandale: So Pramod t he reason of acquiring this entity is , it is very synergistic to what we do today. And we also cannot do everything at once . We need the bandwidth to be able to grow in a quantum manner. We will also be addr essing many segments that we have not addressed in India so far as a part of this resource that we have. Not just in India, for that matter, even outside India . And we have actually already started getting a lot of positive interest from our existing custo mers to be able to that. So the whole idea is growth related more than anything else .
Pramod Amthe: And you mentioned topline and…
Management: I will add to one thing Subodh's add. It's not just growth it is fast growth.
Pramod Amthe: Okay. And what type o f margins does it operate in? EBITDA margins or EBIT margin that business?
Amit Kalyani: It's in the mid -teens.
Moderator: Our next question comes from the line of Nitin Arora from Axis Mutual Fund.
Nitin Arora : Just on the explosive side -- on the defense side, how are you thinking about this business because there is a lot of demand globally as well. So when do we see this capex happening and when do you see the scale start becoming bigger for you? Just on the direction side?
Amit Kalyani: So first of all , we don't have an explosives -- right now , but as we have mentioned and we are

plannin

g to set up a facility in . And the facility we are planning to come up in Andhra Pradesh.
And we are going to do some ground -breaking this month.
Nitin Arora: So FY2 8 is where we see pretty heavy -- capex?

Amit Kalyani: Yes. So let me just caveat that by saying that you need hell of lot of approvals for setting up such a facility. And after setting up a facility, we can start production. So our goal is to breakdown this m onth and start the preparatory work. And then once we get our approvals, start construction by the end of this year . And that should be ready in less than 15 months. And then another 6 to 8 months on then, we should be able to start pilot production. We ar e talking about roughly 24 months.
Nitin Arora: Thank you very much.
Moderator: Thank you. Our next question comes from the line of Sonal Gupta from HSBC AMC. Please go ahead.
Sonal Gupta: Yes, hi. Good afternoon and thanks for taking my question. Amit, very heartening to see you're aggressively moving and you've done a lot of acquisitions this year in India, I mean like with the K Drive as well as Fortuna. So in that context, I just wanted to understand the capital raise in JSA, why are we doing that? I mean that's something that we can internally fund as well.. .
Amit Kalyani: No, that was a minor thing actually, and honestly, we see a large opportunity in JSA. We wanted to make it an independe nt business and grow it because we see that the business could become a multi -thousand crore business per year. If you see the biggest ingredients in that industry are energy and raw material, and both those factors are not available in required quantity o r price in Europe. So we see a large opportunity to move that manufacturing into India. So we want to expand that fast and we want to do it with its own momentum. That was the reason to do it. And, I think there are other synergies that could come out of t hat relationship as well.
Sonal Gupta: So you're saying that by doing this external raise, they can grow faster than what they would have done internally?
Amit Kalyani: Yes, I also want to build a new model where companies that we buy which are like that, become more focused on their own growth and become self -sufficient. Yes, w e will support them on whatever customer connect etc. that we can do, but I think they need to drive their growth more aggressively and not get limited by just what we can provide th em.
Sonal Gupta: Okay. And sir, second question I had was on the ATAGS . I mean, what's your capacity? Have you now ramped up to when do we see this really...
Amit Kalyani: We talked about this, that in the second half of this year, we will see the testing getting completed and then hopefully, production and supplies to start.
Sonal Gupta: I think earlier you mentioned that initial capacity is like five guns a month. Is that what you're looking at…
Amit Kalyani: Yes. That's what we can do. Yes.
Sonal Gupta: Okay. Great. Thank you so much.
Moderator: Thank you. Our next question comes from the line of Ronak Singhvi from NAFA Asset Managers . Please go ahead.

Ronak Singhvi: Hello. Thank you for taking my questions. Am I audible?
Amit Kalyani: Yes, yes. Please go ahead.
Ronak Singhvi: Yes. So I want to be specific about marginal shares 155mm arteritis. So what is the current capacity?
Amit Kalyani: I'm not going to discuss that. Let's just say that we have adequate capacity and we are producing a large number of t hem.
Ronak Singhvi: Okay. So, like can you just say further, you are going into explosives or testing guidance or just the empty shells?
Amit Kalyani: Again, I've already answered this. Just before when Mr. Arora asked a question. We are definitely going to get into explosives.
Ronak Singhvi: Okay, thank you.
Moderator: Thank

you. Our n ext question comes from the line of Nitin Jain from Fair Value Equity Advisory. Please go ahead.
Nitin Jain: Good afternoon and congratulations on a good quarter. So my firs t question is on the aerospace

business. If you could provide some outlook for the business, where do we see it in the next 3 years? And what are the kind of margins we have here? Like are they above company average or in line with the company margin?
Amit Kalyani: I would say the margins are above company average. And if you remember, Mr. Jain, that over the last 3 years, we had said the first goal is to get to INR 500, INR600 crores, INR 700 cro res and then get to INR 1,000 crores. I think I think that we ar e on that trajectory. And sooner than later, we should cross that and then be on a ve ry fast growth path after that.
Getting to the first INR1,000 crores is hard. After that, it becomes -- you create lines of business to create product strategies, and the n multiple products can become INR 400 crores, INR500 crores each, maybe even more. So we're on that path.
Nitin Jain: Okay. So safe to assume that we are targeting around INR1,000 crores in the next 3 years or so?
Amit Kalyani: Easily. Easily. I would say even more than that.
Nitin Jain: Okay, great. Also, can you provide some color on the kind of revenue opportunity we are targeting in the server manufacturing business in the next... ?
Amit Kalyani: No, no, no. We are not looking at that business aggressively. We were trying to look at that business to understand the data center market. And I think we've understood what we want to do and what we don't want to do. There are some specialty opportunities where there are certain critical clients who wa nt domestic -made servers made by an Indian company.

Those we will look at, but those are not very large opportunities at this point in time. They are more a strategic opportunity and it's an opportunity to get into the whole value chain of the data center. So that's what we're looking at it as. I wouldn't look at it as a getting into electronics in a big way kind of thing.
Nitin Jain: Okay. That's quite helpful. Thank you and congratulations.
Amit Kalyani: Thanks.
Moderator: Thank you. Our next question comes from the line of Mitesh from Aditya. Please go ahead.
Mitesh: Yes, I have a question regarding the Orissa project.
Amit Kalyani: Sorry, which company are you with?
Mitesh: Aditya Equity Investments. Sorry, I forgot to write the ful l name. Hello?
Amit Kalyani: Yes, Yes, go ahead, please go ahead.
Mitesh: Yes, I had a question regarding the Orissa project. So when is the environmental clearance expected for the project ? And when do you expect to break ground for the project?
Amit Kaly ani: We're waiting still. So I don't know, maybe another 2, 3, 4 months.
Mitesh: Okay. Thank you. Thank you.
Amit Kalyani: Thank you.
Moderator: Thank you. Our next question comes from the line of Het Raichura from Ananya Research. Please go ahead.
Het Raichura: Hello sir. I just wanted to understand the gross block trajectory...
Moderator: I am sorry sir, but your voice is not audible.
Het Raichura: Yes sir. So I just want to understand the gross block trajectory and the targets for the next 3, 5 years particularly...
Amit Kalyani: Maybe you can take this offline. We're not able to hear you. I think you should call our team separately and talk to them. We're not able to hear you at all.
Het Raichura: All right. Okay.
Amit Kalyani: Hello? Thank you.
Moderator: Thank you. Our next question comes from the line of Rakesh Roy from Bo ring AMC. Please go ahead.
Rakesh Roy: Yes, hi sir. My first question is , sir, can you give me the full year defense revenue for FY26?

Amit Kalyani: INR1,300 crores. INR1,30 0 -- sorry, full year

revenue for defense, sorry, INR1,562 crores.
Rakesh Roy: Right sir , right sir. And sir my next question, sir, our recently army issue an RFI for bulletproof troop carrier. Are we bidding for this?
Amit Kalyani: We are bidding for lo ts of new programs with the army.
Rakesh Roy: Okay. And can you highlight on the recent project is launch , one product is launch in defense especially Vikram VT -21 with DRDO and Tata, how is the market size and where we are currently?
Amit Kalyani: Sorry, sorry .

Management: Vikram .
Rakesh Roy: Vikram VT Tata.
Amit Kalyani: Yes, we launched our wheeled platform and we also had our track ed platform there.
Rakesh Roy: Right. And how is the market…
Amit Kalyani: What is the [inaudible 0:3 9:08] question ?
Rakesh Roy: My question is sir how is the market size for this product especially for army?
Amit Kalyani: Replacing the old BMPs that the Indian Army has huge numbers of.
Rakesh Roy: Okay. Any idea how much number for domestic market and for export market f rom your point of view?
Amit Kalyani: Probably the market is in tens of thousands.
Rakesh Roy: Great sir. Great sir. Thank you , sir. Thank you.
Moderator: Thank you. Our next question comes from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.
Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir , what kind of capital expenditure are we looking for next 3 years?
Amit Kalyani: I'm telling you right now what we have ongoing between last year this year and -- between last year and thi s year will be about INR800 crores.
Mahesh Bendre: Okay. Sure. And sir, since the defense business in bigger -- defense business is becoming bigger and with various dimensions. Any plans of hiving off this business, maybe creating a new entity or bringing. ..
Amit Kalyani: As you know, we've already spun it off into KSSL.

Mahesh Bendre: Right, right. But in terms of creating value for investors, are there any plans?
Amit Kalyani: I hope we are creating value.
Mahesh Bendre: In terms of listing this?
Amit Kalyani: That we will look at separately.
Mahesh Bendre: Okay , sure .
Amit Kalyani: Thank you.
Mahesh Bendre: Thank you so much. Thank you.
Moderator: Thank you. Our next question comes from the line of Nitin Jain from Fairvalue Equity Advisory. Please go ahead.
Nitin Jain: Yes, thank you for the follow -up opportunity. My question is given the importance of drones in modern warfare, like we have seen i n Operation Sindoor and other operations . What kind of presence do we have in drone manufacturing?
Amit Kalyani: We are already making drones for land, sea, and air. I would say that under -sea and the sea part we are very strong in, the air part we are ge tting stronger, the land we need to do more work. We've already won orders in both the air and the sea domain.
Nitin Jain: Right. Would it be possible to provide a ny percentage in terms of our defense business?
Amit Kalyani: No, not right now.
Nitin Jain: Okay. Okay. Thank you. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Amit Kalyani for closing comments. Thank you and over to you, sir.
Amit Kalyani: I think , if there are any last questions, 1 or 2, let's finish them, and then we can close. I just saw that there were two names.
Moderator: Sure, sir.
Amit Kalyani: Let’s just do these last two.
Moderator: Sure, sure. Our next question comes from the line of Aksh ay Karwa from A viva India. Please go ahead.
Akshay Karwa: Hi Amit sir. Good afternoon. [Inaudible 0: 42:15].
Amit Kalyani: Sorry, Akshay, we can’t hear you.
Akshay Karwa: Am I audible now?

Amit Kalyani: Go ahead.
Akshay Karwa: Sir, my question pertains to manufacturing of jet e

ngines. So with the recent companies coming
-- with private companies coming into foray for this, how long do you think would be ready to create our own localized jet engine in the near-term?
Amit Kalyani: So are you talking about a engine for a manned or unmanned platform?

Akshay Karwa: Manned platform, sir.
Amit Kalyani: Manned platform will take quite some time. I would say not less than 5 to 10 years. But unmanned can happen very, very fast. Already we are supplying small jet engines for number of drones, and we are now going to be making bigger ones also for unmanned systems. And these are completely made in India in -house. They are designed, engineered, and manufactured. Range of 40 kilos to 150 kilos of thrust.
Akshay Karwa: And my question revolves around the recent AMCA program , the AMCA engines. So regarding that as you said 5 to 10 years, so which of the companies would you think would be able to get this order through now?
Amit Kalyani: So for AMCA , look, the whole program is going to be a down -selection first of the consortium, and then first prototype in 2032. Okay ? So it's still a longways away and initially AMCA will be powered by imported engine.
Akshay Karwa: Understood, sir. Thank yo u, sir. That's all from my side and wish you all the best, sir.
Amit Kalyani: Thanks.
Moderator: Thank you. Our last question comes from the line of Radha from Motilal Oswal. Please go ahead.
Radha: Hi, sir . Thank you for the opportunity. So my question wa s on K -mobility business. Can you give us some insights on how the growth will be driven in this business beyond the normal CV industry growth? Will it be exports and or any new customers or will it be from hybrids?
Amit Kalyani: A good question, Radha. We are looking at the specialty axles business and the LCV and SUV axle business, including EV, for those. Both ICE and EV, so that is what's going to drive the growth there.
Radha: Can this take the business to the 3X in the medium term? Is there this kind of scalability opportunity?
Amit Kalyani: Yes, there is. In 2X in , next 3 to 4 years is definitely possible. And with -- if we are a little more lucky and we get into some specialty axles, it could be even better.
Radha: And what are the peak margins that can be made in this business?
Amit Kalyani: I think it's too early to say, but our goal is a to do mid-teens margin in this business.

Radha : All right, sir. The second last question is how is the demand scenario in North America and Europe passenger car segment and what is driving the demand here?
Amit Kalyani: U.S. is strong. Europe is -- Subodh is [inaudible 0: 45:40].
Subodh Tandale: The demand in the U.S. is stable. When I say stable, last year's total the market size was about 16 million vehicles to 1 6.1. It's more or less going to be the same forecast for this year. Demand is reasonably okay. They don't expect any changes. In Europe we have to see because Europe will obviously face a little more challenges given the -- given how long the war is protra cted. So we have to watch what happens in Europe . But by and large, it is stable as compared to last year. That's the outlook.
Radha: All right, sir. Thanks and all the best to you.
Amit Kalyani: Thank you.
Moderator: Thank you. Over to you sir.
Amit Kalyani: Ladies and gentlemen, thank you very much for your time and interest and your support to our company. Really appreciate it. And we will remain in touch and our teams are available if you need any further input. Thank you and have a nice day.
Moder ator: Thank you, sir. Ladies and gentlemen, on behalf of Bharat Forge Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.